Essential For Generations

Annual Integrated Report 2024



SOLVAY

ESSENTIAL FOR GENERATIONS

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6.1. ESRS 2 GENERAL DISCLOSURES

6.1.1. Basis of preparation

Reporting framework

i. CSRD/ESRS: Solvay (hereafter also: "we", "the Company", "the Group") monitored and followed developments in the European Sustainability Reporting Standards (ESRS) that were included in the new European Union Corporate Sustainability Reporting Directive (CSRD), for which the reference is 2023/2772 of July 31, 2023 and which was published in the Official Journal of the European Union on December 22, 2023. The sustainability statements is prepared with reference to the ESRS developed by the European Financial Reporting Advisory Group (EFRAG) and adopted by the European Commission. All the data points included in the Environmental (E), Social (S), and Governance (G) sections have been assessed as material according to our double materiality assessment (DMA). In the climate change section, the greenhouse gas data points (GHG Scope 1-3) are mainly reported based on the Greenhouse Gas Protocol *(for more details refer to E1-6).*

ii. United Nations Sustainable Development Goals: We have identified nine Sustainable Development Goals to which we can contribute with the most impact, through our operations or across the value chain, in line with our materiality analysis:
- SDG3: Good health and well-being
- SDG5: Gender equality
- SDG6: Clean water and sanitation
- SDG7: Affordable and clean energy
- SDG8: Decent work and economic growth
- SDG9: Industry, innovation, and infrastructure
- SDG13: Climate action
- SDG15: Life and land
- SDG17: Partnerships for goals

iii. ***United Nations Global Compact:*** The information provided serves as a progress report on the implementation of the United Nations Global Compact's ten principles.

Third-party verification

The whole Sustainability Statements, including the EU taxonomy, is covered by external review (limited assurance), conducted by EY Bedrijfsrevisoren BV / EY Réviseurs d'Entreprises SRL. EY's limited assurance report can be found in Chapter 8.

BP-1 General basis for preparation of sustainability statements

BP-1 (a) Consolidated or Individual Basis

The sustainability statements has been prepared on a consolidated basis. This ensures that the information provided encompasses the entire scope of Solvay's operations, reflecting a comprehensive view of the company's sustainability performance.

BP-1 (b) Scope of Consolidation

The scope of consolidation is the same as for financial statements as described in the "List of companies included in the consolidation scope" *in the financial statement note F40*. The scope of consolidation includes fully consolidated companies (subsidiaries) and joint operations, which are consolidated according to the Group's contractual share of assets, liabilities, revenue, and expenses, typically aligned with ownership interest. An exception is Solvay Sodi AD, Bulgaria, which is consolidated at 75.0% despite a holding percentage of 73.5%. Companies consolidated by the equity method (joint-ventures and associates) are excluded from the environmental and social reporting boundaries. Indicators related to ESRS E1, ESRS E2, ESRS E3, ESRS E4, and ESRS E5 cover only production, research, and innovation sites, as contributions from other sites are considered irrelevant or immaterial.

A deviation from these boundaries and consolidation rules applies to sustainability indicators for energy consumption (ESRS E1-5), gross Scopes 1, 2, 3, and total GHG emissions (ESRS E1-6), pollution to air and water (ESRS E2-4), and process and transport safety. These indicators encompass all production and research centers under operational control, consolidated at 100% regardless of the site's company consolidation method. This includes production sites in joint-operations and joint-venture companies such as BASF Interox H2O2 Production NV (Belgium), Solvay Sodi AD (Bulgaria), Saudi Hydrogen Peroxide Co (Saudi Arabia), Shinsol Advanced Chemicals Corporation (Taiwan), and MTP HP JV Ltd (Thailand), as well as specific units in associate companies like the peroxide production unit in Solvay (Zhenjiang) Chemicals Co Ltd (China) and the energy production and water treatment units in GIE Chimie Salindres (France).

The ESRS S1 social indicators include all employees with an employment contract with Solvay, classified as active. Health & Safety indicators in ESRS S1-14 cover all sites under operational control, regardless of the site's company consolidation method.

Operations sold or demerged during the year are excluded unless specified. Climate and environmental metrics for new or acquired operations during the reporting year are included for the full year unless otherwise mentioned. Data from discontinued or closed operations are included for the part of the reporting period when they were operational, unless otherwise stated.

BP-1 (c) Upstream and Downstream Value Chain

The sustainability statements covers material upstream and downstream information related to non-Solvay entities in the value chain, as well as that which is inclusive of our own operations.

BP- 1 (d-e) Omission and exemption

The option to omit a specific piece of information corresponding to intellectual property, know-how, or the results of innovation has not been used. We have not used the exemption from disclosure of impending developments or matters in the course of negotiation as provided in articles 19a(3) and 29a(3) of the Directive 2013/34/EU.

The undertaking is not required to disclose classified information or sensitive information, even if such information is considered material.

BP-2 Disclosures in relation to specific circumstances

Our sustainability report is drafted according to ESRS, considering current EU CSRD laws and upcoming guidance. Despite challenges, we see opportunities to improve our reporting. We are dedicated to transparent reporting, continuously improving our sustainability practices, and communicating any uncertainties in our sustainability statements. This transparency helps users understand our processes and decisions. We remain committed to full compliance with ESRS and forthcoming legislation and will continually enhance our report's comprehensibility and quality.

Time horizons

The time horizons for the occurrence of the impacts, risks, and opportunities (IRO) ranges from short, to medium and long term, following ESRS 1 Definition Section 6.4. These time horizons have been chosen because they correspond to the usual management cycles of Solvay, i.e. respectively: the budget cycle; the mid-term plan; and the strategic review. The sustainability statements therefore also uses these time horizon definitions :

- → Short term: less than or equal to one year
- → Medium term: above one and up to five years
- → Long term: above five years and up to 30 years

Value Chain estimation

We use upstream and downstream value chain data estimated from indirect sources for our Scope 3 emissions. Emission factors were taken from certified data sources such as Ecoinvent, BaseEmpreinte, the International Energy Agency (IEA), or the GLEC 3.0. In particular, the WBCSD Guidance for Accounting and Reporting Corporate GHG Emissions in the Chemical Sector Value Chain was used as guidance for the calculation of the emission factors applied in Scope 3 categories 2, 10, 11, and 12.

*Please refer to **Climate change chapter for more information.***

Sources of estimation and outcome uncertainty

In preparing the Sustainability statements, management made use of assumptions, judgments and estimates that affect certain of the amounts reported. As a result, there is an inherent uncertainty in our calculations with respect to such amounts reported The estimations and underlying assumptions are based on management's experience and various other factors, including input from experts where deemed needed, and are believed to be reasonable. Such estimations and underlying assumptions are reviewed frequently to improve accuracy going forward in our reported metrics. Our actions in this respect, include, amongst others, reducing the dependency on the use of assumptions or estimation when better data sources become available.

None of the disclosed quantitative metrics or monetary amounts in our sustainability statements are subject to a high level of measurement uncertainty or estimations, except :

Topic	Source of measurement uncertainty or estimations	Section
Scope 3 metrics	Use of proxies and indirect sources	E1-6 Reference to accounting guidance and methodology
Energy Capex related to non-eligible manufacturing activities	Lack of granular data	6.2.2.Reporting according to EU Taxonomy
Number and area of sites near biodiversity-sensitive areas that it is negatively affecting	Lack of granular data for site selection and estimates of the total site areas	E4 – IRO 1, E4-4 and E4-5
SOC / SVHC in raw materials	Lack of granular data	E2-5 Raw Material

We have aligned our sustainability report with the ESRS requirements, incorporating national legal and regulatory requirements implementing the EU CSRD. While we believe Solvay is prepared to report on sustainability matters, we have identified opportunities to enhance sustainability reporting throughout the process. Our commitment to transparent and responsible reporting includes providing stakeholders with company-specific interpretations or uncertainties in our sustainability statements. By doing so, we aim to ensure that users of our sustainability statements can understand the key interpretations, materiality judgments, uncertainties, and areas for improvement throughout the report. This transparency does not diminish our commitment to compliance with ESRS and applicable legislation. As additional implementation guidance becomes available, we will refine our understanding of requirements to enhance the comparability and quality of information in future reporting cycles.

Changes in preparation or presentation of sustainability information

This year, we changed the preparation and presentation of Solvay's sustainability information to comply with the reporting requirements of the CSRD. These changes make the disclosure of comparative figures for the previous reporting period impracticable due to differences in the disclosed metrics, definitions, or reporting perimeter.

Scope 3: In 2023, emissions reported under category 3.1 included those from categories 3.4 and 3.5. A methodology accuracy limit was identified, requiring a revision in 2024 using a direct calculation based on raw materials quantities, waste quantities, and raw material origin of transportation, aligning Solvay's methodology for category 3.1, 3.4, and 3.5 with the GHG Protocol.

The same methodology was applied for the restatement of 2021 (baseline), 2023 (comparative year), and 2024 (reporting year), ensuring comparability between these years. The change resulted in a 1.3 MT CO_2eq increase for 2023 total Scope 3 reported emissions (15.3 MT vs 14.0 MT CO_2eq reported with previous methodology) and a 0.9 MT CO_2eq decrease for 2021 (16.5 MT vs 17.4 MT CO_2eq reported with previous methodology).

Please refer to E1-4 for more details.

Reporting errors in prior periods

No material prior period error was identified.

Incorporation by reference

The index table on p. 106-107 provides a list of the disclosure requirements of ESRS that have been incorporated by reference.

Use of phase-in provisions in accordance with Appendix C of ESRS 1

We have applied the following phased-in disclosure requirements as permitted in ESRS 1 and in Appendix C ESRS 1:

- **Disclosure requirements**: ESRS 2 SBM-3 48(e), ESRS E1 E1-9, ESRS E2-6, ESRS E3 E3-5, ESRS E4 E4-6, ESRS E5 E5-6, ESRS S1 S1-7, ESRS S1 S1-8, and ESRS S1 S1-12.
- **Transitional provision related to Chapter 5: Value Chain,** as we do not have all the necessary information regarding Solvay's upstream and downstream value chain. When disclosing information on policies, actions, and targets in accordance with ESRS 2 and other ESRS, we have limited upstream and downstream value chain information, mainly limited to information available in-house. When disclosing metrics, we did not include any upstream or downstream value chain information (except for the reporting of Scope 2 and Scope 3 GHG emissions as per their definitions).
- **Transitional provision related to the presentation of comparative information** for ESRS E1 (except for E1-5 Energy consumption and E1-6 gross GHG emissions metrics), ESRS E2, ESRS E3, ESRS E4, and ESRS E5. For this first reporting year under CSRD, only 2024 data are presented.

Action plans (CapEx and OpEx) related to ESR Standards (except E1) and Entity specific:

Solvay allocated financial resources toward its actions but is not equipped to report the CAPEX and OPEX with the granularity required by CSRD. Solvay will investigate opportunities to improve this situation for future reporting.

Please note that the definition of CSRD allocated resources is based on different scoping compared to IFRS accounting standards. A reference has been made to the respective note in the financial statements.

6.1.2. Governance

GOV-1 The role of Board of Directors, management, and administrative bodies

For more information, please refer to Corporate governance statement points 4.4 and 4.5.

Composition and Diversity of Administrative, Management, and Supervisory Bodies

The governance bodies of Solvay are composed of a Board of Directors, the Executive Leadership Team (ELT), and Board Committees.

- *Representation of employees and other workers*: There is no representation of employees and other workers at the level of the Board of Directors or the ELT of Solvay SA. Solvay SA does not have a supervisory board.

Percentage by gender and other aspects of diversity that the undertaking considers: Please refer to the Corporate governance statement points 4.4 and 4.5.

Roles and Responsibilities of Administrative, Management, and Supervisory Bodies

For more information, please refer to IRO Management section 1.4, Corporate governance statement point 4.4.1.4 and the overall Risk Management section 5 of this report.

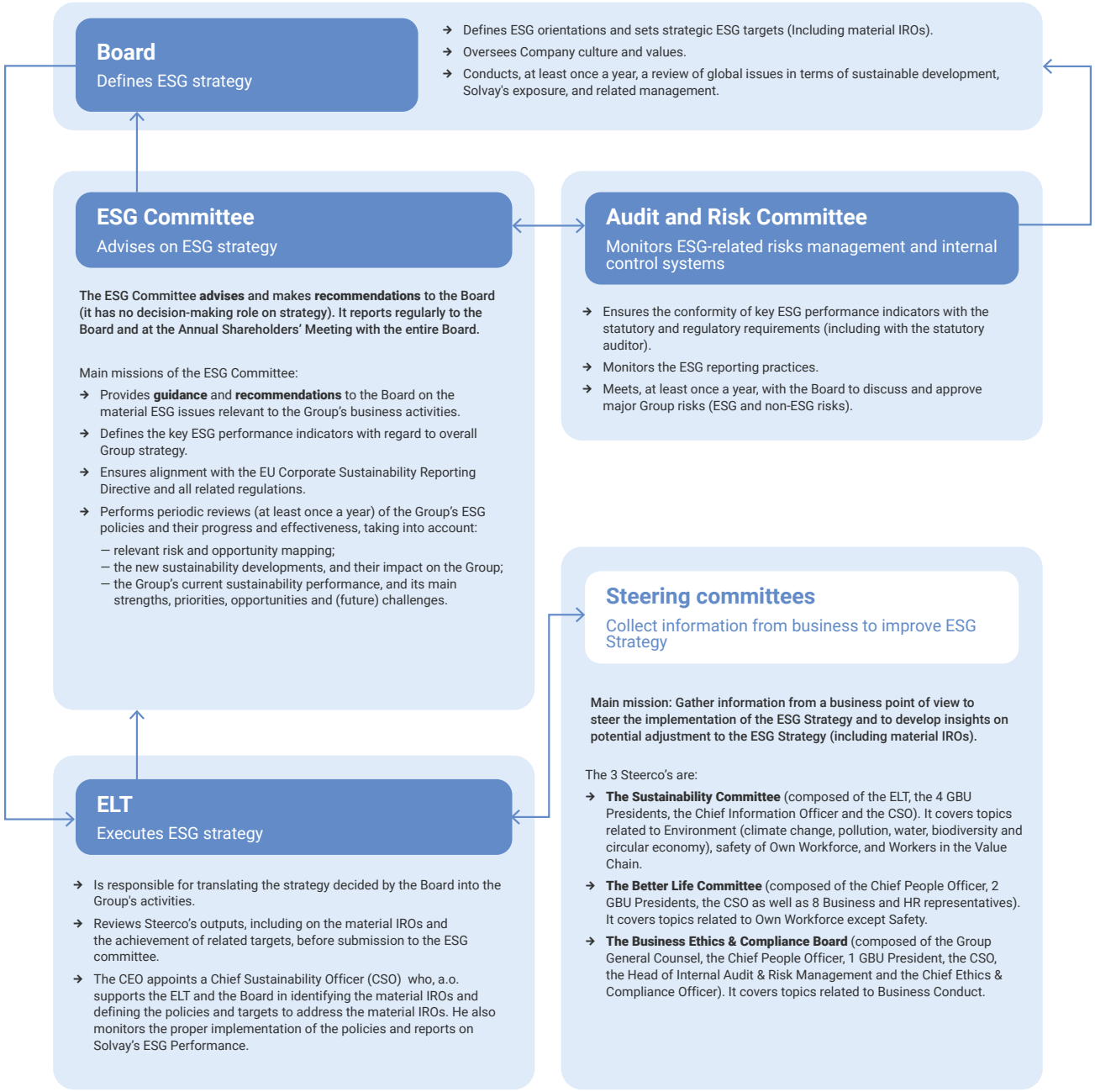
The Board of Directors is Solvay's highest management body. The Board is vested with all the powers that are not reserved, by law or by the articles of association, to the Shareholders' Meeting.

The Corporate Governance Charter sets out the different mandates of the Board and its committees in terms of their roles in addressing IROs in our sustainable development and environmental, social, and governance topics.

We have set up a team of experts, structured into three different groups - one of whose roles is to inform the ELT, the ESG Committee, and the Board to enable them to constantly improve their general knowledge and expertise, as well as to bring up topics deemed material for the Group (steering committees).

Although the Board of Directors approved the DMA result and corresponding material IROs, which are managed as part of Solvay's overall ERM approach, the oversight of the IROs is done collectively in accordance with the following diagram:

ESG Governance: Roles & Responsibilities



GOV-2 Sustainability matters addressed by management

Please refer to the Sustainability Statements and topical section with list of IROs, Corporate governance statement point 4.4 and 4.5 and Risk management Section 5.

In 2024, the Board of Directors reviewed the Group's strategy, taking into account the recommendations on ESG ambition formulated by the ESG Committee in collaboration with the ELT. With the assistance and recommendations of the ELT and Committees, the Board of Directors validated the material IROs on the basis of the DMA - and this in accordance with the methodology described in the Commission Delegated Regulation (EU) 2023/2772 of 31 July 2023 supplementing Directive 2013/34/EU of the European Parliament and of the Council as regards sustainability reporting standards (the "ESRS").

The Audit & Risk Committee, with the support of the Internal Audit and Risk Management department, reviews the main risks, including those related to IROs.

Across the Group, Solvay leaders and managers are accountable for ensuring the adequacy of the risk management and internal control framework in their respective GBUs and Functions. This applies to both financial and sustainability-related matters (including IROs).

GOV-3 Sustainability-related performance in incentive schemes

Please refer to the Remuneration Policy in MDR-P table on p. 121 for more information.

Performance Assessment Against Specific Sustainability-Related Targets

We operate different incentive schemes for different employee groups:

- **Short-term incentive scheme**: applicable to the Management, Senior Management, and Executive population,
- **Global Profit Sharing scheme**: applicable for non-management employees, and
- **Long-term incentive scheme**: applicable for Senior Management and Executives.

All these schemes share the common objective of rewarding employees for achieving strategic company objectives, both in the short-term and long-term. The schemes are structured around two or three performance pillars: financial performance, the Company's sustainability ambition, and, in the case of the short-term incentive scheme, individual contribution.

In 2024, we reiterated Solvay's commitment to sustainability in our short-term and long-term incentive schemes. The short-term incentive scheme and the Global Profit Sharing scheme include specific sustainability-related targets for all eligible employees under the sustainability pillar. For the short-term incentive scheme, the 2024 targets are set as follows:

	2024 Short-term Incentive Targets
GHG emissions (Scope 1 and 2 kT CO_2 eq) based on financial perimeter	7,170
Safety (Recordable Injuries)	40
Diversity % women in mid and senior management	27.3

For the Global Profit Sharing scheme, payout will only start once the target is reached. GHG emission reduction (Scope 1 & 2) is reinforced in the long-term incentive plan. The LTI targets and achievements will be disclosed at the end of the performance period.

The sustainability related performance metrics are included in the Group Remuneration policies such as the Executive Remuneration Policy, the Short-term Incentive scheme, the Long-term Incentive plan, and the Global Profit Sharing agreement under the Sustainability pillar.

The sustainability-related targets account for:

- **15%** of the Short-term incentive scheme for all management levels.
- **15%** of the Global Profit Sharing scheme for non-management levels.
- **20%** of the Long-term incentive scheme for all executives.

The terms of the incentive schemes are approved and updated at various levels within the undertaking. The target-setting process for the Short-term Incentive scheme involves several steps:

- The KPIs are defined in line with the Company budget and objectives set for the coming year.
- A first review is performed by the Global Incentive Committee meeting, which makes a recommendation to the Executive Leadership Team.
- A final recommendation is presented to the Compensation Committee, which reviews and approves it for recommendation to the Board of Directors.
- The Board of Directors gives the final approval.

Similarly, the Long-term Incentive scheme is set up every year for a period of three years, with the KPIs defined in line with the Company's long-term objectives and ambition. The approval process involves the Global Incentive Committee, the ELT, the Compensation Committee, and the Board of Directors.

GOV-4 Sustainability statements about due diligence process

The following table indicates where in our sustainability statements we provide information about our due diligence process, including the main aspects and steps of our due diligence process.

Core elements of due diligence	Paragraphs in the sustainability statements
a) Embedding due diligence in governance, strategy, and business model	*6.4.1. Business Conduct, G1-2 Description of approaches in regard to relationships with suppliers* *6.3.2. Workers in the value chain, S2-4 Action plans and resources to manage its material IROs related to value chain workers*
b) Engaging with affected stakeholders in all key steps of due diligence	*6.3.2. Workers in the value chain, S2-2 Disclosure of how perspectives of value chain workers inform decisions or activities aimed at managing actual and potential impacts*
c) Identifying and assessing adverse impacts	*6.3.2. Workers in the value chain, S2-5 Targets set to manage material IROs related to value chain workers*
d) Taking actions to address those adverse impacts	*6.3.2. Workers in the value chain, S2-3 Disclosure of approach to and processes for providing or contributing to remedy in case of material negative impact on value chain workers* *6.3.2. Workers in the value chain, S2-4 Action plans and resources to manage its material TOs related to value chain workers*
e) Tracking the effectiveness of these efforts and communicating	*6.3.2. Workers in the value chain, S2-3 Disclosure of approach to and processes for providing or contributing to remedy in case of material negative impact on value chain workers*

GOV-5 Risk management and internal control system in relation to the sustainability reporting process

Please refer to Governance section point 4.7.1 and the general Risk Management section 5.1.

Our approach to risk management in relation to sustainability reporting is fully embedded in the overall Group Enterprise Risk Management (ERM) practices. This involves defining the scope through the annual risk identification and assessment process at GBU and Group level, encompassing both ESG and non-ESG risks, and aligning it with the DMA process.

Internal control processes and systems for sustainability reporting are defined based on the material topics identified through the DMA and are being implemented in the same way as those for financial reporting. We commit to continue enhancing the robustness of Solvay's internal control framework for sustainability and the level of maturity in the related reporting over the next 12 months.

In addition, sustainability reporting-related risks and mitigation strategies are identified, including risks associated with incomplete or inconsistent reporting, accuracy of data inputs, and manual errors in the reporting process. The Group has implemented review controls and access controls, and external auditors also perform testing (excluding Internal control) on sustainability reporting as part of the limited assurance provided over the company's sustainability statements.

The main sustainability risks and risk-mitigation actions are described in the Risk Management section of this report, marked as ESG risks with reference to the corresponding ESRS section. While the risk assessment and mitigation approach outlined is a mature process, the link with the corresponding ESRS is a new requirement, and efforts will continue in the next 12 months to reach the same level of maturity for the entire process.

As this year is the first year of CSRD implementation, our focus is on implementing observations issued by the external auditor. Action plans with allocation of responsibilities and deadlines, as well as regular follow-up and review, are in place. Formalized internal controls related to ESG risks and processes that already existed previously are documented and addressed as part of the regular annual internal control review.

We have established the same governance for our financial and sustainability reporting, which involves the ELT and the Audit & Risk Committee. Findings of risk assessments are reported twice a year to both bodies, whereas key stakeholders in the organization as well as the ELT and the Audit & Risk Committee receive a formal internal control assessment once per year.

6.1.3. Strategy

SBM-1 Strategy business model and value chain

Our business model

Our core activity as a chemical manufacturer is the production of **essential** chemical products. Our products and technologies serve very diverse end-markets in different geographies, contributing to our resilience. Our main end-markets are:

- Consumer, HPC & Healthcare
- Automotive
- Food & Feed
- Resources, Environment & Energy
- Building & Construction
- Electronics
- Chemical Industry & Industrial applications

Solvay has **two main business segments** with seven distinct mono-technologies. Segmentation has not changed compared to the previous reporting period:

- Basic Chemicals: Soda Ash, Sodium Bicarbonate (together under GBU Soda Ash & Derivatives) and Peroxides.
- Performance Chemicals: Rare Earths, Fluorine (together under GBU Special Chem), Silica and Coatis.

As a global manufacturing company, Solvay sells a wide range of products and services to customers worldwide, for various markets and industrial applications. Our products and services may be subject to trade restrictions based on their nature and destination. We are committed to complying with all international trade laws and regulations and have a robust Trade Compliance Program to ensure this. We also regularly assess the risks associated with doing business with specific countries and regions.

We create long-lasting value by focusing on the following **strategic drivers** (1) maintain our market leadership, (2) be the benchmark on costs, and (3) consider sustainability at the core of our business.

Solvay's sustainability strategy is inherently part of our group strategy. This ensures that the main sustainability matters and challenges are addressed and part of the strategic roadmap, whilst maintaining our competitiveness.

Our sustainability strategy – "For Generations" – is defined at the Group level and consists of two pillars: Planet Progress and Better Life. Please refer to ***the Solvay Corporate Social Responsibility Policy*** *(please refer to the MDR-P table on p. 121 for more information)* describing the governance, Solvay's commitments, stakeholders' engagement process, and overall sustainability management system. We recognize the growing need for sustainable products and are accelerating our energy transition roadmap.

Our portfolio is aligned with key societal **megatrends** that support our businesses' main end-markets: Climate change & resource scarcity, Regionalization, and AI & digitalization.

*Please refer to **Chapter 1 - Solvay at a glance page 16** for a description of these megatrends.*

Each year, we conduct a detailed **Sustainable Portfolio Management** (SPM) analysis for each GBU, reviewing the top 20 Product Application Combinations (PACs) and any new PACs. SPM focuses on sustainable business solutions and aims to boost Solvay's business performance by assessing two key factors: the environmental footprint related to production and associated risks and opportunities (cradle to gate Life Cycle Assessment), and how their applications create benefits or challenges from a market perspective.

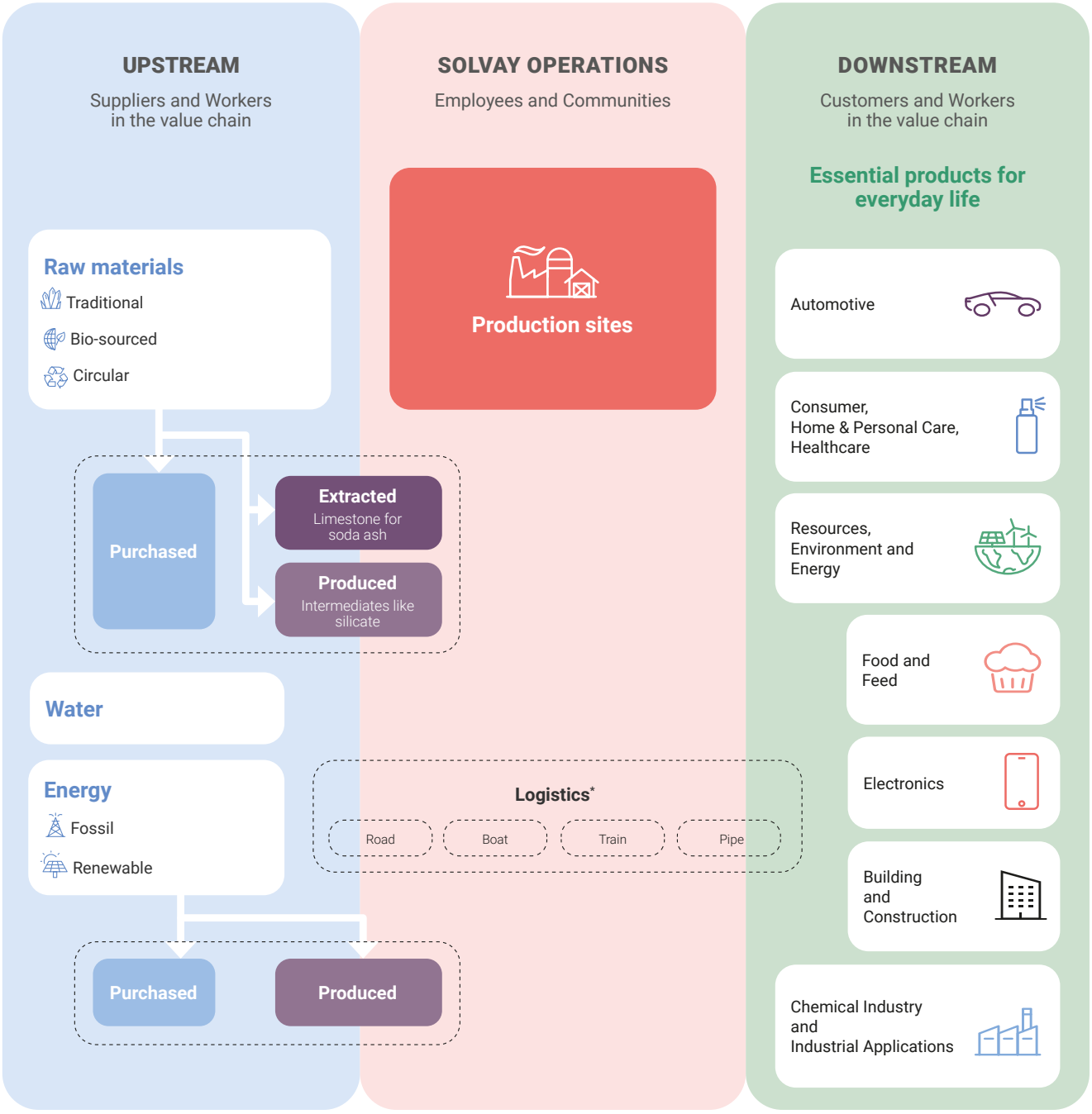
Our value chain

Depending on our different business models, we are involved upstream in the value chain, extracting some of the raw materials and producing utilities we use, or downstream, processing chemicals.

- Security of supply of raw materials and energy is important to us. We have guidelines in our Procurement Policy to secure these inputs. Main suppliers are categorized based on importance and risk. A list of critical raw materials is maintained for which risk mitigation plans are implemented.
- We aim to be a reliable supplier for our customers with consistent quality, whilst remaining competitive and having targets to reduce our environmental impact.

Please refer to the stakeholder engagement in SBM2 in the section below for a description of the main business actors and the benefits to them.

Solvay Value Chain



Non-exhaustive illustration

*logistics between the upstream and Solvay operations, and Solvay operations and the downstream

Company characteristics

8,905 employees (headcount) at the end of December with 895 in North America, 1,489 in Latin America, 5,356 in Europe and 1,165 in Asia and the rest of the world.

Solvay is active in chemical production as under Division 20.2 of Annex I to Regulation (EC) No 189. The entirety of our net sales can be considered as chemical production (EUR 4.6 bn for 2024).

SBM-2 Interests and views of stakeholders

We regularly engage with a diverse range of stakeholders to understand their positions, concerns, and expectations, allowing us to continuously shape our business model and strategy. Through ongoing dialogue and consultation, we seek to validate our reasoning and align our sustainability strategy based on the interests and views of all our affected stakeholders, as well as identifying material IROs through various methods. This stakeholder engagement includes employee satisfaction and engagement through Pulse surveys, investor events, and customer and supplier meetings. The resulting insights are instrumental to shaping our DMA.

In the context of the first reporting under CSRD and conducting the DMA for the first time, after a preliminary internal DMA we engaged with a representative sample of affected stakeholders (Employees, Communities, Customers, Suppliers, and Investors) as they will be impacted by our strategy and commitments. A total of 10 interviews were conducted with internal experts and 20 interviews with a representative set of impacted stakeholders.

The key stakeholders are described in our Corporate Social Responsibility Policy *(please refer to the MDR-P table on p. 121 for more information)*. Our key stakeholders are Regulators, Shareholders, Investors, Customers, Suppliers, Employees, and Communities:

1. Customers:
   - **Views:** Customers seek high-quality products that are safe to use and are competitively priced. Customers also increasingly value sustainable and environmentally friendly products (with a focus on climate change and biodiversity).
   - **Interests:** Reliable supply, product performance, competitive pricing, innovation, and sustainability.
2. Investors and shareholders:
   - **Views:** Investors and shareholders seek a good return on investment and expect Solvay to be financially stable and well-managed. Investors and shareholders are also becoming more interested in environmental, social, and governance (ESG) performance (with a focus on climate change, biodiversity and pollution).
   - **Interests:** Profitability, growth, dividends, risk management, and ESG performance.
3. Employees:
   - **Views:** Employees value fair wages, safe working conditions, opportunities for professional development, and a positive work environment.
   - **Interests:** Job security, fair compensation, career advancement, work-life balance, and a safe and healthy workplace.
4. Communities:
   - **Views:** Communities near chemical plants are concerned about potential environmental and social impacts. Communities also want Solvay to be a responsible neighbor and contribute to the local economy.
   - **Interests:** Environmental protection, safety, community engagement, and local economic development.
5. NGOs and Environmental Groups:
   - **Views:** NGOs and environmental groups are concerned about issues such as climate change, pollution, and the potential impact of chemicals on human health and ecosystems.
   - **Interests:** Environmental protection, sustainability, transparency, and corporate social responsibility.
6. Governments and Regulators:
   - **Views:** Governments and regulators aim to ensure that chemical companies operate safely and responsibly, complying with environmental and safety regulations. Governments and regulators also promote innovation and economic growth in the chemical sector.
   - **Interests:** Public safety, environmental protection, economic development, and regulatory compliance.
7. Suppliers:
   - **Views:** Suppliers seek stable and long-term relationships with Solvay, fair prices for their products, and timely payment. Suppliers increasingly take into account sustainability matters
   - **Interests:** Business stability, fair pricing, reliable demand, and long-term partnerships.

The views and the interests of key stakeholders regarding our sustainability-related subjects have been integrated into the DMA process and communicated to our ESG committee. We also integrated their feedback when defining our sustainability strategy. Going forward, we will continue to regularly update our ESG committee on the views and interests of affected stakeholders regarding sustainability-related impacts. Changing trends or expectations that result from the outside-in review are considered in the strategic updates and consequently play a role in adapting the business model.

Please refer to GOV-2 with respect to how administrative, management, and supervisory bodies are informed about the views and interests of affected stakeholders.

SBM-3 Disclosure of material impacts, risks, and opportunities and how they interact with its strategy and business model

*The full list and description of material IROs can be seen **in the corresponding ESRS sections of this Sustainability Statements**.*

DMA results

The DMA identifies material IROs in sustainability matters based on our activities, products, value chains, and global presence. Besides the topical CSRD standards, we have an entity-specific disclosure - "Process and transport safety" - linked to risk incidents management**.**

We consider the following to be material in relation to our strategy and business model:

- **Impacts** Our impacts originate mainly from our upstream value chain and from our own operations. We have identified actual and potential impacts:
  - Actual negative impacts in the areas of Climate change, Pollution,Land-use change and Waste. The materiality comes from, for example but not limited to, our use of solid fuels and our CO_2 emissions, from having some marketed products that contain more than 0.1% of Substances of Very High Concern.
  - Potential negative impacts in the areas of Energy, Pollution, Own workforce, Workers in the value chain. The materiality comes, for example but not limited to, from potential pollution to the air and water from our operations, from our impact on land with operations of quarries and dykes, from the exposure of our employees to potential incidents, and from the exposure of external workers within our supply chain to potential incidents and breaches of human rights.
  - Actual and Potential positive impacts in the areas of Business Integrity and Working Conditions for our Own Workforce. The materiality comes, for example but not limited to, from our practices in place to prevent corruption and bribery practices, for the protection of whistle-blowers, and from the Group's social dialogue and Health & Well-being programs in place.
- **Risks**
  - Our potential risks are mainly concentrated in the context of our operations. We identified risks related to Climate change, Energy, Pollution, Water consumption, Land degradation, Land-use change and Business Integrity and Compliance. The materiality comes, for example but not limited to, from increasing extreme weather events due to climate change affecting potentially our assets, CO_2 and energy transition costs, regulatory evolutions, the risk of potential anti-competitive behaviors, potential non-compliance to Trade Compliance rules and Sanctioned parties lists.
- **Opportunities**
  - Our opportunities originate mainly from our own operations and downstream value chain. We identified potential opportunities relating to climate change and to our own workforce. For example, the materiality comes, but is not limited to, from our presence in multiple end-markets driven by sustainable megatrends *(for more details see section "Climate related transitions risks and opportunities")*, and also from our global footprint and asset presence in all regions that allow the Group to overcome potential supply chain disruptions due to extreme weather events.

Current and anticipated effects on business model

We conduct an annual IRO review for each of the businesses. During this review, we consider evolutions and changes that have occurred internally and externally in the business context of Solvay, which would lead to modified or new risks and opportunities for the Group.

These results are considered as an input for the strategic planning update ("Value Creation Plan" with a time horizon beyond five years) and the financial planning update ("Mid-term Plan" with a five-year time horizon), which is a joint exercise between the corporate functions and the businesses. The budget period (time horizon: one year) considers short-term IROs but also anticipates medium to long-term risk mitigation plans. Actions that result from IRO reviews are considered in the strategic updates and consequently play a role in adapting the business model. These are reported in each topical ESRS section.

Material positive and negative impacts

Solvay's potential positive and negative impacts can affect, for example:

- The Group's own workforce and surrounding communities' health, safety, through our assets and operations (short term).
- Workers from the Group's value chains, their working conditions through our raw material supplier and contractor selection (short and medium-term).
- The quality of air, water, and soil through emissions coming from our operations and supply chain (short and medium-term).
- Climate change effects through direct greenhouse gas (GHG) emissions from Solvay's operations and indirect GHG emissions from our value chain (short, medium-to-long term).
- Land degradation and land-use change under Biodiversity.

Financial effects

In accordance with the transitional provisions outlined in Appendix C "List of phased-in Disclosure Requirements," our company will be phasing-in the quantitative disclosure. However, for this initial reporting period, we have focused on providing qualitative information.

We are enhancing our data collection and analysis capabilities to better assess and quantify the potential financial implications of these IROs. As we progress through subsequent reporting cycles, we will gradually introduce more comprehensive financial effect disclosures, aiming to provide a full picture of the financial materiality of our sustainability matters.

This phased approach allows us to ensure the accuracy and reliability of the financial information we disclose while we develop robust methodologies for estimating and reporting these effects. We are committed to improving our disclosures year-on-year and providing stakeholders with increasingly detailed insights into how sustainability matters may influence our financial position, performance, and long-term value creation.

Our Group leverages a diversified portfolio of funding sources to drive our sustainability strategy:

- → We utilize internally generated cashflows to fund our capital expenditure and key process innovation projects.
- → Third-party investors and industrial partners contribute substantial financial support to our other projects, for example in energy transition and decarbonization projects.
- → Public funding - including government subsidies and tax credits - plays a crucial role in advancing our sustainable development goals.

This multi-faceted financing approach ensures robust implementation of our comprehensive sustainability strategy.

Resilience of Strategy and Business Model

Please refer to the actions in each of the ESRS sections

Our strategy and business model demonstrate resilience through targeted initiatives. These address identified material impacts and risks while positioning us to capitalize on emerging opportunities in our industry.

As an example, we are screening Solvay's assets and business activities for potential exposure to transition events with our SPM tool (see SBM-1 Strategy business model and value chain). This process systematically evaluates the sustainability risks and opportunities associated with the company's products throughout their lifecycle and market assessment. This process is only done in the short-term but leveraged for mid- and long-term strategic decisions.

Changes to material IROs

In 2023, we performed a review of the materiality analysis to anticipate some of the provisions of the CSRD and several changes have already been made in comparison to previous years. In 2024, we aligned our DMA to the CSRD requirements as described in the "EFRAG implementation guidance for the materiality assessment."

6.1.4. Impacts, Risks and Opportunities (IRO) management

IRO-1 Description of the process to identify its impacts, risks, and opportunities and to assess which ones are material

Please refer to the specific IRO-1 description in the ESRS chapters.

Methodologies and Assumptions

Please refer to SBM-2 on the interests and views of stakeholders.

To determine material sustainability-related matters, we conducted a structured DMA in accordance with the requirements of the CSRD and ESRS 1. A five-step approach was followed:

1. Define the scope and objective:	**2. Identify ESG topics and IROs**:	**3. Assess the IRO's materiality:**	**4. Validate DMA results:**	**5. Document the process and the outcome**:
We defined the assessment boundaries, main activities, value chain, selected stakeholder focus groups and appropriate communication channels to engage with them.	We collected data through desktop analysis of external and internal sources to identify potential ESG topics. We adopted the ESRS topics structure and added process and transport safety as entity specific. We determined IROs of each sustainable performance topic in the short-list via desk research and internal and external stakeholder consultation.	We mapped impact materiality and financial materiality for each identified IRO through desk research and internal and external stakeholder consultation. We then consolidated the results and developed the double materiality result.	We validated the outcomes of the double materiality assessment by the validation bodies: ELT Committee, A&R committee, ESG Committee, and Board of Directors.	We developed the materiality report and detailed assurance-ready supporting documentation.

As a result, a tailored list of mutually exclusive and collectively exhaustive ESG topics was defined and a stakeholder engagement strategy was developed by identifying the key internal and external stakeholder representatives to be consulted via direct (surveys, individual interviews, employee focus groups, and workshops) or indirect methods (internal and external desk research). Their opinions were integrated during the DMA definition.

An IRO evaluation was also defined, based on the consolidated list of IROs and inspired by Solvay's ERM process, but further distinguishing impact materiality from the financial materiality. This framework assessed each IRO's materiality. Considering Solvay's ERM evaluation and materiality thresholds, IROs were classified as material or not. A topic was identified as material when at least one underlying IRO was classified as such. Outcomes of the DMA were reviewed by internal and external experts and the CSRD Readiness Project Steering Committee, recommended for approval by the ELT, Audit & Risk Committee, ESG Committee, and approved by the Board.

Overview of the Process for impacts

The creation of a value chain map in the first phase of the DMA process ensured full coverage of Solvay's operations, value chain, and geographies. Based on the value chain, stakeholders and experts involved with different activities were consulted, as well as the different geography and end-market leads within Solvay.

Some affected stakeholders were directly involved (e.g. a sample of employees), whereas Nature is indirectly involved through available documentation. Potentially affected communities or end-users were either consulted directly (e.g. major customers) or indirectly via representatives or public information.

Impacts related to business relationships were identified via consultation with the most prominent business partners, or through interaction with internal experts managing the relationship. We gathered further valuable input from several external experts, such as business partners or sector associations.

The assessment of each negative impact on society and the environment is based on severity and likelihood. Detailed impact assessment criteria were defined for scope, scale, and remediability - taking into account E, S, and G topics - considering our own operations and value chain. A score between 1 and 5 was assigned, considering the most appropriate option for each evaluation criterion and for each impact.

For positive impacts, scale, scope, and likelihood were evaluated. For each criterion, a five-level scale was defined. For both positive and negative impacts, scores were normalized such that the maximum score amounts to 15. The selection of the most appropriate option for likelihood resulted in a likelihood factor ranging between 1 (very high) and 0.6 (very low). The final score on impact materiality, obtained by multiplying the sum of the severity scores with the likelihood factor, was compared with a materiality threshold of 8. Impacts with a score equal to or higher than 8 are considered material.

Overview of the process for risks and opportunities

Please refer to risk management section 5.

The outside-in perspective - the identification, assessment, and prioritization of actual and potential risks and opportunities related to ESG topics - was also performed through the stakeholder consultation process and documentation.

As part of the DMA process, we assessed which risks and opportunities were connected with impacts, dependencies, or other risk factors. We also identified impacts (inside-out) and risks & opportunities (outside-in) for each of the ESRS reporting standards, as well as any relevant interdependencies.

The evaluation framework for ESG-related risks and opportunities as part of the DMA was aligned with our existing approach to ERM used in the Group:

→ Magnitude and nature of effects have been aligned with the ERM severity scales and thresholds.
→ The likelihood has been determined following qualitative probability assessment criteria, considering the management cycle horizons as reference for thresholds.

Five potential options were considered for both magnitude and likelihood. Based on the selected option, risks and opportunities were categorized into five categories. Concretely, a 1-5 score for the magnitude of the financial impact was applied. For the likelihood factor, identical values to those used for the likelihood of potential impacts were applied. The total score for financial materiality is obtained by multiplying the score for the magnitude of the financial impact with the likelihood factor. Risks and opportunities with a total score equal to 3 or higher are considered material.

ESG risks are treated in the same way as other risks. The most material risks are managed diligently and risk mitigation actions are put in place. Results of the risk assessments are therefore integrated into the strategic planning and decision-making processes.

Monitoring of actual impacts presents a newly formalized approach required by the CSRD. This 2024 Sustainability Statements is the baseline. The Group's due diligence process captures this monitoring aspect.

Decision-making process

The decision-making process and related internal control procedures involve multiple experts and bodies within Solvay. The DMA is validated at different levels of the organization, including the CSRD Steering Committee, the ELT, the ESG Committee, the Audit & Risk Committee, and the Board of Directors. The external auditors also perform a review of the DMA and related IROs as part of the Sustainability Statements verification.

Integration into overall (risk) management process

The process to identify, assess, and manage impacts and risks is integrated into Solvay's overall risk management process and is used to evaluate the Group's overall risk profile and risk management processes. The evaluation criteria of likelihood and magnitude of financial impact of ESG-related risks and opportunities are aligned with Solvay's ERM methodology. The ERM team was actively engaged throughout the DMA process, and the output of the DMA has been integrated into the ERM repository.

ESG risks are treated in the same way as other risks in the ERM framework.

The results of the risk and opportunities assessments are further considered in Solvay's strategic planning and decision-making.

Input Parameters

The DMA covered all of Solvay's operations and geographies with value chains. Company-specific sources of information were collected via consultation with key internal and external. Publicly available data and documents are also taken into account, such as media coverage, sector reports, and research papers. Whenever no direct information is available, estimates and/or assumptions are used, accurately described, and explained.

Changes Compared to Prior Reporting Period

A DMA was set up for the first time in 2024. As the materiality assessment is a dynamic process that is subject to the inherent evolution of Solvay, it will be updated when deemed necessary.

IRO-2 Disclosure Requirements included in the undertaking's sustainability statements as a result of the double materiality assessment

Please refer to Appendix 1 which includes a list of datapoints from other EU legistaltion.

The DMA defines the material topics for an organization, including its own operations and the upstream and downstream value chain. Our material topics are:



The content table lists disclosure requirements used in preparing the sustainability statements post-materiality assessment, specifying pages or paragraphs where these disclosures appear. Appendix 1 comprises a table of datapoints from other EU legislation, noting their location in the sustainability statements and identifying non-material datapoints.

Material topics are disclosed as per related disclosure requirements, which include application requirements for specific sustainability issues in the relevant ESRS, and entity-specific disclosures when an ESRS does not sufficiently cover a matter.

When information is deemed material for stakeholders, it is disclosed according to the Disclosure Requirement – including datapoints or entity-specific disclosures. Once a topic or subtopic is deemed material via IRO, it becomes material for reporting purposes.

MDR-P: All the policies listed in the sustainability statements are reported here and the ELT is accountable for their implementation. They are available on Solvay's website and intranet and are thus available for all our stakeholders.

Policy	Content	Scope
Corporate Social Responsibility	Our commitment to fostering a sustainable and responsible value chain.	Value chain
Responsible Care Policy	Focus on people (safety) and environment (pollution, waste, impact on the environment including product stewardship over its life cycle).	Own operations
Climate change GHG scope 1+2 Emissions and Energy	(In)direct emission reduction, energy efficiency within operational control.	Own operations
Climate change GHG scope 3 Emissions	Scope 3 emissions reduction and calculating methodologies.	Value chain
Climate change physical Risks	Identification and mitigation of physical risks related to climate change on Solvay's operations.	Own operations
Climate change Business transition	Identification and mitigation of business risks and opportunities related to low-carbon economy transition.	Value chain
Environmental management	Pollution, water and waste management.	Own operations 17 Solvay priority sites for water
Biodiversity Conservation & Restoration	Measure, act, and monitor our progress on biodiversity conservation and restoration.	16 Solvay Priority sites
Health and Safety	Our commitment to Health & Safety, SoC and SVHC reduction.	Own operations including contractors
Social Dialogue	Our global agreement with a trade union federation and global representative body for our commitment to a collaborative environment.	Own operations
Remuneration policy	Executive remuneration: short-term incentive scheme; long-term incentive scheme; global profit-sharing scheme.	Own operations
Diversity, Equity and Inclusion	Guidelines and principles to ensure an inclusive culture & workplace.	Own operations
Supplier Code of Business Integrity	The code addresses legal compliance for business integrity (including corruption, bribery, conflict of interest, and competition law), confidentiality, respect for human rights, health and safety protection, environmental protection, sustainability, and communication to supplier employees and subcontractors.	Value chain
Human Rights	Human rights and business ethics across the entire value chain.	Value chain
Code of Business Integrity	The Code addresses topics such as bribery, corruption, facilitation payments, gifts, and entertainment (including in dealings with government officials), conflicts of interest, international trade, fair competition, and political contributions.	Own operations
Conflicts of interest	Rules, principles and guidelines for avoiding and disclosing any actual or potential conflict of interest or an appearance thereof.	Own operations
Anti-Bribery & Anti-Corruption	Our commitment to the prevention and elimination of bribery and corruption.	Own operations
Speak up	Solvay's commitment to ethical and compliant behavior in which stakeholders can report concerns or potential violations.	Value chain
Gifts, Entertainment, Charitable Donations and Sponsorship Policy	Rules and procedures when exchanging Gifts and Entertainment; making Charitable Donations; and Sponsoring Events.	Own operations
Group Trade Compliance Policy	Our approach to ensure compliance with all applicable laws and regulations related to international trade, export control, economic sanctions, customs operations, and anti-boycott.	Value chain

6.2. ENVIRONMENTAL INFORMATION

6.2.1. Climate change

Financial materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Climate change	Climate change adaptation	NA	Risk	Potential	More severe and frequent extreme weather events (droughts, flooding, wind, extreme temperature) put our assets at risk and can lead to property damage, business interruption, and will necessitate adaptation measures.	WW	Own operations + Upstream + Downstream	Short term
Climate change	Climate change adaptation	NA	Opportunity	Actual	Solvay has a global footprint with facilities in all regions. This allows the Group to overcome local supply chain disturbances due to extreme weather events and secure supply to its global customers and hence create a competitive advantage.	WW	Own operations	Short term
Climate change	Climate change mitigation	NA	Risk	Potential	Evolving regulations and local policies will increase the cost of CO_2 leading to loss of competitiveness.	EU	Own operations	Short term
Climate change	Climate change mitigation	NA	Opportunity	Potential	Decarbonization can help sustain market leadership	WW	Own operations	Medium term
Climate change	Energy	NA	Risk	Potential	Energy cost increase impacting Solvay's competitiveness.	WW	Own operations	Medium term
Climate change	Energy	NA	Opportunity	Potential	Increased resilience thanks to the substitution of imported volatile fossil fuels by locally sourced renewable fuels	WW	Own operations	Medium term

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Climate change	Climate change mitigation	NA	Negative impact	Actual	GHG emissions contribute to the increase of climate change events.	WW	Own operations + Upstream + Downstream	Medium term
Climate change	Energy	NA	Negative impact	Potential	Inability to reduce energy intensity of our processes and switch to lower carbon energy sources will prevent us from reducing GHG emissions.	WW	Own operations	Medium term

E1 GOV-3 Integration of sustainability related performance in incentive schemes

Climate-related considerations are factored into the Remuneration of Solvay's employees throughout various schemes:

→ For the ELT and the Senior Management - GHG emission reduction targets are set in both the Short-term Incentive plan as well as in the Long-term Incentive plan.

→ For the general Management population (except Commercial/Sales) the GHG emission reduction is part of the Short-term Incentive plan.

→ GHG emission reduction is also reflected in the Company Profit Sharing plan applicable to the non-management employees.

In addition to the GHG emission-reduction targets set out above, other climate-related objectives are being tracked internally and may be impacting employees' individual performance depending on their role in the organization.

Please refer to GOV-3 section for more details.

E1-1 Transition plan for climate change mitigation

Solvay's transition plan for climate change mitigation is designed to ensure that its strategy and business model are compatible with the transition to a sustainable economy.

Our targets are to become carbon neutral on GHG Scope 1 and 2 emissions by 2050, and to reduce by 30% our Scope 1 and 2 emissions and by 20% our Scope 3 - focus 5 categories - emissions by 2030 vs. our 2021 baseline.

These 2030 targets are more ambitious than the ones validated by SBTi in March 2023, which had a baseline of 2018, as opposed to the new baseline of 2021 *(please refer to E1-4 for explanations)*. However they are not compatible with the objective of limiting global warming to 1.5°C in line with the Paris Agreement.

To align on a 1.5°C target, we are currently looking at how to accelerate the delivery of our projects with the support of key stakeholders among which customers and governments.

We are not excluded from the EU Paris-Alignment benchmark.

Decarbonization roadmap

To ensure we meet our ambitious emission reduction target, we have developed a decarbonization roadmap. For our own operations related Scope 1 & 2 emissions we rely on several key levers:

- **Energy Transition** including:
  - Phasing out thermal coal using primary energy sources with a lower carbon footprint. Successful implementations occurred in 2024 in Green River, Wyoming, and Rheinberg, Germany.
  - Switching from fossil fuels to renewable or low carbon energy. It includes the use of Renewable Energy Certificates (RECs) or Guarantees of Origin (GOs). Nuclear power is part of the technology spectrum contemplated by Solvay.
- **Energy Efficiency** to consume less primary energy per production unit thanks to practices and technologies that minimize energy usage, reduce energy losses, and enhance process control.
- **Process Innovation** to tackle emissions released by the chemical process - including through its electrification. In 2024, Solvay innovated in pioneering the regenerative thermal oxidation (RTO) technology for its Trona mine in Green River. Solvay keeps developing the innovative e.Solvay manufacturing process for soda ash which notably aims to reduce CO_2 emissions by up to 50%.

Our Scope 3 GHG emissions reduction plan focusses on 5 key categories that represent 90% of Solvay's Scope 3 GHG emissions in 2021 and for which we took a 20% reduction commitment by 2030:

- Upstream in our value chain with Category 1 (Purchased Goods & Services) and Category 3 (Fuel & energy-related Activities)
- Downstream in our value chain with Category 10 (Processing of sold products), Category 11 (Use of sold products and Category) and Category 12 (End of life treatment of sold products).

Our Scope 3 GHG emissions reduction plan relies on the following decarbonization levers:

- **Lowering the emissions from raw materials and fuels:** We are working closely with suppliers to reduce Scope 3.1 emissions, integrating sustainable solutions like biogenic CO_2 at our Dombasle and La Rochelle plants. We engage with our suppliers in decarbonization discussions and collect primary Product Carbon Footprints to substitute secondary data. As a founding member of Together for Sustainability (TfS), we drive industry-wide improvements.
- **Reducing the emissions from product processing, use and end of life:** By collaborating with customers, we support their decarbonization efforts and expect a significant reduction in Scope 3 downstream emissions by 2030.

On top of the focus on the previously mentioned 5 categories, we also aim at reducing the GHG emissions from the transportation of our goods (Category 4: Upstream transportation and distribution and Category 9: Downstream transportation) and people (Category 6: Business traveling and Category 7: Employee commuting) which represent another 5% of Solvay's Scope 3 GHG emissions in 2021:

- **Lowering the emissions from transportation of raw materials, fuels and products**: We are actively collaborating with transportation providers to mitigate emissions associated with logistics. For example, our buyers have successfully engaged with several vendors to secure biofuel transportation to and from several sites, e.g. Voikkaa in Finland, Collonges and La Rochelle in France, Qingdao in China.
- **Lowering the emissions from transportation of our employees**: Solvay engages its employees in reducing Scope 3 emissions associated with business travel and commuting.

In addition to the above, Solvay is studying other decarbonization levers:

- carbon capture usage or sequestration projects within its value chain.
- responsible offsets, such as carbon capture and sequestration projects outside its value chain, including initiatives like forest growth, to compensate and neutralize hard-to-abate emissions.

Locked-in GHG emissions from assets

Solvay has conducted a qualitative assessment of potential locked-in GHG emissions from its key assets.

In 2021, around 30% of our Scope 1 and 2 emissions were linked to thermal coal producing steam for Soda Ash plants. Solvay is on track to phase out thermal coal from its energy production by 2030, except at one site in Devnya, Bulgaria, where we started at the end 2022 to substitute petcoke with sustainable biomass and we aim at growing the share of sustainable biomass in the site fuel mix. In Devnya, Bulgaria, we believe our target to phase out coal by 2030 is at risk as there is no possibility to access mid to long-term local reliable renewable sourcing. We keep on working with determination on all the options including nuclear small modular reactors which require more time to be implemented.

In 2021, another 40% of our scope 1 and 2 emissions were linked to fossil sources of energy, other than coal. Through our energy transition we are gradually switching to renewable or low carbon energy, while we are reducing our consumption of energy through our energy efficiency program.

In 2021, the remaining 30% of our Scope 1 and 2 emissions were released by the Soda Ash chemical process. In 2024, we introduced for the first time ever the RTO technology to abate GHG released by Solvay's Trona Mine in Green River. Beyond, we are at the forefront of innovation, reinventing the Soda Ash process with our new patented e.Solvay process. The new process is being piloted in Dombasle, France. We aim at starting the industrial scale-up before 2030 and at rolling out until 2050.

Locked-in GHG emissions from key products

Solvay has conducted a qualitative assessment of potential locked-in GHG emissions from its key products.

In 2021, about 30% of our Scope 3 emissions came from the processing and use of our products, mainly due to SF6 leakage and CO_2 release from sodium carbonate and bicarbonate in certain applications:

- SF6 is a GHG locked into the application it is used for, though an average leakage ratio is considered to estimate its release in the atmosphere. The cumulative potential future leakage of SF6 is fully accounted for at the time of sale, considering expected leakage over time.
- Sodium carbonate (soda ash) and bicarbonate release CO_2 in some applications.

Progress in implementing transition plan

The locked-in emissions are well identified and addressed in our roadmap and do not jeopardize our commitments.

At the end of 2024, the Group has reduced its Scope 1 and 2 emissions by 16.7% vs 2021 baseline (considering financial consolidated perimeter). Looking forward, we have identified solutions to cut 30% our Scope 1 and 2 emissions by 2030 and 80% by 2050 vs 2021 baseline. To achieve carbon neutrality by 2050, we will rely on further innovation and offsets (up to 10%).

At the end of 2024, the Group has reduced its Scope 3 emissions - focus 5 categories by -4%, progressing toward the 20% reduction target by 2030.

Board approval

Carbon neutrality is a key pillar of Solvay strategy. To support Solvay's commitment to carbon neutrality, we have developed a roadmap which has been reviewed by the Board of Directors.

This roadmap is composed of decarbonization projects that can be segmented into the decarbonization levers listed earlier. These projects can have different status : They can either be validated - their construction is completed or ongoing, ot they can be not yet validated - their design is ongoing in view of a future decusion

The projects with an expected financial impact within a five-year time horizon are integrated into Solvay's financial planning, i.e. the annual budget and the five-year mid-term plan.

Decarbonization projects being designed have to go through Solvay's investment process for decision (like other investment projects). They are reviewed by an Investment Committee, which makes recommendations for a decision by the ELT. Projects above the financial thresholds listed in paragraph ESRS 2 GOV-1 22 shall be validated by the Board of Directors.

Decarbonization projects are evaluated, challenged, and prioritized according to their GHG impact, profitability, marginal abatement cost, and impact on Solvay's competitiveness. We aim to decarbonize Solvay's operations while preserving our competitiveness.

The profitability of decarbonization projects, like all investment projects, factors in an internal CO_2 price amounting to EUR 100/t CO_2eq to assess the merits of the projects, including the negative externalities or potential future regulated CO_2 cost.

This thorough decision process aims at ensuring that our transition plan is fully embedded in and aligned with the overall business strategy and financial planning of Solvay.

Financial resources to fund our action plan

Solvay is committed to decarbonizing its operations while maintaining cost competitiveness. In 2024, we allocated approximately EUR 25 million in capital expenditure toward our transition plan. We plan to invest EUR 30–35 million annually until 2030 and around EUR 50 million per year in the following decade. Operating expenses related to the transition should remain minimal due to efficiencies in energy consumption and the shift to lower-carbon energy sources. Maintaining the affordability of decarbonized projects is essential to balancing capital allocation, preserving our investment grade, and ensuring shareholder returns.

During the reporting period, no significant capital expenditure was directed toward coal-, oil-, or gas-related projects. Investments related to climate change mitigation and adaptation are reflected in several financial statements notes, including Note F16 (cash flows from investing activities), Note F20 (property, plant, and equipment), and Note F21 (right-of-use assets and lease obligations). Research and development costs that are not capitalized are recorded as expenses in the consolidated income statement, while capitalized development costs and technology-related intangible assets are included in Note F18 (intangible assets).

Under the Commission Delegated Regulation (EU) 2021/2178, we disclose capital expenditures and operational expenditures linked to eligible economic activities. However, Solvay does not currently report aligned sales, as full compliance with certain criteria remains unclear. We aim to align the Bernburg (Germany), Rheinberg, and Green River production sites with the EU Taxonomy on climate mitigation within the next five years, covering a significant portion of our soda ash sales.

These financial allocations and reporting structures support Solvay's broader sustainability goals. Relevant figures are disclosed in Section 2.2 of our EU Taxonomy reporting, ensuring transparency in our progress toward climate adaptation and mitigation.

E1 SBM-3 Material IRO climate-related (climate related physical risk or climate related transition risk) for each material climate-related risk identified

Solvay has identified several material climate-related risks and opportunities, which are categorized into two main types: climate-related physical risks and climate-related transition risks and opportunities that have strategic implications for the Group.

Climate-Related Physical Risks

Physical risks are associated with the direct impacts of climate change on Solvay's operations and assets. These risks include acute risks such as cyclones, hurricanes, floods, droughts, and fires, as well as chronic risks like heat waves and sea level rise.

Solvay performed a dedicated physical risk resilience analysis in 2022 covering the entire value chain, including all countries where Solvay has a site, the top 25 countries by procurement, and the top 25 countries by revenue.

The analysis utilized climate scenario analysis from the Intergovernmental Panel on Climate Change (IPCC), considering different Representative Concentration Pathways (RCPs) and Shared Socioeconomic Pathways (SSPs). The following scenarios were compared with a "business as usual" reference scenario, over three time horizons 2030, 2050 and 2100, considering changes in hazard frequency per country, sector vulnerabilities, and risk scores based on statistical global distribution per hazard:

- >4°C of global warming (corresponding with the IPCC's RCP 8.5 and SSP-5.85) and
- 3°C of global warming (corresponding with the IPCC's RCP 4.5 and SSP-2.45).

The analysis concluded that

- Solvay's upstream value chain is especially vulnerable to flooding which will increase extremely until 2050 in the 3°C scenario and the >4°C scenario. This risk is present throughout the different regions.
- Solvay's downstream value chain is especially vulnerable to flooding which will increase extremely until 2050 in the 3°C scenario and the >4°C scenario. Asia Pacific countries see high risk to extreme increases across scenarios.
- For Solvay's own operations, Asia Pacific countries are generally at a higher risk across hazards especially for tropical cyclones. US and Brazil are also higher risk countries. Flooding shows high increases until 2050 across regions and scenarios.

Consequently, the analysis was complemented by a quantitative analysis focused on four high-contribution margin Solvay sites (including indirect impacts on other sites): Green River in Wyoming USA, Paulinia in Brazil, Linne Herten in the Netherlands and Devnya in Bulgaria. This quantitative analysis excluded the other Solvay sites as well as the upstream and downstream value chain. The quantitative analysis concluded that:

- Overall risk levels are moderate. Across the scenarios, convective storms in Green River were identified as a high risk while floods in Paulinia were assessed as a medium risk until 2050. In Devnya, heatwaves are assessed medium risk in 2030 and grow to high risk in 2050.
- Green River would be the site the most financially impacted. However potential damage would remain moderate.

Climate-Related Transition Risks and Opportunities

Transition risks and opportunities are associated with the shift toward a low-carbon economy and the regulatory, market, and technological changes that accompany this transition.

Solvay performed a dedicated analysis of transition risks and opportunities in 2022 and 2023, focusing on three business units: Soda Ash & Derivatives, Peroxides, and Special Chem, which represent 73% of Solvay's 2022 sales.

The analysis evaluated the potential impacts of new technology adoption, market dynamics, policy and regulation changes, and supply chain engagement over two time horizons 2030 and 2050. Assumptions of price and cost changes, volume changes, and adaptation potential were taken from the consultant's models, which helped us conduct this analysis.

The following scenarios proposed by the **International Energy Agency (IEA)** were considered:

- **1.5°C scenario**, representing a pathway where global warming is limited to 1.5°C above pre-industrial levels (IEA Net Zero Emissions Scenario 2021)
- **3°C scenario**, representing a pathway with higher GHG emissions and greater climate change impacts (IEA Stated Policy Scenario 2021)

The analysis evaluated the potential impacts of new technology adoption (investment in new, lower-emission technologies, including the adoption of green hydrogen and the phase-out of coal were evaluated for their financial implications), market dynamics (the adaptation to changing customer behavior in markets such as electronics and buildings), policy and regulation changes (regulations and actions to limit CO_2 emissions, such as increasing carbon taxes, banning internal combustion engines, mandating the use of certain fuel types, and tightening environmental standards), and supply chain engagement (the analysis includes an evaluation of the engagement and collaboration with suppliers in managing climate-related risks and opportunities) over two time horizons 2030 and 2050. Assumptions of price and cost changes, volume changes, and adaptation potential were taken from the consultant's models, which helped us conduct this analysis. The magnitude of the impacts of these different drivers are summarized in the table underneath. They are qualified on a qualitative range scoring from (-3) for the most challenging ones to (+3) for the most supportive ones:

Financial impact drivers		1.5°C scenario	3°C scenario
Technology	Green hydrogen	(-2)	0
	Coal phase-out	+2	+1
	Oil and gas	+1	(-2)
Market	Electronics	+2	+2
	Automotive	(-2)	+1
	Buildings	+2	+1
Policy	CO_2 price	(-3)	(-2)
Reputation	CO_2 emission reduction	+2	+1
	Supply chain engagements	+1	+1

The analysis confirmed that the transition to a low-carbon economy presents both risks and opportunities for Solvay. Overall, Solvay's strategy and business model is well-positioned to manage the identified climate-related risks and capitalize on opportunities, ensuring long-term sustainability and competitiveness in a changing climate landscape. Solvay's business portfolio is perceived as robust with positive drivers outweighing negative ones.

On top of these resilience analyses to climate change adaptation performed over 2022 and 2023, Solvay runs recurring processes to keep monitoring physical risks as well as transition risks and opportunities (for more details, refer to E1.IRO-1 below). These recurring processes allow us to address the areas of uncertainties of these resilience analyses.

We run these recurring processes to adjust or adapt our strategy and business model to climate change over the short-, medium- and long-term, including securing ongoing access to finance at an affordable cost of capital, the ability to redeploy, upgrade or decommission existing assets, shifting our products and services portfolio, or reskilling our workforce.

E1 IRO-1 Description of process to identify and assess climate-related impacts risks and opportunities on climate change and in particular GHG emissions

Climate related physical risks

On top of the physical risk resilience analysis performed in 2022 which covered the whole value chain (refer to section E1 SBM3), we aim to mitigate physical risks related to Climate Change for our assets. To address these, we are collaborating with FM (an independent company specialised in property insurance) which performs site visits and combines engineering data with climate change insights to prepare a Climate Change Risk report for us. This report assesses our acute and chronic risks at Solvay locations across three climate scenarios and two time horizons (2030 and 2050), taking into account the long-term lifespan of our assets. The information provided by FM is crucial in helping us manage our physical climate-related risks and exposure and in building a more resilient future for our organization.

FM identifies climate-related hazards by considering high emission climate scenarios. The company uses three different RCPs to describe the future evolution of CO_2 concentration in the atmosphere and its impact on global temperatures:

- **Low Climate Scenario (RCP 2.6)**: This scenario limits radiative forcing to 2.6 W/m² and requires significant global efforts to reduce GHG emissions.
- **Intermediate Climate Scenario (RCP 4.5):** This scenario stabilizes GHG emissions by 2050 and then declines.
- **High Climate Scenario (RCP 8.5):** This scenario assumes continued rise in GHG emissions, representing a worst-case scenario.

FM identified the climate physical exposures that can cause damages to Solvay's assets and generate business interruption. These physical risks identified include:

- Extreme Precipitation (P): The increasing number or intensity of extreme rainfall events will make flooding at our plants more probable. A location is exposed if it's assessed to be in a 100-year or 500-year flood zone, based on a risk engineer's evaluation.
- Wind (W): Increasing wind speeds can damage roofs, roof-mounted equipment and compromise the building's envelope. Wind damage can result from several atmospheric phenomena including tropical storms, winter storms, thunderstorms and tornados. A location is exposed if situated in a Full Wind Evaluation zone or in a region with 100-year wind speed exceeding 100mph based on current risk engineering data or wind maps.
- Temperature (T): Extreme heat causes thermal stress to outdoor equipment, increases the demand for cooling and can overwhelm power grid infrastructure. These factors elevate the likelihood for physical damage or business interruption at our sites. Exposed locations are situated in a region where future changes in temperature/drought exceed the 75th percentile of the global climate model projections for any of the three climate change scenarios and based on the selected time period (by 2030 or by 2050).

- Drought (D): More intense or prolonged drought in some areas of the world where our sites are located can lead to diminishing water resources necessary to our production, increase operational and safety risks and cause potentially more wildfires. The exposed locations are defined the same way as temperature.
- Sea level rise (S): The rise in sea levels paired with the potential stronger storms, increases coastal flood risk. Solvay locations exposed are those situated in a coastal flood zone as determined by risk engineering data (if available) or low-elevation coastal zone (defined as a region with less than 10 m terrain elevation above mean sea level and within 60 miles of the nearest coastline).

These risks are evaluated based on the exposure of Solvay's facilities to these hazards, using data from risk engineering visits, natural hazards maps, and global climate model data.

An exposed location is an insured facility visited by FM risk engineers within the last five years that is exposed to at least one of the five climate perils listed above and by combining information from the risk engineering visit, natural hazards maps and global climate model data. The exposed assets on the 2030 horizon are shown below:

		Exposure				
Site	**Country**	**P**	**W**	**T**	**D**	**S**
Banksmeadow	Australia					x
Brotas	Brazil		x		x	
Paulinia	Brazil		x		x	
Devnya	Bulgaria			x		
Coronel	Chili				x	
Qingdao	China			x		x
Voikkaa	Finland			x		
La Rochelle	France				x	x
Bernburg	Germany	x				
Rosignano	Italy				x	x
Anan	Japan					x
Wloclaweck	Poland			x		
Gunsan	South Korea					x
Torrelavega	Spain				x	x
Chicago Height	USA			x		
Deer Park	USA					x
Green River	USA			x		
Parachute	USA			x		

On the 2050 time horizon, the same locations have been identified as exposed to the same perils with one exception: Paulinia (Brazil) will also be exposed to extreme precipitation (P).

Following these assessments, FM has issued 26 active recommendations aimed at maintaining a strong emergency and business contingency response program focused on safety and loss prevention, developing measures to adapt assets and operations for climate resilience, and incorporating climate resilience into infrastructure planning and design through systematic project review.

Additionally, all site projects undergo early-stage review by FM risk engineers to incorporate adequate protection, and the location of green field projects and acquisitions are assessed in the early stages.

Climate related transition risks and opportunities

On top of the transition risk & opportunity analysis performed in 2022 and 2023, Solvay has developed and runs a recurring process called Sustainable Portfolio Management (SPM) to assess and manage notably climate-related transition risks and opportunities.

This involves systematically evaluating the sustainability risks and opportunities associated with Solvay's products throughout their lifecycle and market application, particularly focusing on the environmental impact of manufacturing and the potential benefits or challenges these products may face in the market due to sustainability trends.

The SPM process identifies "solutions", “potentials”, “transitions” or "challenges" based on the impact, risks and opportunities of a specific product in a specific application:

- Solutions significantly contribute to customer's environmental performance while having a low environmental manufacturing footprint.
- Potentials can become Solutions by improving the environmental manufacturing footprint, which is currently neither high nor low. Customers need these products to sustain their environmental performance.
- Transitions identify moderate environmental challenges for both manufacturing and customers application.
- Challenges get strong negative signals from sustainability market trends or manufacturing footprint, reducing expected revenues over time.

The breakdown of Solvay sales by SPM in 2024 is shown below:

SPM assessment	2024 Sales
Solutions	51%
Potentials	14%
Transitions	21%
Challenges	10%
Not evaluated	4%
Total	100%

We also use SPM to evaluate projects and investments.

SPM findings are integrated into strategic and operational decision-making processes, to ensure informed decisions for a sustainable future. It helps Solvay to anticipate transition events and their related risks and opportunities such as:

- The electrification of vehicles which is supporting Solvay's businesses: Soda ash is used in mineral extraction and the production of lithium carbonate for Li-ion batteries to power electric vehicles. When added to a tire, our special silica grade for electric vehicles extends the battery range for electric vehicles up to 10% without wear compromise by combining best-in-class technologies, while improving the lifetime of tires and the grip performance for safety. We are developing a technology to separate rare earth elements to be used in the production of innovative rare earth permanent magnet solutions for electric vehicles.
- The energy efficiency and thermal insulation requirements of buildings: Creating more demand for glass and soda ash.
- The overall energy transition: Solvay's salt caverns offer a large-scale, long-duration and readily dispatchable solution for clean energy storage - in the form of compressed air or hydrogen. They will play a vital role in the European energy transition.

E1-2 Policies related to climate change mitigation and adaptation

Solvay has developed distinct policies to manage its material IROs related to climate change mitigation and adaptation (defined at the beginning of this section on E1). These policies are designed to address the identification, assessment, management, and remediation of climate change IROs, ensuring alignment with the company's sustainability goals and regulatory requirements. These policies apply universally across all Solvay Group enterprises (under operational control) and relate to active sites across all regions.

Climate change mitigation (including energy efficiency and renewable energy deployment):

- GHG Scope 1 and 2 emission reduction and energy management: This policy addresses direct and indirect emissions associated with the company's operations (where Solvay has operational control), along with comprehensive energy management including phase out of thermal coal for energy production, renewable energy deployment and energy efficiency.
- GHG Scope 3 emission reduction: It is shaped around the broader spectrum of emissions produced by the Solvay value chain. The key content of this policy includes our commitment for reducing the Scope 3 emissions and the methodology for calculating Scope 3 emissions.

Climate change adaptation:

- Physical risks: This policy aims at identifying and mitigating physical risks related to the natural impacts of climate change for Solvay own operations.
- Business transition: This policy aims at identifying and mitigating business risks and seizing business opportunities related to the transition toward a low carbon economy along the value chain.

These policies also involve some stakeholders in the value chain:

- The policy related to Scope 1 and 2 emission reduction and energy management involves our suppliers of energy.
- The policies related to Scope 3 emission reductions and Business transition involve all stakeholders along the value chain.
- The policy related to Physical risks involves our mutual insurer, FM. So far it does not involve other stakeholders along our value chain.

The accountability for these policies is allocated to the ELT as described in the corporate governance section. Here, the ELT assumes final responsibility for policy validation, with periodic reviews conducted with the relevant Corporate Function team to maintain effectiveness and relevance from an operational perspective:

- Energy department for GHG Scope 1 and 2 emission reduction and energy management
- Sustainability department for GHG Scope 3 emission reduction
- Insurance & Prevention department for Physical risks
- Sustainability department for Business transition

Solvay is committed to complying with external standards, regulations, and initiatives which support our climate change and energy management objectives.

For the MDR-P's, regarding scope, publicity, and stakeholder engagement we refer to table MDR-P.

E1-3 Actions and resources in relation to climate change policies

Solvay has established a robust climate action plan targeting carbon neutrality for GHG Scope 1 and 2 emissions by 2050, along with a selective reduction of these emissions and GHG Scope 3 - focus 5 categories - emissions by 30% and 20% respectively by 2030, against the 2021 baseline (considering financial consolidated perimeter).

The key actions taken in 2024 are allocated between Scope 1 and 2 emission reduction and Scope 3 emission reduction. The expected decarbonization levers for these measures are already disclosed in E1-1: transition plan.

Climate change mitigation: GHG Scope 1 and 2 emissions

1. Energy transition to phase out coal from the energy mix at our soda ash plants

Solvay is currently undertaking an energy transition initiative to eliminate the use of thermal coal from the energy mix at its soda ash plants located in various countries. The production of soda ash relies on an energy-intensive process that originally depended on local coal sources at these facilities. The company has made significant progress in this endeavor, with each plant pursuing a unique approach to phasing out coal and transitioning to more sustainable energy sources. At the beginning of 2024, five Solvay sites were still using thermal coal to produce energy, however actions performed in 2024, resulted in the phase-out of coal in 2 sites :

- Green River, Wyoming, United States: The plant has completed an investment to substitute coal with natural gas, resulting in a significant reduction of approximately 280 kilotons of CO_2eq per year compared to the situation prior to coal substitution, and 190 kilotons compared to the 2021 levels.
- Rheinberg, Germany (financed through leasing): The plant is now primarily using locally sourced biomass waste for power, and the project is expected to achieve a notable reduction of around 480 kilotons per year in CO_2eq compared to the situation prior to coal substitution, and 385 kilotons CO_2eq per year compared to the 2021 levels upon its completion at the end of 2024.

Coal phase-out is also ongoing at other sites:

- Dombasle, France: Solvay is partnering with Veolia through an equity investment to eliminate the use of coal for energy generation by the end of 2025, substituting it with local refuse-derived fuel (RDF) and aiming to reduce around 200 kilotons CO_2eq per year.
- Torrelavega, Spain: The plant plans to phase out coal through the introduction of a new biomass cogeneration plant, which is anticipated to reduce around 330 kilotons CO_2 eq per year upon its completion in 2027. Developed by a partner, this project is still subject to subsidies and will take the form of a Power Purchase Agreement.
- Devnya, Bulgaria: The plant has already reduced approximately 100 kilotons CO_2eq per year compared to the 2021 baseline following an investment to introduce co-combustion with biomass in 2022. While we aim at growing the share of sustainable biomass in the site fuel mix, we believe that our target to totally phase out coal by 2030 is at risk in Devnya, due to the unavailability of mid- to long-term local reliable renewable sourcing. We keep working with determination on all the options including nuclear small modular reactors which require more time to be implemented.

2. Energy transition to use primary energy sources with lower emissions or decarbonized sourcing

- Qingdao Silica plant in China: Starting in 2024, a solar panel installation program is in progress as part of the shift toward renewable energy sources.
- Juarez, Mexico: A biodigester has been installed to produce biomethane using city wastewater slurry, with operation commencing in Q4 2024, expected to reduce 10 kilotons CO_2eq per year.
- Collonges Silica plant in France: Implementation of an electric furnace to replace the existing fuel-powered one by the end of 2025, aiming to reduce 20 kilotons CO_2eq per year.
- Rosignano, Italy: The finalization of a power purchase agreement for on-site solar energy from a third party is underway, expected to be in place by the end of 2026, with a projected reduction of around 45 kilotons CO_2eq per year. This on-site solar energy will be used to produce hydrogen peroxide from green hydrogen, in the partnership with Sapio- a first at such a scale in Europe. Moreover, the share of renewable energy will also gradually grow in Rosignano from 2026 onwards thanks to new biomethane sourcing contracts substituting natural gas.
- Paulinia, Brazil: A new project was approved to produce renewable steam from biomass instead of natural gas, for a reduction of 140 kilotons CO_2eq per year starting 2028.

3. Energy efficiency

In 2024, energy efficiency projects implemented across all our sites have brought a reduction of around 10 kilotons per year in CO_2eq per year. These initiatives can be categorized into three main areas:

- Reduction of energy usage: Implementation of equipment such as Variable Speed Drives and digital tools to determine energy-efficient configurations across all production scenarios.
- Reduction or reusing energy losses: Implementation of steam traps monitoring and heat recovery assets in various plants to prevent and utilize energy losses.
- Process control: Utilizing advanced algorithms and automation tools to adjust critical operating parameters and ensure equipment operates at peak efficiency.

4. Process innovation

- Solvay inaugurated the regenerative thermal oxidation (RTO) technology at the Green River plant on October 10, 2024, aiming to reduce GHG emissions by approximately 500 kilotons CO_2eq per year at current production level. This innovative technology is the first of its kind in the trona mining industry.
- At the Dombasle site, pilot testing of the new e.Solvay soda ash manufacturing process is underway, with a projected 50% reduction in CO_2 emissions compared to the current process, along with other sustainable benefits.

Climate change mitigation: GHG Scope 3 emissions

1. Reducing emissions

- As a member of Together for Sustainability, Solvay collaborates with suppliers to reduce Scope 3 upstream emissions and promotes the use of recycled or renewable resources. In 2024, we engaged with 15 new suppliers in decarbonization discussions.
- Solvay focuses on reducing Scope 3 downstream emissions through collaboration with customers, promoting sustainable product usage, and guidance on disposal and recycling practices.
- Solvay actively works with transportation providers to mitigate emissions related to logistics.
- Solvay engages its employees in reducing Scope 3 emissions associated with business travels and commuting through responsible travel practices and promoting sustainable commuting methods, including the transition to electric vehicles for the company fleet. Solvay tracks travel-related carbon footprint and since 2023 contributes €100 per ton of CO_2 emitted to a new Travel Carbon Fund. This fund supports sustainability projects with a focus on nature conservation and carbon offsetting.

2. Collecting Primary Data - Suppliers

We actively collaborate with our most GHG-emitting raw materials suppliers to collect data on the product carbon footprint (PCF) of the raw materials they supply - a preliminary step that enables Solvay to track and manage progress. In 2024, we collected 23 additional primary PCFs from 22 suppliers, representing 12% of Category 3.1 emissions. Solvay's ambition is to collect 100% of primary PCF data.

Climate change mitigation: Carbon capture usage or sequestration projects

Some carbon capture usage or sequestration projects in our value chain are under study.

In addition, we are acting for nature and climate in Paulinia, Brazil, where a reforestation project named "Reserva Legal" consists in planting native seedlings of the Atlantic Forest and undertaking forest management activities (pest control, fire prevention, replacement of dead seedlings, etc.) to assure a good quality forest growth. This project started in 2017 and will be concluded in 2028.

Two new forestation projects have been validated in 2024 and should start in 2025 in Linne Herten (tiny forest) and close to Map Ta Phut, Thailand (mangrove). These new projects were financed by the new Travel Carbon Fund described above.

The emissions removed by these projects are not considered in Solvay reporting.

Climate change adaption

Regarding the adaptation to climate-related physical risks, we have implemented permanent flood protection measures, including dikes and levees, for critical utilities and buildings at our sites in Paulinia, Torrelavega, and Qingdao, which are exposed to future extreme precipitation and flooding. We are currently conducting formal flood studies and analyzing solutions for physical flood protection at other exposed sites.

In terms of adaptation to climate-related transition risks and opportunities, we are developing a technology to separate rare earth elements for the production of innovative rare earth permanent magnet solutions, which are essential for the electric vehicle market and clean energy applications such as wind power. We are investing in our plant in La Rochelle, France, to create a hub that will support Europe in developing more autonomous and sustainable solutions in these areas.

Humanitarian needs due to climate change

Solvay is willing to support people that are harmed by the material impacts of climate change.

At the end of April 2024, the southern region of Brazil went through the worst climate crisis ever seen in the country's history. The Solvay Group and the Ernest Solvay Fund made a financial donation to the special fund set up within the Government of Rio Grande do Sul state in Brazil to provide effective aid where it was needed, based on a mapping of the most urgent needs. In addition, volunteer groups in each Solvay location in Brazil ran campaigns to collect drinking water, non-perishable food, clothing, and hygiene items. Together with our partner transport companies, Solvay organized the delivery of these donated items to those in need.

Looking forward, the statutes of the historical philanthropic "Hannon fund for employees" were enlarged to be able to support employees and communities that suffer hardships due to climate change impact near our industrial sites. We have committed to inject EUR 2 million over 5 years in this new "Solvay Solidarity Fund".

Achieved and expected CO_2 emission reductions

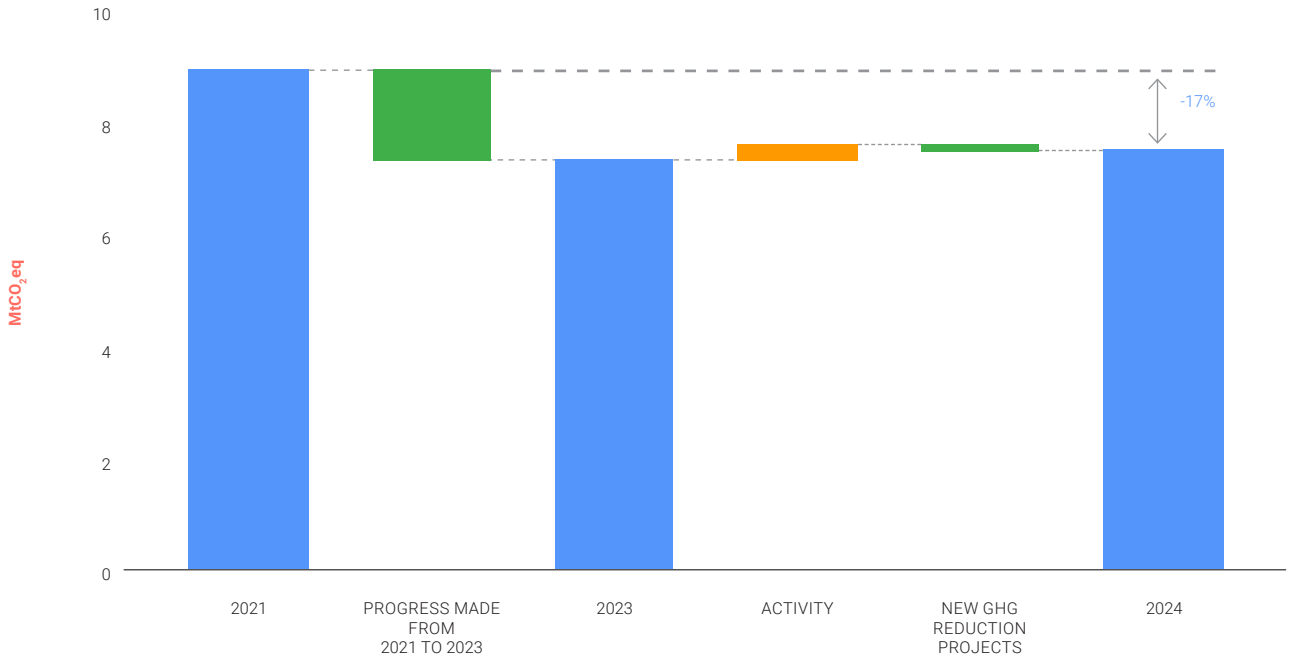
GHG Scope 1+2 emissions

At the end of 2024, the cumulative Scope 1 and 2 emission reduction since 2021 amounts to -17% (-1.498 Mt CO_2eq) at constant scope (considering financial consolidated perimeter).

From 2023 to 2024, Scope 1 and 2 emissions increased by +0.136 Mt CO_2eq at constant scope. This is due to activity recovery (+0.261 Mt CO_2eq) partly mitigated by decarbonization projects that came on stream in the same period (-0.125 Mt CO_2eq).

In 2024, Scope 1 emissions were 0.118 Mt CO_2eq higher than in 2023 at constant scope and 1.327 Mt CO_2eq lower than in 2021 at constant scope which represents -16%. Scope 2 emissions were 0.018 Mt CO_2eq higher than in 2023 at constant scope and 0.170 Mt CO_2eq lower than in 2021 at constant scope which represents -20%.

While 2023 was a record low activity year, Scope 1 and 2 emissions decreased from 2021 to 2024 thanks to structural reduction driven by decarbonization projects delivery.



The expected GHG Scope 1 and 2 emissions reductions are as follows (considering financial consolidated perimeter):

		2021	2030	2050
GHG Scope 1 and 2 emissions	Mt CO_2eq	9.0	6.3	0.0
Energy transition				
Coal phase-out	Mt CO_2eq	-	-2.0	-0.5
Renewable or low carbon energy sourcing	Mt CO_2eq	-	-0.45	-2.1
Energy efficiency			-0.05	-0.2
Process innovation	Mt CO_2eq	-	-0.2	-1.7
Offsets	Mt CO_2eq	-	-	-0.9
Further innovation (technology and economics not mature)	Mt CO_2eq	-	-	-0.9

GHG Scope 3 emissions

In 2024, we continued Solvay's commitment to improving Scope 3 emissions reporting by aligning our calculation methodologies with market best practices and GHG Protocol recommendations. A significant refinement was made to the Scope 3.1 Purchased Goods and Services methodology, incorporating procurement database integration for enhanced data accuracy and granularity. Furthermore, Solvay has begun independently calculating categories 3.4 Upstream Transportation and 3.5 Waste Generated in Operations, which were previously included within category 3.1. This provides a more comprehensive and transparent view of the company's Scope 3 emissions profile.

Following the important adjustments, the 2021 baseline has been restated with 2024 reporting methodology *(please refer to ESRS 2 for the reporting methodology)*.

At the end of 2024, the cumulative Scope 3 emission reduction since 2021 amounts to -2.7% (-0.452 Mt CO_2eq) at constant scope (considering financial consolidated perimeter). In relation to Solvay target on the focus 5 categories, the cumulative reduction from 2021 to 2024 amounts to -4% (-0.62 Mt CO_2eq).

The expected GHG Scope 3 emissions reductions are as follows (considering financial consolidated perimeter):

		2021	2030
GHG Scope 3 - Focus 5 categories - emissions	Mt CO_2eq	14.7	11.8
Focus upstream categories(*)	Mt CO_2eq	-	-1.3
Focus downstream categories	Mt CO_2eq	-	-1.6

(*) Estimated figure. Solvay suppliers decarbonization roadmaps will have a direct impact in the category 3.1 Purchased Goods & Services.

E1-4 Targets related to climate change adaptation and mitigation

Climate change adaptation

Solvay populates a sound Group-wide Resiliency Matrix and prioritizes recommendations to improve the site's Resiliency index based on information provided by our mutual insurer FM. Solvay set the objective to remove all sites from the Resilience Matrix Red Zone (<50% Resiliency Index) by 2025 and to bring all Solvay sites to a minimum of 75% Resiliency Index by 2028.

Resilience Matrix	Sites	Country
Resiliency Index above 75%	Curitiba	Brazil
	Bad Wimpfen	Germany
	Map Ta Phut AIE	Thailand
	Deer Park	USA
	Green River	USA
Resiliency Index between 50% and 75%	Other Solvay sites	
Resiliency Index below 50%	Paulinia	Brazil

We are committed to monitoring the effectiveness of our sustainability policies and actions in relation to Solvay's significant sustainability-related impact, risk, and opportunity. Solvay uses various processes for this purpose, with a robust approach that includes comprehensive policy reviews, strategic analyses, and metrics which includes Scope 1, 2, and 3 emissions.

Climate change mitigation

In 2024, we conducted a comprehensive review of our sustainability strategy, reaffirming and strengthening Solvay's dedication to reducing CO_2 emissions. Solvay confirms our commitment to achieve carbon neutrality on GHG Scope 1 and 2 emissions by 2050, and to reduce by 30% GHG Scope 1 and 2 emissions and by 20% GHG Scope 3 - focus 5 categories - emissions by 2030 vs. 2021 baseline (considering financial consolidated perimeter). This target is directly linked to our Climate Change policy on which our objective of achieving carbon neutrality is outlined. Solvay targets are aligned with a science-based scenario limiting global warming well below 2°C. As explained below, these 2030 targets are more ambitious than the ones validated by SBTi in March 2023, which had a baseline of 2018, as opposed to the new baseline of 2021, after the partial demerger.

Solvay's Scope 1 and 2 emission reduction targets are defined for the same perimeter as in section E1-6 as per the "financial consolidation".

Our Scope 3 emissions reporting encompasses Solvay's global operational perimeter, including all physical locations and activities under the company's direct control. It includes the proportion from investees for which Solvay has operational control. Solvay's Scope 3 emissions target concerns five focus categories representing 90% of Solvay's Scope 3 GHG emissions in 2021. The five focus categories are upstream (Category 1: Purchased Goods & Services, Category 3: Fuel & energy-related Activities) and downstream in our value chain (Category 10: Processing of sold products, Category 11: Use of sold products, Category 12: End of life treatment of sold products). Our decarbonization levers in achieving our ambitious targets are disclosed in our action roadmap in section E1-3.

Changes in baseline year and methodologies

Following the partial demerger of the Group into two publicly traded companies, Solvay SA/NV and Syensqo SA/NV, in December 2023, the baseline year for emission reduction targets shifted from 2018 to 2021. The selection of 2021 as the new baseline ensures a more accurate representation of Solvay's activity levels following the COVID period, reflecting both internal operations and external influences.

Together with this change of baseline, Solvay confirmed the commitment to a 30% reduction in Scope 1 and 2 emissions and a 20% reduction in Scope 3 - focus 5 categories - emissions by 2030. These 2030 targets are more ambitious than the ones validated by SBTi in March 2023 as aligned with a scenario limiting global warming to well below 2°C: -0.2 Mt for Scope 1 and 2 emissions and -2.6 Mt for Scope 3 emissions (our Scope 3 - focus 5 categories - emissions reduced by -4.1 Mt CO_2 eq or -21% from 2018 to 2021, this is why adopting the year 2021 as a new baseline significantly raised the bar) as detailed below:

Solvay targets	**Unit**	**2021 baseline**	**2030 Targets**
Scope 1 and 2 emissions	Mt CO_2eq	9.0	6.3 (-30%)
Scope 3 emissions - focus 5 categories (2024 methodology)	Mt CO_2eq	14.7 (90% x 16.5)	11.8 (-20%)
Scope 3 emissions - focus 5 categories (2022 methodology)	Mt CO_2eq	15.7 (90% x 17.4)	12.5 (-20%)

Previous targets validated by SBTi in March 2023	**Unit**	**2018 baseline**	**2030 Targets**
Scope 1 and 2 emissions	Mt CO_2eq	9.4	6.5 (-31%)
Scope 3 emissions - focus 5 categories (2022 methodology)	Mt CO_2eq	19.8 (90% x 22.0)	15.1 (-24%)

To maintain consistency in reporting, baseline data may be recalculated in response to perimeter or methodology changes. Perimeter changes, such as the addition or removal of sites, require adjustments to historical data to ensure comparability across reporting periods. Without these recalculations, trend analysis could be distorted, leading to artificial variations in key performance indicators. Similarly, methodology changes, including the adoption of AR6 rules for GHG emission coefficients and the reclassification of hydrogen emissions from Scope 1 and 2 to Scope 3.3, necessitate updates to previously published data. These adjustments help maintain the accuracy of emission reduction progress tracking.

In 2024, the baseline year remains 2021, with restatements only for scope changes. The shift of baseline from 2018 to 2021 means that progress achieved before 2021 is no longer reported. While these recalculations affect absolute target values for 2030, they do not alter Solvay's reduction commitments expressed as percentages. This approach ensures a transparent and consistent framework for tracking emissions and reinforces Solvay's commitment to achieving its decarbonization goals.

The table, outlining our CO_2-emissions for 2021, 2023 and 2024 are shown below per scope and category.

Scope 1, 2, 3 GHG emissions	**2021 (Baseline)**	**2023 (Comparative)**	**2024**	**% 2024 versus 2023**
Gross Scope 1 GHG emissions from the consolidated accounting group (tCO_2eq)	**8,119,000**	**6,673,000**	**6,791,000**	**1.8%**
Additional gross Scope 1 GHG emissions from investees for which Solvay has operational control (tCO_2eq)	*575,000*	*396,000*	*448,000*	*13.1%*
Gross Scope 1 GHG emissions from operational perimeter (tCO_2eq)	*8,694,000*	*7,069,000*	*7,239,000*	*2.4%*
Percentage of Scope 1 Greenhouse gas emissions reduction from the consolidated accounting group (as of emissions of base year)	0.0%	-17.8%	-16.3%	-8.2%
GHG emissions from regulated emission trading schemes from the consolidated accounting group (%)	65.9%	66.5%	67.1%	0.9%
Scope 1 CO_2 emissions				
Gross Scope 1 CO_2 emissions from the consolidated accounting group (tCO_2)	**7,087,000**	**5,856,000**	**5,761,000**	**-1.6%**
Additional gross Scope 1 CO_2 emissions from investees for which Solvay has operational control (tCO_2)	*575,000*	*396,000*	*448,000*	*13.1%*
Gross Scope 1 CO_2 emissions from operational perimeter (tCO_2)	*7,662,000*	*6,252,000*	*6,209,000*	*-0.7%*
Scope 1 emissions GHG other than CO_2				
Gross Scope 1 GHG emissions from the consolidated accounting group (tCO_2eq)	**1,032,000**	**817,000**	**1,030,000**	**26.1%**
Additional gross Scope 1 GHG emissions from investees for which Solvay has operational control (tCO_2eq)	*200*	*400*	*100*	
Gross Scope 1 GHG emissions from operational perimeter (tCO_2eq)	*1,032,200*	*817,400*	*1,030,100*	*26.0%*
Scope 2 GHG emissions				
Gross location-based Scope 2 GHG emissions from the consolidated accounting group (tCO_2eq)	**804,000**	**730,000**	**763,000**	**4.5%**
Additional gross location-based Scope 2 GHG emissions from investees for which Solvay has operational control (tCO_2eq)	*87,000*	*79,000*	*89,000*	*12.7%*
Gross location-based Scope 2 GHG emissions from operational perimeter (tCO_2eq)	*891,000*	*809,000*	*852,000*	*5.3%*
Gross market-based Scope 2 GHG emissions from operational perimeter (tCO_2eq)	***838,000***	***650,000***	***668,000***	***2.8%***
Additional gross market-based Scope 2 GHG emissions from investees for which Solvay has operational control (tCO_2eq)	*91,000*	*87,000*	*95,000*	*9.2%*
Gross market-based Scope 2 GHG emissions from operational perimeter(tCO_2eq)	*929,000*	*737,000*	*763,000*	*3.5%*
Absolute value of market-based Scope 2 Greenhouse gas emissions reduction from the consolidated accounting group	0	-187,000	-170,000	-9.4%
Percentage of market-based Scope 2 Greenhouse gas emissions reduction from the consolidated accounting group (as of emissions of base year)		**-22.3%**	**-20.2%**	
Total GHG emissions - Scope 1 + scope 2 - from the consolidated accounting group	**8,957,000**	**7,323,000**	**7,459,000**	**1.9%**
Percentage of Scope 1 + scope 2 (marked-based) emissions reduction from accounting group (as of emissions of base year)			**-16.7%**	
Significant scope 3 GHG emissions				
Total Gross indirect (Scope 3) GHG emissions (tCO_2eq)	**16,459,000**	**15,242,000**	**16,077,000**	**5.5%**
Percentage of Scope 3 emissions reduction from accounting group (as of emissions of base year)			**-2.3%**	
1 Purchased goods and services from the consolidated accounting group (tCO_2eq)	**5,206,000**	**4,860,000**	**5,241,000**	**7.8%**
1 Additional purchased goods and services from investees for which Solvay has operational control (tCO_2eq)	451,000	384,000	5,621,000	
1 Purchased goods and services from operational perimeter (tCO_2eq)	5,657,000	5,244,000	5,803,000	10.7%
2 Capital goods from the consolidated accounting group (tCO_2eq)	**702,000**	**1,108,000**	**874,000**	**-21.1%**
2 Additional capital goods from investees for which Solvay has operational control (tCO_2eq)	30,000	40,000	22,000	-45.0%
2 Capital goods from operational perimeter (tCO_2eq)	732,000	1,149,000	896,000	-22.0%
3 Fuel and energy-related Activities (not included in Scope1 or Scope 2) from the consolidated accounting group (tCO_2eq)	**1,391,000**	**1,147,000**	**1,195,000**	**4.2%**
3 Additional fuel and energy-related Activities from investees for which Solvay has operational control (tCO_2eq)	95,000	83,000	92,000	10.8%
3 Fuel and energy-related Activities from operational perimeter (tCO_2eq)	1,486,000	1,230,000	1,287,000	4.6%
4 Upstream transportation and distribution from the consolidated accounting group (tCO_2eq)	**314,000**	**325,000**	**351,000**	**8.0%**
4 Additional upstream transportation from investees for which Solvay has operational control (tCO_2eq)	5,000	4,000	14,000	250.0%
4 Upstream transportation from operational perimeter (tCO_2eq)	319,000	329,000	365,000	10.9%
5 Waste generated in operations from the consolidated accounting group (tCO_2eq)	**33,000**	**38,000**	**39,000**	**2.6%**
5 Additional waste generated in operations from investees for which Solvay has operational control (tCO_2eq)	6,000	6,000	7,000	16.7%
5 Waste generated in operations from operational perimeter (tCO_2eq)	39,000	44,000	46,000	4.5%

Scope 1, 2, 3 GHG emissions	2021 (Baseline)	2023 (Comparative)	2024	% 2024 versus 2023
6 Business traveling from the consolidated accounting group (tCO_2eq)	**1,000**	**2,000**	**3,000**	**50.0%**
6 Additional business traveling from investees for which Solvay has operational control (tCO_2eq)	0	0	0	
6 Business traveling from operational perimeter (tCO_2eq)	1,000	2,000	3,000	50.0%
7 Employee commuting from the consolidated accounting group (tCO_2eq)	**16,000**	**16,000**	**15,000**	**-6.3%**
7 Additional employee commuting from investees for which Solvay has operational control (tCO_2eq)	0	0	1,000	
7 Employee commuting from operational perimeter (tCO_2eq)	16,000	16,000	16,000	-5.9%
8 Upstream leased assets from the consolidated accounting group (tCO_2eq)	**2,000**	**2,000**	**2,000**	**0.0%**
8 Additional upstream leased assets from investees for which Solvay has operational control (tCO_2eq)	0	0	0	
8 Upstream leased assets from operational perimeter(tCO_2eq)	2,000	2,000	2,000	0.0%
9 Downstream transportation from the consolidated accounting group (tCO_2eq)	**531,000**	**449,000**	**542,000**	**20.7%**
9 Additional downstream transportation from investees for which Solvay has operational control (tCO_2eq)	14,000	12,000	19,000	58.3%
9 Downstream transportation from operational perimeter (tCO_2eq)	545,000	461,000	561,000	21.7%
10 Processing of sold products from the consolidated accounting group (tCO_2eq)	**1,790,000**	**1,594,000**	**1,679,000**	**5.3%**
10 Additional processing of sold products from investees for which Solvay has operational control (tCO_2eq)	92,000	77,000	88,000	14.3%
10 Processing of sold products from operational perimeter (tCO_2eq)	1,882,000	1,671,000	1,767,000	5.7%
11 Use of sold products from the consolidated accounting group (tCO_2eq)	**3,242,000**	**2,941,000**	**3,135,000**	**6.6%**
11 Additional use of sold products from investees for which Solvay has operational control (tCO_2eq)	3,000	13,000	16,000	
11 Use of sold products from operational perimeter (tCO_2eq)	3,245,000	2,954,000	3,152,000	6.7%
12 End-of-life treatment of sold products from the consolidated accounting group (tCO_2eq)	**3,106,000**	**2,633,000**	**2,869,000**	**9.0%**
12 Additional end of life treatment of sold products from investees for which Solvay has operational control (tCO_2eq)	46,000	31,000	38,000	
12 End of life treatment of sold products from operational perimeter (tCO_2eq)	3,152,000	2,664,000	2,906,000	9.1%
13 Downstream leased assets from the consolidated accounting group (tCO_2eq)	**0**	**0**	**0**	
13 Additional downstream leased assets from investees for which Solvay has operational control (tCO_2eq)	0	0	0	
13 Downstream leased assets from operational perimeter (tCO_2eq)	0	0	0	
14 Franchises from the consolidated accounting group (tCO_2eq)	**0**	**0**	**0**	
14 Additional franchises from investees for which Solvay has operational control (tCO_2eq)	0	0	0	
14 Franchises from operational perimeter (tCO_2eq)	0	0	0	
15 Investments from the consolidated accounting group (tCO_2eq)	**125,000**	**127,000**	**132,000**	**3.9%**
Additional investments from investees for which Solvay has operational control (tCO_2eq)	0	0	0	
Investments from operational perimeter (tCO_2eq)	125,000	127,000	132,000	3.9%
Total GHG emissions - Scope 1, 2 & 3 - from the consolidated accounting group				
Total GHG emissions - Scope 1, 2 & 3 (location-based) from the consolidated accounting group (tCO_2eq)	25,382,000	22,645,000	23,631,000	4.4%
Total GHG emissions - Scope 1, 2 & 3 (market-based) from the consolidated accounting group (tCO_2eq)	25,416,000	22,565,000	23,536,000	4.3%
Percentage of Total Greenhouse gas emissions - Scope 1, 2 & 3 - reduction from the consolidated accounting group (as of emissions of base year) - market-based			**-7.4%**	

Scope 1 emissions GHG other than CO_2	Units	2021	2023	2024
Methane – CH4 - from the consolidated accounting group	t CO_2eq	**1,007,500**	**803,500**	**1,002,700**
Additional methane emission from investees for which Solvay has operational control (tCO_2eq)		0	0	0
Methane emission from operational perimeter (tCO_2eq)		**1,007,500**	**803,500**	**1,002,700**
Nitrous oxide – N2O - from the consolidated accounting group	t CO_2eq	**20,600**	**10,200**	**17,500**
Additional nitrous Oxide emission from investees for which Solvay has operational control (tCO_2eq)		0	0	0
Nitrous Oxide emission from operational perimeter (tCO_2eq)		20,600	10,200	17,500
Sulfur hexafluoride – SF6 - from the consolidated accounting group	t CO_2eq	**1,400**	**1,300**	**7,600**
Additional sulfur hexafluoride emission from investees for which Solvay has operational control (tCO_2eq)		0	0	0
Sulfur hexafluoride emission from operational perimeter (tCO_2eq)		1,400	1,300	7,600
Hydro fluoro carbons – HFCs - from the consolidated accounting group	t CO_2eq	**2,500**	**2,000**	**2,200**
Additional hydro fluoro carbons emission from investees for which Solvay has operational control (tCO_2eq)		200	400	100
Hydro fluoro carbons emission from operational perimeter (tCO_2eq)		2,700	2,400	2,300
Perfluorocarbons – PFCs - from the consolidated accounting group	t CO_2eq	**0**	**0**	**0**
Additional perfluorocarbons emission from investees for which Solvay has operational control (tCO_2eq)		0	0	0
Perfluorocarbons emission from operational perimeter (tCO_2eq)		0	0	0
Nitrogen trifluoride – NF3 - from the consolidated accounting group	t CO_2eq	**0**	**0**	**0**
Additional nitrogen trifluoride emission from investees for which Solvay has operational control (tCO_2eq)		0	0	0
Nitrogen trifluoride emission from operational perimeter (tCO_2eq)		0	0	0
Total other greenhouse gas emissions other than CO_2 from the consolidated accounting group	t CO_2eq	**1,032,000**	**817,000**	**1,030,000**
Additional total other greenhouse gas emissions from investees for which Solvay has operational control (tCO_2eq)		200	400	100
Total other greenhouse gas emissions from operational perimeter (tCO_2eq)		1,032,200	817,400	1,030,100

E1-5 Energy consumption and mix

The different components of Solvay's energy consumption are converted into primary energy sources as follows:

- Fuels, using the net calorific values;
- Steam purchased, taking into account the boiler efficiency reference value for the type of fuel used to generate the steam, for example 90% efficiency based on the net calorific value for natural gas; and
- Electricity purchased, assuming an average efficiency of 39.5% for all types of fossil-fuel power production except for nuclear power (33%), hydro (100%), solar (100%), and wind (100%), based on net calorific value (source: International Energy Agency – IEA)

Energy consumption and mix for Solvay's own needs	**2021 (Baseline)**	**2023 (Comparative)**	**2024**
(1) Fuel consumption from coal and coal products from the consolidated accounting group (MWh)	**7,405,000**	**6,636,000**	**5,363,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*932,000*	*707,000*	*787,000*
Consumption from operational perimeter (MWh)	*8,337,000*	*7,343,000*	*6,150,000*
(2) Fuel consumption from crude oil and petroleum products from the consolidated accounting group (MWh)	**88,000**	**51,000**	**79,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*1,000*	*1,000*	*1,000*
Consumption from operational perimeter (MWh)	*89,000*	*52,000*	*80,000*
(3) Fuel consumption from natural gas - including steam and electricity sales from the consolidated accounting group (MWh)	**8,618,000**	**7,184,000**	**8,174,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*429,000*	*367,000*	*384,000*
Consumption from operational perimeter (MWh)	*9,047,000*	*7,551,000*	*8,558,000*
(4) Fuel consumption from other fossil sources from the consolidated accounting group (MWh)	**44,000**	**24,000**	**27,000**
Additional consumption from investees for which Solvay has operational control (MWh)	0	0	0
Consumption from operational perimeter (MWh)	44,000	24,000	27,000
(5) Consumption of purchased or acquired electricity, heat, steam, and cooling from fossil sources from the consolidated accounting group (MWh)	**5,405,000**	**4,290,000**	**4,638,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*496,000*	*459,000*	*527,000*
Consumption from operational perimeter (MWh)	*5,901,000*	*4,749,000*	*5,165,000*
(6) Total fossil energy consumption from the consolidated accounting group (MWh) **(calculated as the sum of lines 1 to 5)**	**21,560,000**	**18,185,000**	**18,281,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*1,858,000*	*1,534,000*	*1,699,000*
Consumption from operational perimeter (MWh)	*23,418,000*	*19,719,000*	*19,980,000*
Share of fossil sources in total energy consumption from the consolidated accounting group (%)	**95.9%**	**93.4%**	**90.5%**
Share of fossil sources in total energy consumption from operational perimeter (%)	**96.1%**	**93.6%**	**90.9%**
(7) Consumption from nuclear sources from the consolidated accounting group (MWh)	**226,000**	**196,000**	**503,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*14,000*	*16,000*	*18,000*
Consumption from operational perimeter (MWh)	*240,000*	*212,000*	*521,000*
Share of consumption from nuclear sources in total energy consumption from the consolidated accounting group (%)	**1.0%**	**1.0%**	**2.5%**
(8) Fuel consumption for renewable sources, including biomass (also comprising industrial and municipal waste of biologic origin, biogas, renewable hydrogen, etc.) from the consolidated accounting group (MWh)	**427,000**	**701,000**	**768,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*11,000*	*48,000*	*69,000*
Consumption from operational perimeter (MWh)	*438,000*	*749,000*	*837,000*
(9) Consumption of purchased or acquired electricity, heat, steam, and cooling from renewable sources from the consolidated accounting group (MWh)	**280,000**	**392,000**	**649,000**
Additional consumption from investees for which Solvay has operational control (MWh)	*0*	*0*	*0*
Consumption from operational perimeter (MWh)	*280,000*	*392,000*	*649,000*
(10) The consumption of self-generated non-fuel renewable energy from the consolidated accounting group (MWh)	**0**	**0**	**0**
Additional consumption from investees for which Solvay has operational control (MWh)	*0*	*0*	*0*
Consumption from operational perimeter (MWh)	*0*	*0*	*0*
(11) Total renewable energy consumption from the consolidated accounting group (MWh) **(calculated as the sum of lines 8 to 10)**	**707,000**	**1,093,000**	**1,416,000**
Additional renewable energy consumption from investees for which Solvay has operational control (MWh)	*11,000*	*48,000*	*69,000*
Total renewable energy consumption from operational perimeter (MWh)	*718,000*	*1,141,000*	*1,485,000*
Share of renewable sources in total energy consumption from the consolidated accounting group (%)	**3.1%**	**5.6%**	**7.0%**
Share of renewable sources in total energy consumption from operational perimeter (MWh)	**2.9%**	**5.4%**	**6.8%**
Total energy consumption from the consolidated accounting group (MWh) **(calculated as the sum of lines 6, 7 and 11)**	**22,493,000**	**19,474,000**	**20,201,000**
Additional energy consumption from investees for which Solvay has operational control (MWh)	1,883,000	1,598,000	1,786,000
Total energy consumption from operational perimeter (MWh)	24,376,000	21,072,000	21,987,000

Energy production mix for third party*	**2021 (Baseline)**	**2023 (Comparative)**	**2024**
Renewable energy production (MWh)	1,053,000	825,000	715,000
Non-renewable energy production (MWh) - not included in section (9) above	5,709,000	4,446,000	4,624,000

* *Energy production for third party is mainly heat production for third party supply and co-produced power due to the use of high-efficiency co-generation of heat/cool and power from fossil gaseous fuels assets.*

High climate impact sectors used to determine energy intensity

All activities are considered as high climate impact.

Energy intensity per sales	2023 (Comparative)	2024	% 2024 / 2023
Total energy consumption from activities in high climate impact sectors (MWh)	24,746,000	25,539,000	3.2%
Total sales from activities in high climate impact sectors (€ million)	6,024	5,130	-14.9%
Total energy consumption per sales from activities in high climate impact sectors (MWh/€)	0.0041	0.0050	+21.2%

The amount of sales is in line with the figure disclosed in Note F1 Revenue and segment information.

E1-6 Gross scopes 1, 2, 3 and total GHG emissions

	Retrospective				Milestones and target years			
	Base year - 2021	2023 (Comparative)	2024	% 2024 / 2023	2025	2030	(2050)	Annual % target / Base year - 2021
Total greenhouse gas emissions Scope 1 and 2 (market based) from the consolidated accounting group (tCO_2eq)	8,957,000	7,323,000	7,459,000	1.9%	7,150,000	6,270,000	0	3.3% by 2030 and 3.5% 2030-2050
Total greenhouse gas emissions (Scope 1 and 2) - as published (tCO_2eq)	9,001,000							
Variation due to changes in reporting scope (structural changes) (tCO_2eq)	-55,000							
Variation due to changes in methodology or improvements in data accuracy (tCO_2eq)	11,000							
Significant scope 3 GHG emissions								
Total greenhouse gas emissions Scope 3 from the consolidated accounting group (tCO_2eq)	16,459,000	15,243,000	16,077,000	5.5%	15,968,000	13,746,000		
Greenhouse gas emissions Scope 3 - Focus 5 categories (scope of our target)	14,735,000	13,175,000	14,119,000	7.2%	14,010,000	11,788,000		2.2% by 2030

More details on retrospective data are reported in E1-4.

GHG emissions intensity (total GHG emissions per sales)

GHG intensity per sales (Scope 1, 2 & 3)	2023 (Comparative)	2024	% 2024 / 2023
Total GHG emissions (location-based) per sales (tCO_2eq/€)	0.0038	0.0046	+23%
Total GHG emissions (market-based) per sales (tCO_2eq/€)	0.0037	0.0046	+22%

Changes in methodology

For Scope 1 and 2, no significant changes have been made to the calculation methodology in 2024 - significant changes in reporting scope with an impact of +0.053 Mt CO_2eq have occurred in 2024 and the 2021 baseline has been restated accordingly.

The scope change is related to the financial consolidation change for 1 site of the Peroxides business.

In terms of year-to-year reported GHG emissions it would not have an impact as the baseline and 2023 data are recalculated accordingly.

For Scope 3, a significant change in the methodology has been integrated. Categories 3.1, 3.4, and 3.5 have been calculated separately. Solvay included the purchasing, supply chain, and waste treatment activity data to calculate this category. The years 2021, 2022, and 2023 have been restated with the new methodology therefore ensuring comparability between the years.

Reference to accounting guidance and methodology

Solvay references various industry standards and reports to address greenhouse gas (GHG) emissions, including the World Business Council for Sustainable Development's Guidance for Accounting and Reporting Corporate GHG Emissions in the Chemical Sector Value Chain, the Greenhouse Gas Protocol Corporate Accounting and Reporting Standard, and the Greenhouse Gas Protocol Corporate Value Chain (Scope 3) Standard. Additionally, they incorporate the global warming potentials on fluorinated greenhouse gases from the Intergovernmental Panel on Climate Change's Fifth Assessment Report for compliance with European Regulation (EU) No 517/2014.

To align with its sustainability policy and meet Global Reporting Initiative requirements, Solvay adopted the market-based method for calculating CO_2 emissions linked to purchased electricity (Scope 2). They established specific criteria for selecting the CO_2 emission factor for each electricity supply contract, prioritizing factors such as energy attribute certificates, contract-based agreements, supplier or utility emission rates, and residual mix. In cases where these factors are unavailable, national emission factors published by national authorities or international organizations are used, and alternative emission factors are applied for specific regions such as the USA and China based on specific recommendations from relevant organizations.

Solvay's approach to addressing GHG emissions reflects their commitment to compliance with industry standards and their dedication to following sustainable and transparent practices in calculating and reporting their environmental impact. By leveraging reputable references and implementing specific selection criteria for emission factors, Solvay aims to ensure accuracy and consistency in their GHG accounting and reporting efforts.

Scope 3 emissions are calculated by multiplying the activity data (e.g., purchased goods and services, business travel, etc.) by relevant emission factors. Emission factors can come directly from the supplier or from databases (e.g., Ecoinvent).

1. Purchased goods and services

Starting in 2024, Solvay leverages procurement databases to calculate Scope 3.1 emissions. For purchased raw materials and other goods & services, we utilize invoiced quantities and, when not available, spend-based calculations. Emission factors are derived from trusted sources, including the Ecoinvent database and, increasingly, primary data obtained directly from our suppliers' Product Carbon Footprints (PCFs). This category currently uses 86% primary activity data and 22% primary emission factor data.

2. Capital goods

Following the WBCSD Guidance for Accounting and Reporting Corporate GHG Emissions in the Chemical Sector Value Chain, we assume the capital goods are made out of 25% concrete and 75% steel.

Indeed, this methodology was privileged as the data on the composition of capital goods and/or their emission factors is not available. However, as part of Solvay's continuous improvement approach for Scope 3, we will work with procurement and industrial teams to use internal data in the calculation of this category.

3. Fuel-and energy-related activities not included in Scope 1 or Scope 2

To calculate Scope 3.3 emissions, Solvay considers the energy purchased and consumed within the reporting year, encompassing sources that fall under Scope 1 and Scope 2. This category includes a comprehensive range of energy types, specifically: electricity, gas (including hydrogen), steam, fuel oil, coal & petcoke, and biomass. By tracking and analyzing the consumption of these energy sources, Solvay can effectively quantify the indirect (i.e. upstream) emissions associated with our energy use.

4. Upstream transportation and distribution

Upstream transportation and distribution emissions cover the movement of products from suppliers to Solvay's plants. Using purchased raw material activity data (Category 1), the origin of these materials was mapped, and assumptions were made to determine distances and transportation modes. Emission factors were sourced from Ecoinvent.

5. Waste generated in operations

To calculate Scope 3 emissions associated with waste management (Category 5), we collect data on waste generated at our operational sites. This data, including the quantity of waste (dry matter) and its final treatment method (e.g., incineration, landfill), is reported annually. We then estimate the carbon footprint of each type of waste by calculating an emission factor based on its carbon content and the specific treatment process. For example, we estimate the proportion of waste that decomposes aerobically, producing CO_2, and the proportion that decomposes anaerobically, producing CH4. By applying these emission factors to the reported waste quantities, we can calculate the total Scope 3 emissions associated with waste management. This method was discussed with Solvay peers in the Together for Sustainability working group.

6. Business travel

Business travel undertaken by Solvay employees is recorded by our travel agency and monitored by our purchasing department. For air and rail travel, travel mileage is recorded. This covers more than 95% of our air and rail travel. The calculated GHG emissions are extrapolated to represent the totality of our travel. For each transportation mode, mileage is converted into CO_2 equivalent using emission factors from Ecoinvent.

7. Employee commuting

The estimation is based on assuming that Solvay employees based in industrial sites commute every day in an average diesel or petrol car. Employees at administrative and R&I sites commute three times per week (i.e. home office two days per week). As part of our continuous improvement mindset regarding Scope 3 data, Solvay is working to start including more representative data site by site.

8. Upstream leased assets

Upstream leased asset emissions (Category 8) cover Solvay's leased car fleet. Data on car types and distances driven were provided by the leasing company, and emission factors were sourced from Ecoinvent.

9. Downstream transportation and distribution

This category covers the transportation of Solvay products from its sites to customers. Activity data, comprising all transportation legs, is extracted from Solvay's ERP (Enterprise Resource Planning) system. A certified external service provider performs the calculations using the latest version of the GLEC emission factors.

10. Processing of sold products: 11. Use of sold products; and 12. End-of-life treatment of sold products

The computation principles for these three categories are the same. The emissions due to product processing and transformation by third parties subsequent to sale by Solvay are calculated according to product chemical composition and expected chemical reactions likely to generate emissions during the transformation, the usage, and end-of-life of our product.

13. Downstream leased assets

This is not applicable as Solvay leased assets are not material to the Group.

14. Franchises

This is not applicable as Solvay has no franchises.

15. Investments

Scope 1 and 2 emissions from non-consolidated entities (that are not consolidated in Solvay's Scope 1 and 2) are reported according to Solvay's financial interest in these entities, to ensure consistency with our financial statements.

We are not aware of any significant events or changes in circumstances impacting GHG emissions that could have occurred between the reporting dates of the entities in our value chains, and Solvay's reporting date.

Biogenic emissions of CO_2 from the combustion or bio-degradation of biomass not included in Scope 1 GHG emissions

	2021 (Baseline)	2023 (Comparative)	2024
Biogenic emissions of CO_2 from the combustion or bio-degradation of biomass not included in Scope 1 GHG emissions from the consolidated accounting group (in tCO_2eq)	1,211,000	1,071,000	1,079,000
Additional biogenic emissions of CO_2 from the combustion or bio-degradation of biomass not included in Scope 1 GHG emissions from investees for which Solvay has operational control (in tCO_2eq)	3,000	14,000	20,000
Biogenic emissions of CO_2 from the combustion or bio-degradation of biomass not included in Scope 1 GHG emissions from operational perimeter (in tCO_2eq)	1,214,000	1,085,000	1,099,000

Biogenic emissions from the combustion or bio-degradation of biomass not included in Scope 1 GHG emissions peaked in 2021 due to a record high activity in Brazil consuming bagass. The drop of this Brazilian activity since 2021 is partly mitigated by the increase of biomass consumption in Europe.

Contractual instruments used for sale and purchase of energy bundled with attributes about energy generation or for unbundled energy attribute claims

To better reflect our sustainability policy, we decided to use the market-based method to calculate CO_2 emissions associated with purchased electricity (Scope 2). To comply with Global Reporting Initiative requirements, we apply the following criteria, listed in decreasing order of priority, when selecting the CO_2 emission factor of each electricity supply contract:

- Energy attribute certificates: Emission factors resulting from specific instruments, such as green energy certificates.
- Contract-based: The emission factor obtained from contract agreements on specific sources for which there is no emission of specific attributes.
- Supplier or utility emission rates: The emission factor disclosed as a result of the supplier's retail mix.
- Residual mix: If a residual mix is unavailable, grid-average emission factors are used as a proxy.

Location-based: If none of the above factors are available, we use the national emission factor published by national authorities or the International Energy Agency. Based on a World Resources Institute (WRI) recommendation, Emissions and Generation Resource Integrated Database (eGRID) emission factors published by the United States Environmental Protection Agency are used for the US, instead of the state emission factor. Similarly, grid emission factors published by the Ministry of Ecology and Environment are used for China, instead of the state emission factors.

	2021 (Baseline)	2023 (Comparative)	2024
Number of Scope 2 GHG emissions from contractual instruments (tCO_2eq)	131,000	98,000	130,000
Percentage of contractual instruments, Scope 2 GHG emissions	16%	13%	17%
Percentage of contractual instruments used for sale and purchase of energy bundled with attributes about energy generation in relation to Scope 2 GHG emissions	3%	5%	4%
Percentage of contractual instruments used for sale and purchase of unbundled energy attribute claims in relation to Scope 2 GHG emissions	13%	9%	13%

Power purchase agreement and steam based on biomass purchases are considered in energy bundled and renewable electricity certificates and guarantees of origin purchases are considered in energy unbundled.

Biogenic emissions of CO_2 from combustion or bio-degradation of biomass that occur in value chain not included in Scope 3 GHG emissions

Biogenic CO_2 emissions from the combustion or biodegradation of biomass are included in Scope 3 upstream emissions. Category 3.3 of Scope 3 specifically covers the upstream emissions associated with the production of purchased biomass. Additionally, biogenic emissions are also accounted for at the end-of-life stage when biomass waste is sent to landfill. However, at this stage, only methane (CH_4) emissions from biomass degradation are considered, while N_2O emissions are not included.

E1-7 GHG Removals and GHG mitigation projects financed through carbon credits

Solvay does not use in its own operations, nor in its upstream nor its downstream value chain, removals or carbon credits to compensate for emissions reported here.

However, in 2023 Solvay bought 2,000 VCUs (Verified Carbon Units) from a reforestation project of native species in Brazil, outside Solvay' value chain and managed by the Office National des Forêts - Brazil (ONF Brazil) to market a carbon-neutral portfolio of products commercialized in Brazil and in the United States. The VCUs were issued by Verra, a well-recognised organization in the development and management of high-integrity, high impact programs for climate and environmental projects, highligting Solvay's commitment to apply verified and recognized quality standards for the biogenic removal projects. 37 VCUs were retired in 2023, and 351 VCUs were retired in 2024 to offset the remaining GHG emissions from the extraction of raw materials, the manufacturing of these products. The 1,612 remaining VCUs are held in the Verra registry and are planned to be retired in the future in order to maintain the carbon-neutrality of this portfolio of products.

E1-8 Internal Carbon Pricing

E1-8 Disclosure whether internal carbon pricing schemes are applied, and if so, how they support its decision making and incentivize the implementation of climate-related policies and targets

The company applies an internal carbon pricing scheme of EUR 100/t CO_2eq to all investment projects, regardless of geographic location, to incorporate negative externalities and potential future CO_2 costs into decision-making. This price is factored into profitability assessments and capital expenditure (capex) procedures for projects impacting Scope 1 and Scope 2 emissions throughout their lifetime. By integrating carbon costs, the company ensures alignment with climate-related policies and targets while incentivizing sustainable investments.

The internal carbon price is also used for the Sustainable Portfolio Assessment covering Scope 1 and 2 as well as Scope 3 - categories 3.1, 3.3, 3.4 and 3.5 - emissions.

Last the internal carbon price is also applied for the Travel Carbon Fund related to Scope 3 category 3.6 emissions.

For further details on pricing assumptions and financial implications, refer to financial section 7.2 Notes to the consolidated financial statements

The share of gross Scope 1, Scope 2 and Scope 3 greenhouse gas emissions covered by internal carbon pricing scheme is shown below:

Internal carbon pricing scheme		**t CO_2eq**
Percentage of gross Scope 1 greenhouse gas emissions covered	100%	6,791,000
Percentage of gross Scope 2 greenhouse gas emissions covered	100%	668,000
Percentage of gross Scope 3 greenhouse gas emissions covered	42%	6,829,000

6.2.2. Reporting according to EU Taxonomy

The EU taxonomy (2020/852) is a classification system, establishing a closed list of environmentally sustainable economic activities. It is intended to play an important role in helping the EU scale up sustainable investment and implement the European Green Deal. The EU taxonomy provides companies, investors, and policymakers with appropriate definitions under which economic activities can be considered environmentally sustainable.

In order to be taxonomy-eligible, an economic activity should match the description of the activity in the Delegated Acts (EU) 2023/2485 & (EU)2023/2486. As such, the EU Taxonomy only addresses a limited number of Solvay activities.

To be taxonomy-aligned, an economic activity first needs to be eligible as described above, and must then fulfill the following criteria:

- The economic activity must make a substantial contribution to one or more of the climate and environmental objectives relevant to that activity.
- The activity should do no significant harm to the other remaining objectives.
- The activity should fulfill the minimum social safeguard standards based on OECD and UN guidelines.

EU Taxonomy report basis of preparation

We use our Sustainable Portfolio Management tool to identify the sales of each product and application combinations matching the descriptions of EU taxonomy activities. A cumulative minimum threshold of 1 Million Euro of sales per economic activity is set to select the reported economic activity. We cross-check that each product and activity well corresponds to the EU taxonomy description. For the non-manufacturing and the no-revenue-related activities, we performed sanity checks with the industrial controlling and the finance reporting teams to ensure the completeness of the review.

The following eligible economic activities for 2024 relate to their contribution to the climate change mitigation.

- Revenue-related eligible economic activities
  - activity 3.3 manufacture of low carbon technologies for transport
  - activity 3.4 manufacture of batteries
  - activity 3.12 manufacture of soda ash
  - activity 3.17 manufacture of plastics in primary form
  - activity 4.20 cogeneration of heat/cool and power from bioenergy
  - activity 4.30 high-efficiency cogeneration of heat/cool and power from fossil gaseous fuels
- No-revenue-related eligible economic activities
  - activity 6.2 freight rail transport
  - activity 6.3 urban and suburban transport, road passenger transport

The reporting perimeter for the EU Taxonomy figures corresponds to Solvay's consolidated accounting group, and the financial data are collected from our financial data system. Solvay avoids double-counting of its economic activities by ensuring that sales, capex and opex were allocated only once to the taxonomy activities and only to the climate change mitigation as the environmental objective.

The Turnover indicator defined in EU taxonomy corresponds to sales as reported in Solvay's consolidated income statement and in financial note F1: revenue and segment information.

The Capex indicator denominator defined in the EU Taxonomy corresponds to the capital expenditures from continuing operations that include acquisitions of property, plant and equipment, acquisition of intangible assets and acquisition of Right of use assets. These elements are covered in Solvay's financial statements in note F1: Revenue and segment information, note F16: Cash flow from investing activities - acquisition/disposal of asset and investments, note F20: Property, plant and equipment, and note F21: Right of use (IFRS16). For the reporting of capital expenditure of the no-revenue-related economic activities, Solvay reports only amounts higher than €5 million.

The Opex indicator denominator as per the definition of the EU taxonomy equals the direct non-capitalised costs that relate to research and development, building renovation measures, short-term lease, maintenance and repair, and any other direct expenditures relating to day-to-day servicing of assets. The definition of the EU taxonomy Opex indicator denominator differs from the IFRS definition of operating expenditures. Solvay applied the definition of the EU taxonomy to the best of its understanding. For the reporting of the operational expenditures of the no-revenue-related economic activity, Solvay reports amounts higher than 2% of the group operational expenditures.

Solvay is internally organized as per the following reportable segments: Basic Chemicals (Soda ash & derivatives and Peroxides businesses), Performance Chemicals (Silica, Coatis and Special Chem businesses) and Corporate. Solvay does not have a system that allows direct tracking of the capital and operational expenditures indicators related to the eligible economic activities as defined in the EU taxonomy. The share of capital expenditures (respectively operational expenditures) for some eligible economic activities are estimated. For all manufacturing activities, the indicators are calculated as the capital expenditures (respectively the operational expenditures) of the corresponding Global Business Unit pro-rated by the sold volume in this economic activity over the total volume sold by that GBU.

Given the current organization of our reportable segments and the limitation due to the corresponding setup of our information systems, the capital expenditures and operational expenditures indicators defined by the EU taxonomy for the 4.20 cogeneration of heat/cool and power from bioenergy and 4.30 high-efficiency cogeneration of heat/cool and power from fossil gaseous fuels are not reported separately but are embedded in the other taxonomy-eligible and non-eligible activities at the pro rata of the eligible sales volumes.

The right-of-use assets related to the "6.2 freight rail transport" and "6.3 urban and suburban transport, road passenger transport" eligible activities are included in the capital expenditures indicators.

Results of Solvay's taxonomy-eligible and taxonomy-aligned economic activities in 2024

EU Taxonomy indicator	Total (MEUR)	Share of taxonomy eligible economic activities(%)	Share of taxonomy non-eligible economic activities (%)	Share of taxonomy aligned economic activities(%)	Share of taxonomy non-aligned economic activities (%)
Turnover indicator as per definition of the EU taxonomy	5 130	33%	67%	0%	100%
Capex denominator as per definition of the EU taxonomy	349	45%	55%	0%	100%
Opex denominator as per definition of the EU taxonomy	317	53%	47%	0%	100%

Please refer to the tables on the following pages for a more detailed breakdown.

Sales (defined as turnover in the EU taxonomy):

The manufacture of soda ash activity is the main contributor to Solvay's eligible sales. The reported figures correspond to our Soda Ash & Derivatives business, which is a mono-technology business. As prescribed by the Regulation (EU) 2020/852, we report the figures from manufacture of disodium carbonate (soda ash, sodium carbonate, carbonic acid disodium salt) excluding the manufacture of sodium bicarbonate. We do not report in 2024 any aligned activity for our soda ash activity as we are not in a position yet to document that the technical criteria and the minimum safeguards and the "do no significant harm" criteria are fulfilled given some ambiguity in the current EU Taxonomy Regulation text and its associated delegated acts.

The sales generated in the manufacture of plastics in primary form activity are made of the smart, functional and sustainable yarns and polymers from Coatis.

As part of its operations Solvay produces steam and electricity primarily for its own use. Solvay reports some non-core sales of utilities to third parties (see Note F3 revenue from non-core activities in the Financial Statements). Energy production for third parties is mainly heat production for third parties and co-produced power by high-efficiency cogeneration of heat/cool and power from fossil gaseous fuels assets that Solvay operates for its own use but that are sometimes part of larger industrial integrated platforms. Energy sales to third parties are reported under the economic activities 4.30 "high-efficiency cogeneration of heat/cool and power from fossil gaseous fuels assets" and 4.20 "cogeneration of heat/cool and power from bioenergy".

We have launched the Solvay's STAR Factory Program, which aims to fully implement the "For Generations" sustainability program at site level. STAR Factory is now deployed in almost all our plants. We believe that it will gradually deliver the required data to allow us to qualify some of our activities as aligned.

Capital expenditure indicators (as defined in the EU Taxonomy):

The manufacture of soda ash activity is the main contributor to Solvay's taxonomy-eligible capex (€120M). The investments in energy assets for the decarbonisation roadmap of the soda ash activity are partially included in that figure.

The other capex of taxonomy-eligible activities corresponds to the leasing of transportation equipment that mainly consist of railcars to transport our products and company cars.

Operational expenditure indicators (as defined in the EU taxonomy):

The manufacture of soda ash activity is the main contributor to Solvay's taxonomy-eligible opex (€168M) out of the total Opex indicator denominator (€317M).

The Group works hard to constantly improve our share of economic activities considered eligible for, or aligned with, the EU taxonomy. We believe that STAR Factory and other major programs will deliver on these objectives in the coming years.

Form 1 for the economic activities of certain energy sector – nuclear energy and fossil gas related activities

Row	Nuclear energy related activities	
1.	The undertaking carries out, funds or has exposures to the research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	NO
2.	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using the best available technologies.	NO
3.	The undertaking carries out, funds or has exposures to the safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	NO
	Fossil gas related activities	
4.	The undertaking carries out, funds or has exposures to the construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	NO
5.	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	YES*
6.	The undertaking carries out, funds or has exposures to construction, refurbishment and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	NO

* *Solvay does not publish the tables as per template 4 (taxonomy-eligible but not taxonomy-aligned economic activities) as Solvay is not in a position to segregate the information to that level of detail due to the organization of its reportable segments and the corresponding structure of its finance data systems.*

EU Taxonomy Indicators: 2024 Sales (Turnover)

	2024			Substantial contribution criteria						Do Not Significant Harm Criteria (DNSH)								
Economic activities	Code	Sales	Proportion of Sales	Climate change mitigation	Climate change adaptation	Water & marine resources	Circular Economy	Pollution	Biodiversity & ecosystems	Climate change mitigation	Climate change adaptation	Water & marine resources	Circular Economy	Pollution	Biodiversity & ecosystems	Minimum safeguards	Category: Enabling Activities	Category: Transitional Activities
		k€	in %	Yes; No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	E	T
A. Taxonomy-eligible activities																		
A.1 Environmentally sustainable activities (taxonomy-aligned)																		
Sales of environmentally sustainable activities (taxonomy aligned) (A.1)		0	0%	0%	0%	0%	0%	0%	0%									
of which Enabling			0%														E	
of which Transitional			0%															T
A.2 Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned)																		
Manufacture of low carbon technologies for transport	CCM 3.3	22 920	0%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								E	
Manufactures of batteries	CCM 3.4	15 270	0%	EL	N/EL	N/EL	N/EL	N/EL	N/EL								E	
Manufacture of soda ash	CCM 3.12	1 349 460	26%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									T
Manufacture of plastics in primary form	CCM 3.17	68 000	1%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									T
Cogeneration of heat/cool and power from bioenergy	CCM 4.20	2 174	0%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									
High-efficiency cogeneration of heat/cool and power from fossil gaseous fuels	CCM 4.30	223 114	4%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									T
Sales of taxonomy-eligible but not environmental sustainable activities (not taxonomy aligned) (A.2)		1 680 938	33%	33%	0%	0%	0%	0%	0%									
A. Sales of taxonomy eligible activities (A.1 + A.2)		**1 680 938**	**33%**	**33%**	**0%**	**0%**	**0%**	**0%**	**0%**									
B. Taxonomy non-eligible activities																		
Sales for taxonomy non-eligible activities		3 448 836	67%															
Total - Sales denominator (A.+ B.)		**5 129 774**	**100%**															

EL = eligible

N/EL = non-eligible

EU Taxonomy Indicators: 2024 Capital Expenditures (Capex)

		2024		Substantial contribution criteria						Do Not Significant Harm Criteria (DNSH)								
	Code	Capital Expenditures	Proportion of Capex	Climate change mitigation	Climate change adaptation	Water & marine resources	Circular Economy	Pollution	Biodiversity & ecosystems	Climate change mitigation	Climate change adaptation	Water & marine resources	Circular Economy	Pollution	Biodiversity & ecosystems	Minimum safeguards	Category: Enabling Activities	Category: Transitional Activities
Economic activities		k€	in %	Yes; No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Yes;No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	E	T
A. Taxonomy-eligible activities																		
A.1 Environmentally sustainable activities (taxonomy-aligned)																		
Capex of environmentally sustainable activities (taxonomy aligned) (A.1)		0	0%	0%	0%	0%	0%	0%	0%									
of which Enabling			0%														E	
of which Transitional			0%															T
A.2 Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned)																		
Manufacture of soda ash	CCM 3.12	120 283	34%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									T
Freight rail transport	CCM 6.2	30 995	9%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									
Urban and suburban transport, road passenger transport	CCM 6.3	5 036	1%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									
Capex of taxonomy-eligible but not environmentally sustainable activities (not taxonomy aligned) (A.2)		156 314	45%	45%	0%	0%	0%	0%	0%									
A. Capex of taxonomy eligible activities (A.1 + A.2)		**156 314**	**45%**	**45%**	**0%**	**0%**	**0%**	**0%**	**0%**									
B. Taxonomy non-eligible activities																		
Capex of taxonomy non-eligible activities		192 455	55%															
Total - Capex denominator (A.+ B.)		**348 769**	**100%**															

EL = eligible

N/EL = non-eligible

EU Taxonomy Indicators: 2024 Operational Expenditures (Opex)

		2024		Substantial contribution criteria						Do Not Significant Harm Criteria (DNSH)								
	Code	Operational Expenditures	Proportion of Opex	Climate change mitigation	Climate change adaptation	Water & marine resources	Circular Economy	Pollution	Biodiversity & ecosystems	Climate change mitigation	Climate change adaptation	Water & marine resources	Circular Economy	Pollution	Biodiversity & ecosystems	Minimum safeguards	Category: Enabling Activities	Category: Transitional Activities
Economic activities		k€	in %	Yes; No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Yes;No; N/EL	Yes; No; N/EL	Yes; No; N/EL	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	Y/N	E	T
A. Taxonomy-eligible activities																		
A.1 Environmentally sustainable activities (taxonomy-aligned)																		
Opex for environmental sustainable activities (taxonomy aligned) (A.1)		0	0%	0%	0%	0%	0%	0%	0%									
of which Enabling			0%															
of which Transitional			0%															
A.2 Taxonomy-eligible but not environmentally sustainable activities (not taxonomy-aligned)																		
Manufacture of soda ash	CCM 3.12	168 228	53%	EL	N/EL	N/EL	N/EL	N/EL	N/EL									T
Opex for taxonomy-eligible but not environmental sustainable activities (not taxonomy aligned) (A.2)		168 228	53%	53%	0%	0%	0%	0%	0%									
A. Opex of taxonomy eligible activities (A.1 + A.2)		**168 228**	**53%**	**53%**	**0%**	**0%**	**0%**	**0%**	**0%**									
B. Taxonomy non-eligible activities																		
Opex for taxonomy non-eligible activities		148 651	47%															
Total - Opex denominator (A.+ B.)		**316 879**	**100%**															

EL = eligible

N/EL = non-eligible

6.2.3. Pollution

E2-IRO-1 Pollution related IROs

Please refer to ESRS 2 IRO-1 Description of the process to identify its impacts, risks, and opportunities and to assess which ones are material.

Financial materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Pollution	Pollution of air	NA	Risk	Potential	Increased sensitivity regarding pollutant emissions to air leads to increased adaptation measures in our operations and corresponding costs.	WW	Own operations	Medium term
Pollution	Pollution of water	NA	Risk	Potential	Increased sensitivity regarding pollutant emissions to water leads to increased adaptation measures in our operations and corresponding costs.	WW	Own operations	Medium term
Pollution	Pollution of soil	NA	Risk	Actual	Environmental remediation costs & provisions of legacy contaminations evolve with change in life cycle of assets and evolving regulations.	WW	Own operations	Short term
Pollution	Substances of concern	NA	Risk	Potential	Future expectations on SoC may impact operating permits, leading to needs for investment, site closure.	WW	Own operations	Medium term
Pollution	Substances of very high concern	NA	Risk	Potential	Update/evolving hazard classification of substances in products and emissions to become SVHC.	WW	Own operations	Medium term

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Pollution	Pollution of air	NA	Negative impact	Potential	Impact to people and environment in case of pollutant emissions in the air.	WW	Own operations	Short term
Pollution	Pollution of water	NA	Negative impact	Potential	Impact to people and environment in case of pollutant emissions to water.	WW	Own operations	Short term
Pollution	Substances of very high concern	NA	Negative impact	Potential	Impact on environment and people's health due to potential exposure during production or incident, incorrect handling or misuse of SVHC.	WW	Own operations	Medium term

E2-1 Policies related to pollution

Please refer to the ESRS 2 - MDR-P policy table (Responsible Care Policy).

The policy related to pollution is part of Solvay's Environmental Management Policy, which commits the Group to decreasing its impact on the environment.

An overview of the Environmental Management Policy can be found in the table in section MDR-P.

During the production process, we prioritize cleaner approaches, implement pollution-abating technologies, and strive to decrease emissions. We focus on identifying substances of high concern, aiming to substitute them with safer equivalents. Employees participate in training on pollution control techniques and proper management of hazardous substances. Our policy also covers a comprehensive emergency response program prioritizing human health, environmental conservation, and community safety.

Scope of the policy

This policy applies universally across all Solvay Group enterprises under operational control and relates to active sites across all regions. Closed site management, reported separately by the Remediation team, falls outside of this policy's scope.

Stakeholder consultation

Solvay's affected stakeholders were not directly consulted in setting this policy; however, their interests and views were considered when conducting the DMA and developing the corresponding IROs.

Emissions to air, water, and soil

Solvay's sites manage air and water emissions through comprehensive health, safety, and environmental management systems that comply with regulatory requirements. Each site provides regular reports on the substances they are permitted to emit, in accordance with their exploitation permits. We actively collaborate with local stakeholders to enhance air and water quality at both local and regional levels.

Solvay adheres to the IED to identify material emissions and evaluate the most environmentally effective and economically viable methods for preventing and controlling these emissions, following the Best Available Techniques (BAT) guidelines. Implementing effective pollution control technologies and practices will help minimize emissions of pollutants into the environment. Additionally, developing and enforcing stringent procedures for the handling and disposal of hazardous substances is vital to prevent pollution incidents.

Regular monitoring of air, water, and soil quality is necessary to identify pollution hotspots and areas that require remediation. Maintaining a robust emergency response program focused on safety is also critical to address any incidents or accidents effectively, prioritizing the protection of human health, the environment, and surrounding communities.

To foster a culture of environmental responsibility, we provide training for site and corporate employees on pollution prevention techniques and best practices.

Marketed products

Please refer to the ESRS 2 - MDR-P policy table (Health and Safety Policy).

We ensure that Solvay's products are safe throughout their whole life cycle, which includes ensuring safe delivery of supplied products and safe transportation of the finished products. Following the CSRD requirements and going beyond that, we established our own reference list of substances of very high concern (SVHC) called **"Solvay - Substances Risk Monitoring (S-SRM)"** (previously called "Solvay - Substance of Very High Concern" (S-SVHC)) since 2015. This list is updated every year and includes two key categories:

- The so-called 'black list' includes all substances already undergoing a regulatory phase-out process with a known deadline in at least one country or zone across the world, or a restriction for uses relevant to Solvay.
- The so-called 'red list' includes all substances that could enter into a process of special authorization or restriction in the medium term.

The S-SRM methodology is part of the Global Policy - Health & Safety. It allows Solvay to control the potential risk of updates of hazard classification of substances in products, especially before they become Substances of Very High Concern (SVHC). S-SRM also allows Solvay to anticipate future regulatory expectations regarding SoC.

As part of our ambition, we always strive to go beyond compliance with all relevant regional and national chemical regulations such as REACH (Registration, Evaluation, Authorization, and Restriction of Chemical Substances) or REACH-like regulatory frameworks all over the world. Our ambition involves continuously lowering the presence of SVHC and SoC, whenever possible in all of our marketed products of the value chain. Solvay concentrates on SVHC from the EU REACH annex XIV and candidate list, while also monitoring S-SRM substances in marketed products for safer alternatives.

E2-2 Actions and resources related to pollution

We are dedicated to continuously minimizing our environmental impact by implementing strategies that prevent pollution and mitigate existing pollution.

Solvay's key actions were launched together with the STAR factory program in 2022 by adopting a strategic approach to managing emissions to the environment. The actions are currently ongoing, with 2030 as the time horizon by which Solvay aims to complete each action.

Resources allocation

As for the resource allocation and monitoring of the actions related to pollution, the STAR Factory program provides a framework to efficiently implement improvements across Solvay's sites and prioritize resources to support. The site HSE manager and STAR Factory leader are the main contacts for environmental topics and resources are allocated on a case-by-case basis in collaboration with the HSER department and GBU Sustainable Development Champions. Those actions result in Capex and Opex when it comes to ongoing activities. Where Solvay has an obligation to remediate, provisions have been recognize based on the future remediation costs to be incurred *(see note F31 - Provisions, and note F36 - Contingent Liaibilities)*

Actions monitoring

A digital portfolio management tool, managed at a corporate level, has been deployed for monitoring the progress and impact of STAR Factory initiatives in all dimensions, with Sustainability being one of the key pillars.

Some of the main actions are listed below.

Emissions to water and to air

Implementation of pollution control technologies to minimize emissions of pollutants to the environment.

Investments in cleaner production methods and technologies to reduce pollution at the source.

These actions are monitored regularly at site, GBU, and corporate level and drive our ongoing efforts to minimize Solvay's environmental impact. For pollution of soil, risk assessments are done by the industrial sites and the corporate function and actions are put in place to prevent pollution.

Water Emissions: Metals and compounds

Most of metals and compounds originate from the limestone used as raw material in our sod ash plants and are found as traces encapsulated in the limestone residues discharged by Solvay's soda ash activities. These traces of metals will be targeted by the new e.Solvay process which will deliver a number of environmental benefits. Developed over 30 years and patented in 2014, this new technology aims to improve environmental impact by reducing limestone consumption by 30% and eliminating limestone residues, thereby reducing metal emissions to water.

More information, about this **new technology**

Water Emissions: Chlorides

Chlorides are co-produced together with soda ash, in a proportion close to 1 ton of chloride for 1 ton of soda ash produced by our European plants. While there is a merchant market for some quantities of chlorides, the demand can not absorb most of our volumes that are consequently emitted to the water. Chlorides are harmless to health but they can lead to accelerated corrosion of industrial installations or require a desalination step for drinking water production. Actually, more than 2/3 of our chlorides co-production is discharged into the sea or the ocean with limited impact on the salinity of the water which is naturally high. Less than 1/3 of our Chlorides co-production is discharged in rivers with some impact on the salinity of the water.

It is notably the case in Dombasle, France, where we initiated in January 2022 a project in collaboration with local stakeholders to decrease chloride levels in the Moselle and Meurthe rivers. Chloride originates from natural sources and industrial discharges, including those from Solvay. The work carried out in 2023 and 2024 has led to some encouraging initial results, which need to be taken further. Through a diverse team, technical concepts were developed, and initial research was conducted. Among the technologies selected was the possible separation and recovery of salt (sodium chloride) from industrial activities using nanofiltration. Laboratory tests at the Universitat Politècnica de Catalunya (UPC) and pilot testing at CETAQUA demonstrated a 15% reduction in chloride discharges, with simulations predicting a potential reduction of over 20%.

Air emissions: NMVOC (non-methane volatile organic compounds)

In Green River, we are implementing a breakthrough technology to reduce emissions originating from trona mining operations. This innovation makes Solvay the first company to implement regenerative thermal oxidation technology to decrease emissions in a trona mine. Launched in 2024, in combination with the coal phase-out plan, a proportion of NMVOC will also be abated by this technology.

Similarly, the Paulínia site has initiated the Leak Detection and Repair (LDAR) Program following US EPA guidelines to address fugitive NMVOC emissions. Since its introduction, four units have participated, achieving a minimum 50% reduction in annual NMVOC emissions across three units. The program aims for completion by 2026. We are committed to enhancing air emissions control by implementing Best Available Techniques at prioritized sites such as Bad Wimpfen, La Rochelle, Garbsen, and all GBU Peroxides sites.

Air emissions: SOx (Sulfur Oxides)

Solvay excels in flue gas treatment using our innovative SOLVAir® solutions to efficiently clean exhaust gases. Our focus is on enhancing customers' industrial, business, and environmental performance. For three decades, our global team has crafted sodium-based solutions to eliminate acid gases (HCl, SOx, HF) from various industries like energy from waste, industrial, marine, and energy production. We have installed SOLVAir® solutions in our sites in Rheinberg (Germany), Devnya (Bulgaria), and Torrelavega (Spain). In Torrelavega, SOLVAir® captures SO2 and fine particles.

Case study available online: https://www.solvairsolutions.com/en/case-study-solvay-plant-spain

SoC and SVHC in marketed products and supply chain

We identify SoC and SVHC substances and run risk monitoring processes to update our risk studies and strive to substitute them with safer alternatives. In our supply chain, we engage with suppliers to look for opportunities to prevent, reduce, and/or remediate pollution.

To ensure responsible stewardship over the life cycle of Solvay's products, we take actions focused on continuous improvement. Through Product Stewardship Management Systems, we promote the use of Solvay - Substances Risk monitoring (S-SRMs)[1] to substitute substances whenever possible or reduce them below required levels, or halt production altogether. Our internal list of SVHCs, S-SRMs[1], currently comprises approximately 3,400 substances identified as "black and red." In 2024, 26 of these substances were found in Solvay products at concentrations above 0.1% w/w, accounting for 4.7% of net sales.

Aside from the 26 products that are present on the black or red S-SRM lists, there is only one substance listed on the EU Candidate list: Bisphenol A. It appears on the black and red Solvay Substances Risk Monitoring (S-SRM) inventory because the analysis is done worldwide. However, it is neither marketed nor sold in the EU, and the global phasing out of Bisphenol A is effective from the end of 2024.

Trifluoroacetic acid (TFA) is part of S-SRM. Due to financial challenges, regulatory changes, and global competition, we announced a plan in September 2024 to halt TFA production and fluorinated derivatives at the Salindres site by the first quarter of 2025. This plan has been approved by the competent state Authority in January 2025. The TFA emissions to the environment have been significantly reduced in recent years and continue to be monitored.

E2-3 Targets related to pollution

Emissions

We are committed to minimizing and responsibly managing our emissions. This commitment includes consistently meeting compliance obligations and proactively seeking to exceed them by reducing emissions of substances of environmental concern. These efforts are supported by the action plan outlined above.

To assess the effectiveness of our policies and actions, we annually monitor and measure pollution-related metrics and performance indicators for both air and water.

Marketed products

We aim to phase out the SVHC and the black and red Solvay Substances Risk Monitoring (S-SRMs) present in marketed products at a quantity of more than 0.1%, whenever feasible.

E2-4 Consolidated amounts of each pollutant (Pollution of air, water, and soil)

The emissions data presented in this report represent a group-level consolidation of values from sites that exceed the specific thresholds established in Annex II of the E-PRTR Regulation. These thresholds are defined for each pollutant and environmental medium (air, water). In accordance with E-PRTR requirements, only emissions from sites surpassing these predetermined thresholds are included in the reported figures. Other pollutants from the E-PRTR list are either below thresholds or not monitored as they are irrelevant to our activities.

In compiling this report, we have utilized the highest quality information available. Our data collection and analysis methods include, but are not limited to: monitoring data, emission factors, mass balance equations, indirect monitoring or other calculations, engineering judgements, and other methods in compliance with the E-PRTR Regulation and in accordance with internationally approved methodologies, where these are available. Emissions are measured using standard methods (e.g. EN or ISO). When direct measurement is impractical or infeasible, calculation methods (e.g. mass balance) or estimates (e.g. emission factors) are applied.

Air Pollution Data:

Pollutant	Releases to air (kg/a)
Ammonia	3,721,563
Benzene	68,432
Cadmium and compounds (as Cd)	31
Carbon monoxide (CO)	43,578,491
Chlorofluorocarbons (CFCs)	15
Dichloromethane	3,980
Hydrochlorofluorocarbons (HCFCs)	309
Naphthalene	110
Nitrogen oxides (NO_x/NO_2)	3,101,161
Particulate matter (PM_{10})	194,299
Sulfur oxides (SO_x/SO_2)	1,788,582
Non-methane volatile organic compounds (NMVOC)	2,161,150

(1) We have established our own reference list of SVHCs called S-SRMs, which goes beyond the official SVHC list.

Water Pollution Data:

Pollutant	Releases to water (kg/a)
Benzo(g,h,i)perylene	1.08
Chlorides (as total Cl)	Omitted*
Dichloromethane (DCM)	182
Fluorides (as total F)	59,058
Phenols (as total C)	40
Tetrachloromethane (TCM)	0
Trichloromethane	0
Total nitrogen	1,785,321
Total phosphorus	99,974
Total organic carbon (TOC)	228,759
Metals and compounds	
· Arsenic and compounds (as As)	1,057
· Cadmium and compounds (as Cd)	229
· Chromium and compounds (as Cr)	5,200
· Copper and compounds (as Cu)	5,143
· Lead and compounds (as Pb)	14,453
· Mercury and compounds (as Hg)	47
· Nickel and compounds (as Ni)	2,881
· Zinc and compounds (as Zn)	22,598

* *Chlorides are co-produced by our European plants together with Soda Ash, in a proportion close to 1 ton of Chloride for 1 ton of Soda Ash produced. A disclosure of the quantities of chloride emitted to water would, therefore, divulge the amount of soda ash that Solvay produced in 2024 in Europe. However, as per paragraphs 385 and 391 of the "European Commission's Guidelines on the applicability of Article 101 of the Treaty of the Functioning of the European Union to Horizontal Co-operation Agreements" (hereinafter, the "Guidelines"), information on production and quantities in unaggregated format – i.e. pertaining to one single product from one single producer – is considered commercially sensitive if undertakings active in a genuinely competitive market would not have an incentive to reveal such information to each other. Furthermore, according to paragraph 387 of said Guidelines, legitimate reasons to inform shareholders, potential investors or the general public cannot be relied on to disclose commercially sensitive information. Therefore, information about the quantities of chloride emitted to water should not be made public.*

Metals and compounds listed in the table above are mostly traces of metal encapsulated in the large quantities of limestone residues discharged by Solvay's soda ash activities. These traces of metals originate from the limestone used as raw material. They will be tackled by the new e.Solvay process.

Soil Pollution Data

Solvay's industrial activities do not generate emissions to soil under normal operating conditions. Any emissions to soil would be due to uncontained accidental events (leaks, chemical spills, etc.). In 2024, no such events occurred; therefore, no emissions to soil need to be reported.

E2-5 Substances of Concern and Substances of very high concern

Marketed products

Solvay decided to use the threshold value of 0.1% w/w for SoC as it is referenced in the REACH regulation for EU Substances of Very High Concern (SVHC).

The share of 2024 net sales made with	Units	2024
Marketed products that are or that contain substances of concern (SOC)	%	5.3
Marketed products that are or that contain substances of very high concern (SVHC)	%	0.3
Solvay - Substances Risk Monitoring (S-SRM) *Please refer to the next chapter for the full details of this entity specific disclosure.*	%	4.7

Amount of SoC that are marketed as products or as part of products by hazard class category, as defined at the end of this chapter:

Hazard class category	SoC that leave Solvay's facilities(*)	Amount of SoC (ton)
Category 1	As marketed products	8,243
	of which SVHC(**)	*8,243*
	As part (at concentration >0.1% w/w) of marketed products	16
	of which SVHC(***)	*0*
Category 2	As marketed products	112
	As part (at concentration >0.1% w/w) of marketed products	1
Category 5	As marketed products	122,113
	As part (at concentration >0.1% w/w) of marketed products	2,634
Category 7	As marketed products	4,811
	As part (at concentration >0.1% w/w) of marketed products	251

(*) Reference period for the analysis: January 1, 2024 - December 31, 2024.

(**) Category 1 as marketed products: 8,243 metric tons of substances referred to in Article 59(10) of the REACH Regulation (Candidate List) and 0.0 metric tons of substances referred to in Article 57 and Annex XIV of the REACH Regulation (Authorization List).

(***)Category 1 as part of marketed products: 0.0 metric tons of substances referred to in Article 59(10) of the REACH Regulation (Candidate List) and in Article 57 and Annex XIV of the REACH Regulation (Authorization List).

There is no amount of SoC that leaves Solvay's facilities as product or as part of product in the hazard class categories 3, 4, and 6.

Solvay - Substances Risk Monitoring (S-SRM) - Entity specific disclosure

Today, the "black list" and "red list" contain about 3,400 substances. In 2024, out of these 3,400 substances, 26 were present in Solvay-marketed products at a concentration of more than 0.1% w/w.

	Units	2024
All black and red **S-SRMs**(*) present in marketed products above 0.1% w/w on a worldwide scope	Number	26
Analysis of safer alternatives required(**)	Number	20
Of which completed	%	100
Of which effective replacement achieved or that became irrelevant to Solvay's activities	%	25

(*) According to the black and red S-SRM lists. S-SRMs manufactured by, or forming part of, the composition of products sold by Solvay worldwide. Reference period for the analysis: January 2023 - January 2024.

(**) Analysis of Safer Alternatives for potential substitution for black and red S-SRMs. A substance may be present in more than one product.

In 2024, Analysis of Safer Alternatives (ASA) was required and planned for a total of 20 combinations of products and applications. Of the 20 analyses of safer alternatives completed as of December 31, 2024, since the start of the program:

- Five have led to an effective replacement, either through a substitution, through a reduction below the required threshold, through a stop of production, or otherwise discarded as they became irrelevant to Solvay's activity.
- Three are ongoing, which means that an alternative has been identified and discussed with customers for implementation.
- 12 have resulted in no available alternatives, either because no substitute is available, because of regulatory obligations to use SVHC for some applications, or because an alternative has not been requested due to the application in the final product.

Raw materials

The perimeter of reporting this year is limited to raw materials labelled as SoC or SVHC and used in our European production plants. It excludes raw materials that are not labelled as SoC or SVHC but could contain SoC or SVHC.

We have been unable to reach a level of reasonable comfort to determine even a high-level estimate relating to such substances in our other locations outside Europe and with respect to raw materials which could partly include such substances, which would be relevant and useful to our readers in determining our full impact in tons, and which would adhere to the qualitative characteristics of information as prescribed in Appendix B of ESRS 2.

This is an area of significant management judgment, and we commit to improvements in our estimation process during 2025 when better data sources will become available with respect to substances of concern and very high concern, and which could result in a materially different outcome in 2025 with respect to substances of concern or very high concern data.

Amount of SoC procured products in 2024 by main hazard class category (European production plants perimeter only).

Hazard class category	SoC that enters Solvay's facilities	Amount of SoC (ton)
Category 1	As procured products	1,498
	of which SVHC	345

There is no amount of SoC that enters Solvay's European production facilities as a procured product in the hazard class categories 2, 3, 4, 5, 6 and 7.

Hazard class categories used for Marketed products and Raw materials

- Category 1:
  - Carcinogenicity, category 1
  - Germ cell mutagenicity, category 1
  - Reproductive toxicity, category 1
- Category 2: Chronic hazard to the aquatic environment, categories 1
- Category 3:
  - Endocrine disruption for human health, category 1
  - Endocrine disruption for the environment, category 1
- Category 4:
  - Persistent, Mobile, and Toxic or Very Persistent, Very Mobile properties
  - Persistent, Bioaccumulative, and Toxic or Very Persistent, Very Bioaccumulative properties
- Category 5:
  - Carcinogenicity, category 2
  - Germ cell mutagenicity, category 2
  - Reproductive toxicity, category 2
- Category 6:
  - Endocrine disruption for human health, category 2
  - Endocrine disruption for the environment, category 2
- Category 7:
  - Respiratory sensitization, category 1
  - Skin sensitization, category 1
  - Chronic hazard to the aquatic environment, categories 2 to 4
  - Hazardous to the ozone layer
  - Specific target organ toxicity, repeated exposure, categories 1 and 2
  - Specific target organ toxicity, single exposure, categories 1 and 2

6.2.4. Water & Marine Resources

E3-IRO-1 Water and marine resource IROs

Please refer to ESRS 2 IRO-1 Description of the process to identify its impacts, risks, and opportunities and to assess which ones are material.

Financial materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Water and marine resources	Water	Water consumption	Risk	Potential	More severe droughts create a water scarcity situation, impairing Solvay's production capacity and industrial operations.	Sites in water scarcity zones	Own operations	Long term

E3-1 Policies related to water consumption

Solvay's policy related to water outlines our commitment to reducing freshwater withdrawal in locations identified as water scarce. This commitment to water conservation is demonstrated through the adoption of advanced technologies and methods to decrease water withdrawal and optimize water resource efficiency. Investments in innovative production methods and technologies are aimed at reducing water consumption at the source, preserving both water availability and the quality of marine ecosystems, thereby de-risking Solvay's production capacity and industrial operations. This water policy is part of Solvay's Environmental Management Policy, which commits the Group to decreasing its impact on the environment.

Please refer to ESRS 2 - MDR-P policy table.

E3-2 Actions and resources related to water consumption

2024 was again a year marked by record high temperatures, long periods without rainfall around the world, as well as more frequent extreme events such as floods and droughts, which had an important impact on the availability of freshwater. The resulting scarcity of freshwater poses a critical challenge for Solvay, since freshwater is essential to our operations and shortages can have a significant risk, which may even lead to production losses. Repeated episodes of drought and the associated environmental and industrial risks have been the driving force behind the construction of a roadmap for water sobriety. Solvay's strategic action plan outlines our methods for water conservation, including regular reporting of water withdrawals, risk mitigation plans for each industrial site, and the launch of water consumption reduction projects at priority sites where water scarcity is an issue.

These actions span all of Solvay's industrial locations that depend on freshwater withdrawals, spotlighting specifically those sites under jeopardy of water scarcity. A benchmark initiative, the STAR Factory program, is set to create water withdrawal and consumption reduction strategies for Solvay's facilities, particularly those in areas of water risk.

This program centers on key areas to help counteract the risks posed by restricted freshwater availability at Solvay's facilities. To mitigate the risk of water scarcity at the respective sites, there are several water management initiatives in active operation. Some initiatives are already yielding results, demonstrating the following progress:

- → A coherent annual report of water withdrawals alongside direct monitoring of water consumption at high-priority sites, delivering weekly updates in times of drought crisis. Thanks to this, we can monitor over 90% of Solvay's daily freshwater withdrawal globally.
- → We are composing and revising water-related risk mitigation schematics for all industrial sites.
- → We are introducing projects to reduce water consumption at high-risk sites.

The profitability of all investment projects factors in an internal price for water to assess the projects, including the negative externalities or potential future water cost. Different prices of water have been defined depending on hydric stress and water usage and quality (cooling water vs. process water). This internal price has already been used in pilot Capex projects. The goal is to apply these internal reference prices during the project lifetime in the reference and base case of all projects. Current market prices will be used as a sensitivity in financial analysis.

To ensure responsible management of water resources throughout the organization, we provide training for employees on effective water conservation techniques and best practices.

We also invest in innovative production methods and technologies that significantly reduce water consumption at the source, especially for areas at water risk, thereby improving our industrial sites' water efficiency, mitigating the risk for production capacity and operating continuity. Regular monitoring of water usage and withdrawal rates will help to identify inefficiencies and areas needing improvement.

With water scarcity and frequent droughts intensifying globally, the Paulínia site has implemented a closed-loop cooling system to cut water withdrawal in December 2024, running at full capacity in January 2025. This project builds on the Site's commitment to resource conservation, having already reduced water withdrawal by over 70% over the last decades to protect this finite resource and ensure business resilience. In the new closed-loop system, water continuously circulates to cool industrial equipment, with two cooling towers minimizing river temperature impacts and drift losses, reducing 4.2 million m^3/year of water withdrawal, compared to a 2024 baseline, from the rivers that cross the site in Paulinia. This approach not only conserves water but also enhances water quality used in our process, reducing scaling and corrosion to extend equipment lifespan and decrease maintenance costs.

At Qingdao in China, by capturing condensation water from the production process and reusing it, the site has achieved 14,000 m^3 of water saved annually - equivalent to six Olympic-sized swimming pools, reducing water withdrawal from the Yellow River. This project was financed by our new Travel Carbon Fund, a Solvay initiative that charges business units based on their travel emissions. This encourages responsible travel practices while financing sustainability projects that deliver both environmental and economic benefits.

E3-3 & E3-4 Targets and Metrics related to water consumption

We are committed to reducing and responsibly managing water use, particularly in water-scarce areas. This commitment is supported by our action plan, which is implemented through the STAR Factory Program.

To evaluate the effectiveness of our policies and actions, Solvay monitors and measures water-related metrics and performance indicators annually. These include water consumption, withdrawal, discharge, and recycling.

The impact of our water management initiatives is tracked using a centralized project tracking tool, with progress assessed annually against defined metrics and KPIs. In 2024, we successfully monitored over 90% of freshwater withdrawal across our operations, demonstrating considerable progress in our water management efforts.

Disclosure requirement	Unit	Value
Total water consumption	m^3	24,306,723
Total water consumption in areas at water risk	m^3	12,523,045
Total water withdrawals(*)	m^3	310,390,773
Total withdrawals in areas at water risk(**)	m^3	162,551,038
Water intensity ratio (per million EUR of sales)(***)	m^3/Million EUR	4,738

(*) Water included in raw materials and rainwater is not taken into account in the total water withdrawal.

(**) We do not consider seawater withdrawals as a risk. Consequently, seawater withdrawals (circa 73 millions m^3) are excluded from the total withdrawals in areas at water risk.

(***)Water intensity ratio calculated as the total water consumption over sales (as reported in the consolidated income statement in the financial statements).

Contextual information

Water management encompasses the management of water flows and water quality, from extraction from the natural environment to restitution in the same or another part of the environment.

Water withdrawal, measured in cubic meters per year, is the amount of incoming water purchased from third parties, such as drinking water from the public network, or pumped by Solvay from freshwater systems, such as rivers and lakes, and from groundwater sources, such as aquifers.

The total 2024 water consumption (see table above), also expressed in cubic meters per year, is the sum of water lost through evaporation, leakage, and exportation of products and waste. Water purchased or pumped for third parties is included in water withdrawals. For example, water that is taken from a river for cooling and returned after use counts as water withdrawal but not as water consumption.

Solvay's main water consumption areas are in production or industrial water. We identified sites in areas subject to hydric stress corresponding to a high to extremely high water stress criteria according to the Water Stress indicator (18 sites) in the Aqueduct database, a Free and Open Source Geographic Information System. In addition, Solvay performs water risk reviews with its industrial sites to assess the actual and local hydric stress situation. Based on these assessments, 7 sites were added to that list while 8 sites were removed. According to this methodology, we have 17 priority sites located in areas of water scarcity. As per our policy, we will review that list every year.

6.2.5. Biodiversity & Ecosystems

Financial materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Biodiversity and ecosystems	Impacts on the extent and condition of ecosystems	Land degradation	Risk	Potential	Use of land for industrial purposes in areas under biodiversity pressure leads to future non-operated land/sites.	Extraction activities of Solvay (mainly EU Soda Ash Sites)	Own operations	Long term
Biodiversity and ecosystems	Direct impact drivers of biodiversity loss	Land-use change, fresh water-use change, and sea-use change	Risk	Potential	Failure to obtain extensions of operations due to protection of natural capital.	Extraction activities of Solvay (mainly EU Soda Ash Sites)	Own operations	Medium term

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Biodiversity and ecosystems	Direct impact drivers of biodiversity loss	Land degradation	Negative impact	Potential	Construction and long-term use of facilities (operations) could potentially lead to land degradation and biodiversity loss.	Extraction activities of Solvay (mainly EU Soda Ash Sites)	Own operations	Long term
Biodiversity and ecosystems	Impacts on the extent and condition of ecosystems	Land-use change, fresh water-use change, and sea-use change	Negative impact	Potential	Extraction activities could potentially lead to some damage to affected ecosystems.	Extraction activities of Solvay (mainly EU Soda Ash Sites)	Own operations	Short term

E4-1 – Transition plan and consideration of biodiversity and ecosystems in strategy and business model

At Solvay, we are aware of the interconnection of biodiversity with other environmental topics and affected communities, as well as the potential rebound effect, trade-offs, and amplifying nature of the sustainability agenda when viewed holistically. The assessments and efforts that we have made in terms of Nature in recent years have been considered and clustered in multiple standards, including ESRS E1, ESRS E2, ESRS E3 and ESRS E5. This approach allows for clarity and consistency in the way we report and act on the different sustainability matters.

It is important that this chapter, and its associated policies, actions, targets, and metrics are read in conjunction with the aforementioned standards/chapters.

Refer to E4 IRO-1 for more details

E4 SBM-3 Material IROs and their interaction with Strategy and business model

Following the EFRAG guidelines on DMA, we identified land-use change and land degradation as a material topic for European Soda Ash sites for the extraction of natural resources (limestone and brine) from quarries and mines, and the discharge of residues (limestone) into ponds which may cause irreversible damage.

To better understand Solvay's potential impacts on biodiversity, we conducted a detailed analysis of assets located near or in biodiversity-sensitive areas, presence of threatened species, and potential biodiversity-related risks across all global business units.

E4 IRO-1 Process to identify and assess material biodiversity and ecosystem-related IROs

Please refer to ESRS 2 IRO-1 Description of the process to identify its impacts, risks, and opportunities and to assess which ones are material.

Prior to the DMA, an evaluation of potential impacts on biodiversity was conducted across the value chain using the Science Based Targets Network (SBTN) assessment, in which biodiversity impacts were highlighted for mineral-based compounds, identified as part of Solvay's Soda Ash activities. The SBTN analysis was further validated through a DMA assessment which identified land-use change and land degradation as a material topic. Impacts, physical and transition risks, and opportunities associated with biodiversity and ecosystems were assessed through stakeholder consultation processes.

We are aware of systemic risks associated with the potential collapse of ecosystems. However, these risks have not been structurally assessed to date. Moreover, a holistic evaluation of the dependencies within our business model is scheduled for the coming two years. This critical assessment will deepen our understanding of the resilience of both our business and value chain, particularly in the context of increasing biodiversity-related pressures, ensuring that we are well-prepared to address and adapt to future challenges. The dependency evaluation will encompass our entire value chain, including upstream (raw material sourcing) and downstream (product life cycle) activities. Within our operations, we assess site-level biodiversity impacts and dependencies, prioritizing the most critical raw materials.

To ensure a comprehensive view of all our sites, we conducted an assessment of biodiversity-sensitive areas. We used the Integrated Biodiversity Assessment Tool (IBAT - developed and maintained by the IBAT Alliance) to gather information on three global biodiversity datasets: the International Union for the Conservation of Nature (IUCN) red list of protected species, the protected areas (incl. UNESCO and Natura 2000 sites), and the Key Biodiversity Areas (KBAs). The analysis was conducted in a buffer zone of 50km around the sites in operation for the protected species and 5km around the sites for the protected areas and KBAs.

Similarly, the Biodiversity risk Filter (BrF) developed by the World Wide Fund for Nature (WWF) was applied to better understand the reputational and the regulatory risks of human activities by analyzing the sensitivity of each location among several criteria. Biodiversity importance, water quantity, and water quality were selected to calculate risk on a scale of 0 to 15.

Furthermore, during the DMA, we conducted a consultation with a variety of stakeholders. More specifically, consultations with local communities at major sites such as Rosignano, Jemeppe, and Bernburg were conducted. These engagements ensured the incorporation of affected communities in the materiality of biodiversity and ecosystems. While no significant negative impacts on local communities were identified, we continue to assess and manage potential risks, particularly regarding water use and pollution.

This process led to the identification of 6 Soda Ash sites in Europe with a proven material impact on biodiversity and another 10 sites that could have a potential impact on biodiversity. Our impact assessment and prioritization process relied on significant management judgment. We commit to improvements when better data sources will become available, which could result in a materially different outcome in 2025 with respect to biodiversity and ecosystems.

Refer to SBM-2 for stakeholder engagement in the DMA.

E4-2 Policies related to biodiversity

Please refer to ESRS 2 - MDR-P policy table (Biodiversity Conservation & Restoration)

To reinforce Solvay's commitment to preserving and restoring biodiversity, aligning with broader sustainability ambitions of the Group, we developed Solvay's Global Policy on Biodiversity Conservation & Restoration. This policy draws inspiration from international and regional agreements and standards, such as the Global Biodiversity Framework (COP15), which mandates achieving no net loss by 2030 and progressing toward a net positive impact thereafter, as well as the EU Biodiversity Strategy for 2030.

This policy covers 16 priority sites within our direct operations, including ventures in which Solvay holds a majority interest, extending our influence worldwide and encompassing all employees as stakeholders. It considers the views of stakeholders through the incorporation of the material IROs for which multiple stakeholders were directly engaged (see General Requirements SBM-2). This policy was validated by the ELT, the department of HSER is responsible for its enforcement. Other environmental impacts linked to pressures on biodiversity are covered in other relevant policies.

It is important to mention that this policy considers the views of stakeholders through the incorporation of the material IROs for which multiple stakeholders were directly engaged (see General Requirements SBM-2). To ensure the policy meets the needs of stakeholders, it is publicly available and Solvay has opened channels to ensure any feedback and question on the policy is considered in following updates.

The policy lays down Solvay's group and site-level approach to measure, act, and monitor our progress on biodiversity conservation and restoration. In addition to the overarching scope of the Global Policy on Biodiversity Conservation & Restoration in our own operations, Solvay also acknowledges in this policy the relevance of taking a holistic approach to environmental impact (climate change, pollution, water, waste, and biodiversity). As such, we are committed to engaging in Life Cycle Assessments (LCAs) throughout our product portfolio. LCA plays a critical role in identifying and assessing the actual and potential environmental impacts, including those on biodiversity and ecosystems, at each stage of a product's life cycle.

No policies were engaged related to deforestation and oceans given that these matters were not defined as material for Solvay.

E4-3 Actions and resources related to biodiversity

We have outlined a comprehensive series of actions to achieve Solvay's 30x30 biodiversity target (see below) and ensure alignment with our Group Policy on Biodiversity Conservation & Restoration.

A key priority for Solvay is to engage in a thorough baselining exercise. As such, an inventory of permeable areas with restoration potential is under development. This task, already initiated in 2021, is expected to be completed for at least 16 priority sites by 2030; it contributes directly to the biodiversity policy and target by ensuring thorough knowledge and documentation of available restoration opportunities.

Another significant effort is the development of roadmaps with detailed action plans for the 16 priority sites and facilitate coordination at each site, forming a critical step in realizing the broader target. Solvay aims to identify, through these action plans, site-specific blockers to ensure proactive management of potential issues that could hinder progress. These plans are already underway.

Further contributing to the biodiversity policy, Solvay has started implementing defined actions across its priority sites such as:

- Paulina (Brazil), which renewed its Wildlife Habitat Council (WHC) gold certification in November 2024 and where Solvay runs a reforestation project, planting native Atlantic Forest seedlings and taking care of all forest management activities to assure good-quality forest growth.
- Torrelavega (Spain), where the restoration of the Cuchia Quarry received recognition from CEFIC (European Council of Chemical Industry Federation) in 2021.
- Rosignano (Italy), where the Santa Luce lake built in the 1960s to provide water to the plant has become a natural reserve certified as a Natura 2000 protected area.

Moreover, the biodiversity roadmap in Rosignano, includes 35 different actions, with a total budget estimated at EUR 5 million. At the end of 2024, almost EUR 2 million have been engaged to reshape and vegetate a storage area, to plant vegetation around the site, to support actions toward several nature protection associations and training activities for employees. In the coming years, Rosignano's biodiversity roadmap will be enhanced in the frame of our new partnership with IUCN (see below).

Besides, pursuant to the September 5, 2022, cooperation and settlement agreement with one of our partners, Solvay undertook to publicly report at least annually, through its annual report or otherwise, on the implementation of its action plan to reduce limestone residues released into the sea, as part of the Group's efforts to continually optimize the efficiency and sustainability of its operations, and in line with the IPPC permit renewed in January 2022 regarding its soda ash operations:

- Solvay's objective by 2030 is to reduce the discharge of limestone by 20% vs the maximum volume currently set by the 2022 IPPC permit.
- Solvay's ambition by 2040 is to reduce the discharge of limestone by 40% vs the maximum volume currently set by the 2022 IPPC permit, through investment in research and innovation, in collaboration with the relevant stakeholders, subject to permit granting and public interest priorities.
- This action plan represents an estimated €15 million investment in new technical and process solutions, some of which will require approval by the authorities. The plan will include targeted improvements at different steps of the production process, as well as an optimization of the limestone granulometry and quality.

In terms of suspended solid discharge for the year 2024, we are at -20% and we need to consolidate these results in the next coming years. 17% of the estimated investment has been spent at this stage.

All these initiatives for biodiversity include ongoing and planned measures that incorporate nature-based solutions (NBS) and partnerships with local communities and associations to integrate site-specific and local knowledge. This collaborative approach enriches the ecological strategies, ensuring that restoration actions are informed by local expertise.

NBS is further promoted and implemented leveraging the Travel Carbon Fund with first projects:

- Tiny forest plantation in Linne Herten (Netherlands)
- Mangrove plantation close to Map Ta Phut (Thailand)

Furthermore, no biodiversity offsetting activities are part of Solvay's plan of action toward nature restoration for this reporting year.

We also emphasize awareness and education, and will activate awareness campaigns. Awareness generation aims to deepen understanding and foster a culture of restoration action across our organization.

To ensure actions are driving positive impact toward Solvay's 30x30 target, we defined a selected list of milestones:

- Regular ecological status (once every three years at least) will be conducted from 2026 to 2030, ensuring continued oversight and adaptive management.
- Launch of restoration/conservation projects in four priority sites by 2027.
- All identified areas with high restoration/conservation potential will be under active restoration/conservation by 2030.

To deliver on our new 30x30 biodiversity target, we signed in 2024 a new partnership with the International Union for the Conservation of Nature (IUCN), in addition to the one we already have with the WHC, and we renewed our commitments to Act4Nature International.

E4-4 Tracking effectiveness of policies and actions through targets

In alignment with material IROs, and with the resolve to actively contribute to the Global Biodiversity Framework (GBF) and the EU Biodiversity Strategy, Solvay has set a target to have **30% of permeable land located near biodiversity sensitive areas under conservation and restoration with measurable positive impacts by 2030 ("30x30 target")**.

This target is supported by our Policy on Biodiversity Conservation & Restoration, covering 16 priority sites. As summarized below, these 16 priority sites include six European Soda Ash sites with identified material impact on biodiversity and an additional 10 non-material sites, which nonetheless have potential relevance due to their proximity to biodiversity-sensitive areas.

Priority	Number of material sites (including respective ancillary sites)	6
Priority	Other non-material sites with potential relevance due to their proximity to biodiversity-sensitive areas	10
	Sites within the scope of ESRS E4 policy, targets, and actions	**16**

According to our first estimation based on qualitative interviews and questionnaires with internal stakeholders and local site correspondence, the 16 priority sites account for a total surface of 8,500 ha, including 7,733 ha of permeable soils which leads to a target of 2,320 ha (30%).

We will engage in a second monitoring of the "as is" situation with a detailed baselining for all in-scope sites in 2025. As such, the performance against the target for 2024 is not available. Along the six-year target, both geospatial and on-site assessments will be used to conduct periodic monitoring of the target.

Moreover, tracking effectiveness will be based on conclusive scientific evidence supporting the benefits of ecosystem restoration. *Although no ecological thresholds have been determined yet, the continuous monitoring of such activities in concerned areas will contribute to the identification and quantification of relevant ecological thresholds to establish and respect in the future.*

E4-5 Report metrics to enable an understanding of the performance of the undertaking against impacts identified as material on land use change and land degradation

Material impacts on biodiversity and ecosystems at Solvay are generated by the change in land use and land degradation caused by our **six European Soda Ash sites**. This could particularly be caused by activities that involve long-term land occupation, which could potentially lead to land degradation and biodiversity loss. Moreover, extraction activities could potentially lead to some damage and affect ecosystems. This methodology, which leads to the identification of 6 sites with potential impact on biodiversity will be strengthened and further formalized in the near future.

Along with their ancillary sites extracting and supplying raw materials to the manufacturing sites, they account for a total surface of 6,992 ha according to the first estimation mentioned above.

By engaging in ecosystem conservation and restoration, we will work toward a better management and reduction of Solvay's material impacts on biodiversity and ecosystems on these sites. ***Internal and external stakeholders, including biodiversity experts and local site managers, will be involved to ensure a comprehensive approach to conservation and restoration activities.***

6.2.6. Circular Economy

E5-IRO-1 Resource use and circular economy-related IROs

Please refer to ESRS 2 IRO-1 Description of the process to identify its impacts, risks, and opportunities and to assess which ones are material.

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Circular economy	Waste	NA	Negative impact	Actual	Non-hazardous and hazardous waste are treated following various channels to avoid affecting people and the environment when accumulated in our assets.	WW	Own operations	Short term

The only actual impact considered material is concerning waste management and disposal. No other IROs triggered the materiality thresholds.

E5-1 Policies related to waste management

Waste reduction policy

Please refer to the ESRS 2 - MDR-P policy table.

Our strategic approach to mitigating Solvay's material impact on people, the environment, and local communities is deeply rooted in our aim to reduce waste generation and ensure appropriate waste treatment processes. The link between Solvay's waste reduction policy and the material impact within our own operations is direct; by taking steps to minimize waste generation, the negative impact on the environment is being addressed.

Solvay's waste reduction policy primarily focuses on minimizing waste production and ensuring that produced waste undergoes suitable treatment processes. The policy underlines resource-efficient technologies, use of recycled or bio-based materials wherever possible, and investments in sustainable production methods. The policy also covers training of employees in resource efficiency and circular economy principles to cultivate a culture of sustainable resource management. This waste reduction policy is part of Solvay's Environmental Management Policy, which commits the Group to decreasing its impact on the environment.

Our operations comply with local regulations, federal environmental laws, and EU action plans. To set our actual policy, we did not use third-party standards or initiatives. The company assesses resource utilization, focusing on materials and waste generation, to integrate resource-efficient technologies and practices for minimizing waste and reducing negative impacts. We also invest in sustainable production methods and technologies, continuously monitoring resource usage and waste generation to optimize resources and reduce waste.

E5-2 Actions and resources related to waste management

Please refer to the actions description in E2 Pollution for the resource allocation and monitoring of the actions.

We have long been taking actions to reduce waste. We promote circular economy principles and initiatives to minimize resource consumption, maximize resource reuse and recycling, and reduce reliance on virgin materials. Our key actions in relation to Solvay's waste reduction policy and material impact encompass the implementation of sustainable practices and technologies aimed at minimizing waste generation and optimizing resource utilization.

1. STAR Factory program

In 2024, projects were deployed at more than 20 plants across the world to address non-sustainable industrial waste and this is expected to continue growing through the STAR Factory program in order to reduce the impact on the environment. Key actions were launched together with the STAR Factory program in 2022 and are currently ongoing, with 2030 as the time horizon by which Solvay aims to complete each action.

2. Recycling wastewater treatment sludges at the Paulínia plant, Brazil

At the Paulínia site, Brazil, Solvay is committed to a sustainable approach for managing industrial waste. As a result of partnering and innovation, Paulínia achieved its goal of Zero Non-Recoverable Industrial Waste in May 2024. This means that no waste was sent to landfill or incineration without energy recovery, thereby reducing the pressure on the environment. This milestone has been realized by repurposing part of the waste as fuel or raw material in the cement industry's co-processing. The site continues to collaborate with partners to identify additional alternatives, including the reuse of materials in the ceramic industry for brick production.

3. Regular resource assessment

To enhance resource management, we are undertaking a thorough assessment of current resource utilization, focusing on materials and waste generation. We aim to integrate resource-efficient technologies and practices that reduce consumption while maximizing resource use across operations. We will also establish and enforce rigorous procedures for the effective handling and management of resources, thereby minimizing waste and optimizing utilization. These actions are continuously completed by regularly monitoring resource usage and waste generation to identify opportunities for improvement, and implementing strategies aimed at optimizing resources and reducing waste.

E5-5 Metrics and targets related to waste management

The total waste generated is defined as the waste resulting from our regular manufacturing and research activities. It does not include domestic waste, non-recurrent waste or waste from demolition or construction projects as their contribution to total waste volumes are not significant. Mining waste, which results from the prospecting and extraction of minerals, is considered entity specific, but included in the total amount of waste generated.

The waste is mostly inorganic in nature due to Solvay's core operations. A relatively small proportion of waste volume comes from biosludge from some of our sites' effluent treatment.

For EU sites, Hazardous Industrial Waste is defined according to Appendix III of the Waste Framework Directive (2008/98/EC). For non-EU countries, classification follows local legislation.

Solvay is dedicated to minimizing waste generation and handling it responsibly. This effort is guided by our action plan and executed through our STAR Factory Program.

To evaluate the effectiveness of our policies and actions, we monitor and measure waste-related metrics and performance indicators annually. These include waste generation, reuse, recycling, and disposal.

The impact of our waste management initiatives is tracked using a centralized project tracking tool, with progress assessed annually against defined metrics and KPIs.

Disclosure requirement	Unit	Value
Total waste generated	Metric ton	**725,934**
1. Total amount of hazardous waste	Metric ton	**41,142**
1.1. Total of hazardous waste diverted from disposal	Metric ton	32,908
1.1.1. Preparation for reuse	Metric ton	242
1.1.2. Recycling	Metric ton	25,776
1.2.3. Incineration with energy recovery	Metric ton	3,645
1.1.4. Other recovery operations	Metric ton	3,245
1.2. Total of hazardous waste directed to disposal	Metric ton	8,234
1.2.1. Incineration without energy recovery	Metric ton	3,918
1.2.2. Landfill	Metric ton	3,159
1.2.3. Other disposal operations	Metric ton	1,157
2. Total amount of non-hazardous waste	Metric ton	**371,234**
2.1. Total of non-hazardous waste diverted from disposal	Metric ton	343,660
2.1.1. Preparation for reuse	Metric ton	38,720
2.1.2. Recycling	Metric ton	151,024
2.1.3. Incineration with energy recovery	Metric ton	1,796
2.1.4. Other recovery operations	Metric ton	152,119
2.2. Total of non-hazardous waste directed to disposal	Metric ton	27,574
2.2.1. Incineration without energy recovery	Metric ton	366
2.2.2. Landfill	Metric ton	24,857
2.2.3. Other disposal operations	Metric ton	2,351
3. Mining waste	Metric ton	**313,558**
3.1. Recovery of non-hazardous mining waste	Metric ton	313,558
Non-recycled waste (amount and % of total waste generated)	Metric ton	**41,249**
	%	**5.7**

6.3. SOCIAL INFORMATION

6.3.1. Own Workforce

Financial materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Own workforce	Working conditions	Social dialogue	Opportunity	Potential	Effective social dialogue is an enabler for the ongoing transformation and the related cost reduction target	WW	Own operations	Medium term
Own workforce	Equal treatment and opportunities for all	Diversity	Opportunity	Potential	Focus on generation to retain knowledge and upskilling to ensure transformation, Organizations demonstrating diversity & inclusion are more performant	WW	Own operations	Short term

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Own workforce	Working conditions	Health and safety	Positive impact	Potential	Solvay's employee health & well-being approach (engagement, performance, satisfaction, fulfilment, mental health, less stress) aims to have a positive impact on employees	WW	Own operations	Long term
Own workforce	Working conditions	Social dialogue	Positive impact	Actual	Constructive interactions between management and employee representatives have a positive impact, leading to employee well-being, engagement, and satisfaction	WW	Own operations	Short term
Own workforce	Equal treatment and opportunities for all	Diversity	Positive impact	Actual	Diversity feeds innovation and allows the Group to be more competitive in the market by attracting and retaining talented people	WW	Own operations	Short term
Own workforce	Working conditions	Health and safety	Negative impact	Potential	Exposure of our workers to working conditions in our operations leading to health issues (hazardous substances, noise, vibration, etc...)	WW	Own operations	Short term
Own workforce	Working conditions	Health and safety	Negative impact	Potential	A potential major accident (occupational, process) in our operations, mines, quarries, and/or cavities causes fatalities, irreversible injuries, and/or environmental damage.	WW	Own operations	Short term

S1-SBM-2 Interest and views of stakeholders

The interests, views, and rights of our workforce are considered in our Better Life and Social Dialogue strategies:

Better Life strategy

- **Pulse surveys**: We assess well-being and engagement on a recurring basis through employee pulse surveys that take place twice per year. In April, we use an extended version of the pulse survey that also includes topics such as safety; wellbeing and opportunity accross all our workforce demographics ; and culture. The subjects systematically assessed in both surveys are workload, stress, and engagement. The pulse survey gives employees the opportunity to make open comments on any topic that they want to highlight, in complete confidentiality. The global HR team reviews the survey results with the ELT to identify which entities or countries are showing strong results and which are experiencing difficulties that might require targeted actions. The survey also serves to open dialogue within the teams. Each manager and leader is provided with a "dialogue toolkit" to discuss the results and identify an action to be taken to improve the results before the next survey. Managers can be supported throughout this process by HR.
- **Speak Up policy**: Our Speak Up policy and program are available to all employees. Speak Up involves open dialogue within the workplace and employees are encouraged to bring matters to their supervisors, members of HR, Legal, and Compliance and Internal Audit functions, in confidentiality.
- **Employee assistance program**: Thanks to the global Solvay assistance program, employees can contact psychologists or coaches in complete confidentiality. We then receive an anonymized summary of the most frequently discussed topics. We also have an internal work psychologist and a medical network (doctors and nurses) who receive and listen to employees in complete confidentiality, analyze risks, and propose appropriate preventative and corrective actions as needed.

Social dialogue strategy

- We engage with our workers on labor rights through a variety of channels, including meetings with labor unions, works councils, and joint management-worker committees. In addition to the European Works Council (EWC), Solvay has concluded a global agreement with a trade union federation (IndustriALL) and has created a global representative body to promote social dialogue, the Solvay Global Forum (SGF).

S1- SBM-3 Material IROs and their interaction with Strategy and business model

We are dedicated to identifying and addressing the needs of all Solvay employees, recognizing their significant role in the company's operations and overall success. This commitment is exemplified through initiatives such as Solvay's commitment to **social dialogue,** which creates a collaborative environment across the organization, or Solvay's **Better Life agenda,** which actively focuses on promoting health, safety, inclusion, and well-being. Additionally, the **STAR Factory** program - Solvay's engine for the Group transformation of Operations - focuses on people engagement and capability building to drive transformation and innovation.

Workforce diversity and types of worker

Solvay employs a diverse workforce, including **Internal Employees** (regular staff) and **External Employees** (contingent workers, temporary staff, trainees, students, and apprentices). This diverse group brings a wide range of skills and expertise to various roles and functions. Recognizing this diversity, we invest in our employees through targeted programs that support personal and professional growth, such as upskilling and reskilling initiatives aligned with future business needs.

By embedding the understanding of our workforce's specific needs and vulnerabilities into Solvay's strategy and business model, we ensure a more sustainable and inclusive approach to business.

Solvay manages a diverse workforce composed of different types of employees, including both internal and external workers. The internal workforce is further classified into regular classes, while the external workforce includes contingent workers, temporary staff, trainees, students, and apprentices. Employee status is categorized as active, active leave (long-term, partial absence/inactivity), or inactive leave (long-term, full-time absence/inactivity), and employee class encompasses regular, expatriate, trainee, student, apprentice, temporary, and contingent worker designations.

It is important to note that non-employees or self-employed individuals are not covered in this disclosure, as we do not retain data on these types of workers. These individuals are currently not identifiable within Solvay's HRIS system. We define our own workforce as the active internal workforce, thus excluding trainees, students, and external workers from this designation, as they are not included in the reported numbers. All employees included in the report are directly employed by Solvay.

Both internal employees and the external workforce are subject to the material impacts described in the "Financial materiality" and "Impact materiality" tables, highlighting the significance of these workforce categories in the company's operational and strategic considerations.

Workforce impacts and operational risks

Solvay's activities generate positive impacts on our workforce, particularly through our focus on social dialogue, health and safety, and diversity. Our commitment to social dialogue fosters a constructive, transparent, and collaborative environment across all levels of the organization. Through our Global Framework Agreement (GFA) with IndustriALL Global Union, we ensure the protection of labor rights, human rights, and the well-being of our workforce. Key initiatives that result in positive impacts include promoting freedom of association and collective bargaining, engaging actively with employees through European and global forums like the EWC and the SGF, and encouraging employees to report any potential deviations or concerns through the Speak Up Policy or via their representative bodies.

These initiatives have a wide-reaching impact on our workforce. All employees benefit from safety programs, social initiatives, diversity, equity, and inclusion efforts, and many employees are covered by collective bargaining agreements. In addition, we have developed safety partnerships with contingent workers at various sites to ensure their safety.

The risk of forced and child labor is not considered material, and no issues or individual incidents have been identified in the regions where the Group operates, including areas outside the EU. We have identified that upskilling and training are not considered material and therefore do not have any negative or positive impacts linked to transition or restructuring programs. Moreover, Solvay has maintained a relatively low employee voluntary turnover rate of 4.1% in 2024.

Please refer to SBM-3 in chapter 1.3. Strategy for details on the material risks and opportunities arising from impacts and dependencies on Solvay's own workforce.

Through thorough evaluations of Solvay's production sites with manufacturing and mining operations, we have not identified any significant risks or incidents within the company's operations that could be at risk of breaching human rights, including forced or compulsory labor and child labor.

We have developed a comprehensive understanding of the potential risks faced by specific segments of Solvay's workforce. This understanding has been cultivated through a combination of risk assessments, employee engagement, and data analysis. To develop this understanding, we employ ongoing risk monitoring through an ESG risk management platform, Dow Jones, which identifies factors such as socio-economic conditions, local regulatory frameworks, and the specific nature of the work being performed. Furthermore, our Internal Audit team assesses the effectiveness of site-specific policies and worker engagement processes, ensuring that all workers have access to grievance channels and that their concerns are promptly addressed. Material own workforce-related risks and opportunities apply to all of Solvay's workforce (no specificity for any particular group of employees). However, applicable mitigation actions are adjusted to specific groups of people when needed. For example, in view of retaining knowledge and upskilling, learning programs are adjusted to the needs of specific groups (e.g. onboarding of starters, lifelong learning of experienced people).

Please refer to the IRO table for the material risks and opportunities.

S1-1 Policies related to own workforce

Please refer to the ESRS 2 - MDR-P policy table.

Health and Safety:

We are committed to maintaining a workforce policy framework that addresses the identification, assessment, and management of material impacts and risks on our workforce, while identifying and seizing related opportunities.

We prioritize the health and safety of Solvay employees in all our operations, fostering a proactive prevention culture to minimize work-related injuries, accidents, and illnesses. This commitment to a healthy and safe work environment drives our pursuit of world-class standards, continuous improvement, and innovation. Solvay's HSE strategy relies on an approved HSE management system, which is implemented at every industrial (manufacturing and research & innovation) site. This includes a **Responsible Care Policy,** Life saving Rules and a set of risk-based procedures that apply to all areas, including health monitoring, industrial hygiene, occupational safety, process safety, transport safety, and environment and product safety. For each domain, a network is organized at the group level to ensure implementation of the procedures, compliance with regulations, and sharing of good practice.

The structured system of procedures on **Health & Safety** includes regular internal Solvay audits on minimum requirements and regular compliance audits with Solvay internal experts or selected third parties that permit Solvay to manage all these issues. We have developed a 'YouGrow' digital platform to provide various HSE training programs to workforces who need learning or self-development opportunities in specific HSE domains. Safety culture is fostered through the implementation of the "SAFE" charter and safety days at sites, as well as a "Safety climate assessment" in some sites. Solvay's Health, Safety, and Environment (HSE) management system is aligned with ISO 45001 and ISO 14001 definitions, as well as our Responsible Care approach. Through these standards, we commit to safeguarding people, communities, and the environment by continuously improving environmental, health, and safety performance, the security of facilities, processes, technologies, and chemical product safety and stewardship throughout the supply chain.

Solvay's accident prevention policy emphasizes a culture of safety, whereby every employee is empowered to contribute to a safe working environment. The company has implemented a management system to support this policy, which includes regular risk assessments, safety training programs, incident reporting, and investigation procedures.

We are dedicated to continuous improvement in our safety performance. We regularly review our accident prevention policy and management system to ensure they remain effective and aligned with best practices.

Solvay maintains a robust and comprehensive workplace accident prevention policy and management system. The company is committed to ensuring the health and safety of all our employees, contractors, and visitors. This commitment is reflected in our proactive approach to identifying, assessing, and mitigating risks in the workplace.

Social Dialogue:

Solvay's Social Dialogue Policy ensures the proactive identification, assessment, and management of workforce-related impacts during organizational transformations by fostering open communication and collaboration between management, employees, and their representatives. Through structured dialogue, transparency in strategic decisions, and co-creation of policies, the policy facilitates early detection of potential challenges and mitigates adverse impacts on employees, thereby supporting a smooth transition in line with human rights, labor standards, and Solvay's transformation objectives. Additionally, the **Speak Up Policy** provides a formal channel for employees to raise concerns directly, which are then investigated and remediated.

At Solvay, social dialogue is a cornerstone of our culture and operating model. We ensure our employees' representatives stay informed about the company's strategic direction and key decisions and structurally arrange dialogue around this. Representative bodies form a sounding board for draft policies before they are implemented, resulting in a high level of maturity, transparency, and trust among senior management and employees. Our belief in achieving more together is embodied in our social dialogue bodies and practices, leveraging multiple levels of dialogue at global, regional, and local or site levels through various forums.

DEI:

Solvay's **DEI and Non-Discrimination Policy** plays a key role in identifying, assessing, and managing workforce initiatives that drive innovation, retain critical knowledge, and enhance upskilling efforts. By fostering a diverse and inclusive environment, the policy helps to leverage the collective strength of different perspectives, enabling the organization to remain competitive and agile. Through targeted DEI programs, we ensure that all employees are equipped with the skills needed for future growth, contributing to improved organizational performance and a continuous cycle of innovation. The **Solvay Cares Policy** guarantees minimum global social benefits, including parental leave, health insurance, and disability and life insurance for all employees, reflecting our long-standing commitment to social welfare.

We actively promote a culture of diversity, equity, inclusion, and non-discrimination. Solvay's **DEI & Non-Discrimination Policy** outlines our commitment to providing equal opportunities, fostering an inclusive environment, and contributing positively to the communities in which we operate.

Solvay's DEI policy explicitly articulates the value we place on our employees and their diverse contributions. It acknowledges the importance of individual differences, life experiences, backgrounds, and talents in shaping Solvay's culture and achievements. We view diversity as the driving force behind our innovative mindset and competitive edge in the industry. Our DEI policy highlights the celebration and support of our employees' differences, whether visible or invisible, including their backgrounds, age, gender identity, ethnicity, religion, sexual orientation, and ability.

The DEI policy also emphasizes the significance of equity and inclusion within Solvay. It aims to create equal opportunities and fair representation for all employees, acknowledging that certain groups may require additional support to ensure their full inclusion. We define equity as promoting impartiality and fairness while recognizing and addressing barriers that some employees may face. The company actively engages with diverse individuals and encourages the formation of Employee Resource Groups to contribute to an inclusive culture for all employees.

Our DEI and Non-Discrimination Policy is designed to prevent, mitigate, and respond to discrimination within Solvay. It emphasizes that all employees have a shared responsibility to treat others with dignity and respect, and to collectively fulfill the company's objectives. This policy applies worldwide and requires employees to embody DEI principles in their behavior at work, company functions, and off-site events. We provide regular awareness training to enhance employees' understanding of DEI, encourage them to build a culture of trust and respect, and empower them to challenge non-inclusive or discriminatory behaviors.

Compliance, ethics & human Rights:

We are strongly committed to upholding human rights within our own workforce. In relation to the Code of Business Integrity and the Social Dialogue Policy, we have implemented a comprehensive Human Rights in Business Policy, which includes strict adherence to labor rights, safety, and non-discrimination across all our operations. Our approach includes grievance mechanisms and continuous engagement with stakeholders to address any concerns related to human rights.

Solvay's general approach to respecting human and labor rights focuses on promoting the culture of a safe, inclusive, and respectful working environment for all employees. We prioritize fair treatment, freedom of association, and the elimination of forced labor and child labor. These principles are integrated into our global operations by regularly reviewing Solvay's practices, ensuring compliance with local and international labor standards, and fostering a culture of responsibility and accountability. We employ a robust grievance mechanism that allows employees and stakeholders to raise concerns regarding potential human rights violations, which includes accessible reporting channels and guarantees protection from retaliation for those who come forward. We also conduct thorough investigations of reported incidents and take corrective actions, including policy adjustments or remediation efforts, to address any adverse human rights impacts.

Solvay's policies explicitly address trafficking in human beings, forced labor, compulsory labor, and child labor. The company's **Human Rights in Business Policy** and **Code of Business Integrity** unequivocally prohibit all forms of human trafficking and forced or compulsory labor. They are also supported by a **Social Dialogue Policy**. These documents are designed to ensure that no employee is subjected to involuntary work or exploitation. The company adheres to international standards and legal requirements to protect the rights of young workers and ensure that all employees meet the minimum age requirements.

Furthermore, the policy outlines disciplinary measures for employees who exhibit inappropriate conduct or discrimination. Solvay encourages employees and partners to speak up if they witness or experience any form of discrimination, providing various channels for reporting concerns and seeking support, including the option to remain anonymous. Employees can access the company's Speak Up guidebook for additional information on reporting concerns and can also contact the Compliance Department for further assistance.

S1-2 Processes for engaging with own workers and workers representatives about impacts

We actively seek the perspectives of our workforce to inform our decision-making and actions aimed at managing impacts on employees in line with group policy and local legislation. The company emphasizes a culture of open communication and collaboration, evident in the establishment of various representative bodies like the EWC and the SGF. These platforms enable employee representatives to engage directly with senior management, including the CEO and ELT, providing a channel for their voices to be heard and considered in strategic decisions.

We employ a dual approach to engagement, interacting directly with our workforce, for example, via ELT visits to the manufacturing sites, promoting town halls and the use of pulse surveys, while also recognizing the value of worker representation through established bodies.

Solvay's engagement strategy is designed to involve employees and their representatives at various stages, primarily focusing on the policy development and implementation phases. Representative bodies, such as labor unions and works councils, are actively involved in discussions and negotiations concerning new policies and procedures. This proactive approach ensures that potential concerns and implications are addressed before policies are rolled out, promoting a sense of ownership and transparency.

We utilize a multi-faceted approach to engagement, employing various channels to facilitate communication and collaboration. These include formal meetings with labor unions, local works councils, and joint management-worker committees, as well as global platforms like the SGF and the EWC, fostering dialogue and collaboration on a broader scale. We also conduct annual site visits to monitor compliance with agreements and encourage feedback through the Speak Up Policy or representative bodies.

The frequency of engagement varies depending on the type and level of interaction. Global forums like the SGF meet quarterly, while the EWC Secretariat convenes monthly, and site visits are conducted annually by IndustriALL and the Select Committee of the EWC to ensure ongoing communication and collaboration. The Human Resources function, led by a senior executive such as the Head of HR Country & Labor Relations, has the operational responsibility for driving and ensuring the effectiveness of our stakeholder engagement efforts.

Solvay's Global Framework Agreement (GFA) with IndustriALL is a key component of our commitment to respecting global human rights and provides mechanisms for gaining insights into the workforce perspectives. This involves annual site visits by IndustriALL representatives, fostering open communication channels, and actively involving employee representatives in collaborative policy development. We have also implemented various indicators and mechanisms, such as periodic policy reviews, compliance monitoring, feedback mechanisms like the Pulse Survey and Speak Up program, as well as collective bargaining agreements and other commitment outcomes to evaluate and address the needs and concerns of our workforce. We have further established general mechanisms and commitments like Employee Resource Groups, the Speak Up Policy, the Global Framework Agreement, and the Human Rights Policy, which contribute to understanding the needs of vulnerable or marginalized groups.

S1-3 Processes to remediate negative impacts and channels for own workers to raise concerns

We emphasize Solvay's commitment to sustainability and employee well-being. We have implemented processes and an accessible helpline that allow employees, including from the workforce, to raise concerns, ensuring that any negative impacts are promptly addressed. This includes **grievance mechanisms** whereby employees can safely and confidentially report grievances or unethical practices. These channels are integral for fostering an environment in which our workforce can voice concerns without fear of retaliation, supporting a culture of transparency.

See G1-1 in the Sustainability statements for more details on the grievance mechanism.

Solvay has a structured remediation framework in place to address material negative impacts on our workforce. We ensure that any remediation action - whether it involves compensation, corrective measures, or training - is carefully implemented. The effectiveness of the remedy is evaluated through **pulse surveys** to ensure that the solutions provided mitigate the identified harm and prevent recurrence. The results of the surveys enable the Group, local management, and all operational managers to identify strengths and areas in which the working environment and employee experience can be improved.

Our remediation processes also consider long-term strategies like **workforce training** and **safety improvements** to prevent future impacts. Lifesaving Rules are also part of Solvay's culture.

Solvay's grievance processes include steps for escalation and resolution, ensuring that complaints are investigated thoroughly and that appropriate actions are taken to remedy any issues identified. Our policy aligns with international standards and ESG reporting requirements, ensuring that these processes are robust, well-communicated, and integrated into our overall human resources and governance framework.

We promote a "Speak Up" culture, whereby employees are encouraged to report any concerns or potential violations of the Code of Business Integrity (CoBI) or other internal policies. Solvay's Speak Up Program, overseen by the Audit & Risk Committee of the Board of Directors, includes comprehensive training that educates employees on the importance of reporting and the channels available to them. In line with the Speak Up Policy, all reports are investigated promptly, independently, and objectively, providing a secure and confidential process for employees including workforce and stakeholders to report concerns, ensuring that investigations are handled with appropriate follow-up actions to address any misconduct.

The Ethics Helpline, an external third-party helpline accessible 24/7 throughout the year, is available for employees and external parties to report concerns anonymously if they choose. This helpline operates in 19 languages, covering all of Solvay's locations, and can be found in the Ethics and Compliance section of Solvay's website. In addition to the Ethics Helpline, we provide various internal reporting channels through which employees can raise concerns. These channels, including line management, Ethics & Compliance function, the General Counsel Function, Internal Audit, Human Resources, and employee representatives, are designed to ensure that reports are received and handled with confidentiality and without fear of retaliation.

See G1-3 in the Sustainability Statements for more details on investigation and reporting.

S1-4 Taking action on material impacts on own workforce, and approaches to mitigating material risks

Action plans

We have implemented comprehensive action plans and allocated dedicated resources to manage material IROs related to Solvay's workforce. These action plans are described in the table below:

Material impacts	Action plans to address negative impacts	Action plans to enable remedy	Action plans to address positive impacts	Tracking
Health & Safety	In all our operational sites, through a framework of **Health & Safety management systems** - a set of rules, procedures, guidelines, audit, discipline, metrics, or digital tools - we are targeting full compliance with applicable legislations, Solvay's requirements, and recognized international standards, like ISO 45001 and Responsible Care. Our facilities are designed and operated to safeguard Health & Safety as core elements of our sustainable business success. All our own workforce and value chain workers are eligible to apply this policy, and all our entities are involved in supporting the standards, procedures, norms, and processes. Following the high severity incidents with 3 tragic fatalities in 2024, Solvay launched a **Dedicated Group Safety team** led by a Group Safety Director reporting to the COO. This team will engage in a safety transformation to raise safety culture, engagement of all leaders and operational discipline in the plants. This transformation will be supported by an external safety culture consultant company. **Solvay Pulse Survey**: to evaluate and measure the evolution of well-being and commitment, three times each year. This survey is accompanied by a tool to open dialogue. The aim is to enable teams to discuss results and identify improvement actions. Lifesaving Rules. Emergency Response Plans and First Aid. **Risk assessments of health risks** (chemical, physical, ergonomic, biological, and psycho-social). Initial and periodic risk-based medical surveillance. Return to work, accommodation, and maternity protection processes. Burnout observatory. **Advice and support provided** to employees, sites, and the company by experts.	**Workload assessment tool**: for assessing workload problems and identifying solutions. **Employee Assistance program:** external psychologists and coaches for work-related and private topics. Recording, analysis, and corrective actions upon incidents. Emergency Response Plans and First Aid. Exposure reduction action plans.	**Well-being ambassador** per site, to raise awareness on tools for enhancing well-being. **Make Life Easier program**: company rules to make employees' lives easier and ensure productivity. **Training** to raise awareness about different topics. Promotion of safety like SAFE charter or Life Saving Rules. Medical surveillance of employees. Physical and mental health promotion. **Advice and support provided** to employees, sites, and the company by experts.	Health & Safety · Reportable Injuries Rate (RIR) · Lost Time Injury Rate (LTIR) · Fatal accidents · High Severity Reportable Injury Rate (H-RIR) · Recordable, work-related, ill health: number, causes, fatalities, days lost · Advanced risk-based medical surveillance · Health Promotion indicators · Mental health and well-being at work indicators · General Health perception Solvay conducts regular pulse surveys to measure the overall engagement of our workforce. Turnover and absenteeism (due to illness) are tracked using the Better Life dashboard.
Social Dialogue	**Employee Engagement Programs:** Platforms like Solvay Global Forum, or initiatives promoted by EWC and IndustriALL promote communication and collaboration, while the site visits also allow a close monitoring of material risks and opportunities.	**Feedback mechanisms** like the Speak Up program and Pulse Surveys also allow our employees to voice their concerns.	Solvay Cares Policy (see above).	Solvay monitors progress by feedback from Solvay Global Forum.
DEI	**DEI strategy:** These actions foster an overall diverse, inclusive work environment and address gender pay gaps. **Living Wage analysis:** After implementing three successful pilot programs in the US, UK, and China, Solvay now conducts an analysis to understand what percentage of our workforce is paid below the living wage.	**Living wage extension**: In 2024 we completed the global living wage analysis for all of the countries it operates in, with a strive to close the gap in 2025 and provide a living wage for 100% of our employees by 2026.	**Employee Development and Training:** Solvay invests in training programs and development opportunities to enhance the skills and knowledge of our workforce, promoting career growth and personal development.	Diversity tracking focusing on mid-level and senior management. Recruitment tracking of diverse candidates. Auditing Solvay workforce to ensure that 100% are paid a living wage. Employee development is measured by hours of learning per employee.

We place a strong emphasis on regularly reviewing various metrics to ensure the effectiveness of program initiatives and to identify whether any corrective action is necessary. This commitment is reflected in Solvay's robust risk management process, which entails the identification, assessment, and mitigation of potential negative impacts on the workforce. We have established procedures for reporting and investigating workplace incidents, allowing the company to pinpoint root causes and implement necessary corrective actions. We also actively engage with our employees through a variety of channels, such as employee resource groups, pulse surveys, and employee representatives, to gather feedback, understand concerns, and address their needs effectively. This inclusive dialogue empowers the company to take appropriate action and continually improve the workplace environment.

Continuous monitoring and improvement are integral parts of our approach, utilizing key performance indicators (KPIs), audits, and other tools to monitor our performance and identify areas for enhancement. This approach ensures that our actions remain effective and relevant, demonstrating our strong commitment to prioritizing the well-being and satisfaction of Solvay's workforce.

Solvay has a robust mechanism to mitigate risks and pursue opportunities for employees at the identified material impact areas:

Material impact areas	Actions to mitigate risk	Actions to pursue opportunities
Health & Safety	**Safety** · Our ten life saving rules are mandatory for everyone. Everywhere, we apply risk-based thinking to take actions to prevent, mitigate, or remediate negative impacts. · We have in place emergency rescue and mitigation measures against potential damage and Solvay reputational impacts related to short-, medium- and long-term risks. · Value chain and safety transports have clear requirements for performance and drive industry change. **Health** · Health risk assessments. · Initial and periodic risk-based medical surveillance, including biomonitoring. · Return to work and accommodation processes. · Medical emergency response and first aid. **Well-being** · Seek continuous feedback from employees through pulse surveys and Employee Resource groups. · Team Pulse results are analyzed by an occupational psychologist, who can make the psychosocial risk assessment, if it seems necessary, or on request from employees. · Individual listening to employees by an occupational psychologist (internal), occupational physicians and nurses, or EAP (external). · Training to raise awareness about different well-being topics, like how to identify the weak signals of excessive stress.	· All workers have the same right to a safe and healthy workplace. · Where we operate, we are building capability within neighbors and communities for mutual benefit. · Our own workforce is invited to raise concerns with their representatives. · Based on employee feedback, Solvay launched the "Make Life Easier" program to decrease the workload of employees. The program allows for meeting-free Friday afternoons, prescribes a rest period between each meeting, and guides employees on how to create clear expectations for meetings. · Team discussions to analyze pulse results and identify actions for improvement.
DEI	· Talent acquisition: promoting diverse recruitment through diverse recruitment panels and measuring progress. · Embed DEI in our performance review and promotion process to ensure fair process and reduce bias.	· Create an inclusive environment to increase employee engagement through a new culture and set of behaviors so that every employee can thrive. · Extend the UN Global Compact living wage initiative to all employees to ensure that all of them are paid a living wage by 2026. · Provide equitable development opportunities to all employees to ensure equal chances to move forward in the organization (for instance, through the Star Factory program).
Social dialogue	· Seeking feedback from employee representatives through different forums like the European Works Council, Solvay Global Forum, and other local bodies.	· Complete living wage global analysis and close the gap for all Solvay employees. · Communicate on pay and equity.

We are committed to balancing business performance with our responsibility to mitigate negative impacts on our workforce. We address potential conflicts between these priorities by adhering to our core values of safety, integrity, and sustainability, which guide our decision-making processes.

Mitigation negative impacts on employees

When business pressures arise, such as during periods of restructuring, rapid scaling, implementation of new technologies, or cost-cutting measures, we prioritize employee well-being and environmental responsibility. This commitment is embedded within our structured governance framework and ethical policies, including the Code of Business Integrity (COBI), the Speak Up Policy, and the Employee Assistance Program. The COBI, for instance, provides guidelines for ethical decision-making in situations where business needs may conflict with employee well-being, emphasizing transparency and respect for employee rights.

We proactively identify potential negative material impacts on the workforce resulting from business pressures, focusing on areas such as employee well-being, safety, and work-life balance. We anticipate potential impacts on employee workloads and job security. This identification is conducted centrally by the Labor Relations, HR, and Transformation teams, and also through continuous feedback collection via Pulse surveys and the Speak Up Policy. This multi-faceted approach ensures we capture a comprehensive understanding of potential challenges. Following the identification of potential impacts, Solvay engages in consultation with representative bodies, first at the global/European level and then locally, to discuss and agree upon appropriate mitigation measures. These measures are designed to minimize negative impacts on employees in line with global and local labor standards.

We also consider the impact on our own employees when potentially terminating a business relationship. This is addressed through a robust due diligence process, ensuring compliance with existing contractual clauses, purchase orders, and the signed Supplier COBI. The COBI reinforces our commitment to ethical conduct in all business dealings, including the responsible treatment of employees affected by business decisions. Specifically, in the context of business relationship terminations, the due diligence process includes an assessment of potential impacts on employees at the other entity and, where possible, we work with the other entity to ensure a responsible transition.

By continuously monitoring, consulting, and adapting our approach, we strive to effectively balance business pressures with the well-being of our workforce, creating a sustainable and responsible business.

Resources

To implement ambitious policies and action plans, Solvay has dedicated Health and Safety, DEI, well-being, learning, and labor relations teams, with annual budgets that allow effective implementation.

Dedicated resources:

Areas	FTEs
Health, Safety & Environment (HSE)	261 FTEs
Diversity, Equity, & Inclusion (DEI)	2 FTEs globally, with support of local HR teams (60 FTEs)
Social Dialogue	21 FTEs

Negative impacts on workers from green transition

Please refer to the ESRS 2 - MDR-P policy table.

We have focused on transitioning to sustainable technologies to mitigate negative impacts on our workforce. For instance, the complete phase-out of coal use at the Green River facility in the US and the planned coal phase-outs in Germany and France represent key steps toward reducing harmful emissions that could affect workers' health. The e.Solvay process, currently being piloted, further reduces the environmental impact by lowering CO_2 emissions and resource consumption. In cases like Dombasle and Torrelavega, staff operating new boilers or power plants built for the energy transition have been transferred to third-party operators. This approach ensures continuity of employment while aligning with sustainable practices.

We also facilitate employees' adaptation to the sustainability transition through various upskilling programs, such as the framework of Solvay's STAR Factory (STAR Operations Academy) and through continuous discussions with social partners, for instance in the Solvay Global forum.

Solvay's global travel policy reflects our commitment to sustainability and efficiency by promoting responsible travel practices. To address the remaining emissions from business travel, the Travel Carbon Fund initiative compensates for these emissions through investments in biodiversity projects, further supporting our broader sustainability goals. The Travel Carbon Fund charges business units based on their travel emissions. This encourages responsible travel practices while financing sustainability projects that deliver both environmental and economic benefits.

S1-5 Targets related to managing material impacts, advancing positive impacts, as well as to risks and opportunities on own workforce

Target	% or #	Description
a) reducing negative impacts on its own workforce		
Improving employee well-being	Qualitative	By promoting engagement and HSE initiatives, such as Employee Assistance Programs included in the Solvay Cares program, Solvay uses Pulse surveys to gauge our employees' engagement (%) and workload (%) to enable preventive action and policy steering to create a supportive environment. There is no quantitative target defined, but continuous monitoring is taking place.
Health & Safety Management	0 accidents	We reinforce Solvay's commitment to track and deploy preventive actions to improve health & safety worldwide, by targeting zero accidents: · Reportable Injuries and Illness Rate: A Work-related Injury or Illness resulting from accidents requiring a treatment greater than a First Aid Injury. · Lost Time Injury and Illness rate: A Work-related Injury or Illness that results in a work interruption of one or more days, not including the day of the accident. · Fatal Accident: An Occupational Accident resulting in a loss of life.
b) advancing positive impacts on its own workforce		
Diversity Target (Equal Workforce)	30% by 2030	Strategic objective to have 30% women in mid & senior management by 2030, and to achieve gender parity as soon as possible. Annual Target to improve female representation in mid & senior management linked to the Short-term Incentive scheme.
Provide Fair Living Wage	100% by 2026	Solvay is committed to and actively working on providing a living wage to 100% of our workforce by 2026, aligning with the UN Global Compact Forward Faster initiative.
Ensure Pay Equity	Qualitative	Solvay committed with other initiatives to make an assessment on how to improve transparency and drive cultural change to increase the pay equity for our workforce by 2026. In addition, Solvay is committed to integrating pay equity to hiring, internal promotion and annual merit increase processes.
Solvay Cares Agreements	Qualitative	Solvay reinforced our commitment as a responsible employer by guaranteeing a minimum level of protection in terms of welfare and healthcare for all our employees worldwide. This minimum level covers protection in relation to the following: Major Health Costs; Disability leave; Maternity and Paternity leave; Adoption leave; Death of an employee; and Employee Wellbeing support.
Make Life Easier program	Qualitative	Deployment of Solvay initiative to improve work-life balance for all employees through a toolkit that helps our workforce to better balance their workload.
(c) managing material risks and opportunities related to its own workforce		
Employee Development and Training	Depends on local regulation	Solvay keeps track of employee training hours to ensure compliance with local rules and standards. These training sessions include mandatory sessions on topics like confidentiality, compliance, and privacy, as well as voluntary programs to help employees develop new skills, such as leadership, language courses, and sustainability-related learning.

We involved our workforce through various Employee Resource Groups to establish these targets, while the central representative body played a significant role in defining the programs and targets for the Employee Share Purchase Program (ESPP) and Better Life strategy, including pay equity and fair living wage. We engaged our workforce by organizing town halls with the ELT in different Solvay countries and through the Solvay+ ELT broadcast, where progress on various metrics was shared, and workforce representative bodies, such as the EWC, were consulted for performance tracking. We actively engaged our workforce to identify lessons learned following the pulse surveys and provided a manager toolkit to identify action points from team-level results, with the involvement of workforce representative bodies like the EWC to help identify lessons learned.

S1-6 Characteristics of Solvay's Employees

Gender distribution

Gender	Number of employees (head count) 2024	%
Male	6,737	75.65%
Female	2,163	24.29%
Other	2	0.02%
Not Disclosed	3	0.03%
Total Employees	**8,905**	**100.00%**

Calculation method

The total active internal workforce (headcount)[1] as of December 31, 2024, categorized by gender (Male, Female, Others, and Not Disclosed).

Gender and geographic distribution

The average number of employees in countries with 50 or more employees representing at least 10% of total number of employees is 3,844.

Number of employees (head count) 2024

Country/Gender	Female	Male	Other	Not Disclosed	Total
Brazil	260	1,068	1	0	1,329
France	294	980	0	0	1,274
Germany	193	1,014	0	0	1,207
USA	177	717	0	1	895
Total	**924**	**3,779**	**1**	**1**	**4,705**

Calculation method

Active internal Workforce (Headcount), for December 2024 (31 Dec), split by country and the different types of gender (Male, Female, Others, and Not disclosed). Filtering only countries with 50 or more employees, representing at least 10% of the total number of active internal workforce in the specific month.

Employment characteristics

Employment characteristics by gender Dec 2024

	Female	Male	Other	Not Disclosed	Total
Number of employees (head count)	2,163	6,737	2	3	8,905
Number of permanent employees (head count)	2,056	6,527	1	3	8,587
Number of temporary employees (head count)	107	210	1	0	318
Number of non-guaranteed hours employees (head count)	N/A	N/A	N/A	N/A	N/A
Number of full-time employees (head count)	2,023	6,641	2	3	8,669
Number of part-time employees (head count)	140	96	0	0	236

Calculation method

Active internal workforce (headcount), for December 2024 (at 31 Dec), split by the different types of gender (Male, Female, Others, Undeclared, and Unknown) and contract type (Permanent + Temporary) and by percentage of utilization (full-time + part-time).

Average number of Active Internal Workforce (headcount): For the year of 2024, we counted the months from January until December. The numbers per month always refer to the last day of each month.

In Solvay HRIS system the non-guaranteed hours employees cannot be identified and reportable.

(1) The Headcount listed does not include the 83 employees part of Shandong Huatai Interox Chemicals, China (abbreviation SHIC) for 2024. This entity is partially owned and its employees will be incorporated into our HR system in 2025.

Employment characteristics by region 2024

	EUROPE	LATIN AMERICA	ASIA PACIFIC+ROW	NORTH AMERICA	Total
Number of employees (head count)	5,356	1,489	1,165	895	8,905
Number of permanent employees (head count)	5,242	1,455	996	894	8,587
Number of temporary employees (head count)	114	34	169	1	318
Number of non-guaranteed hours employees (head count)	N/A	N/A	N/A	N/A	N/A
Number of full-time employees (head count)	5,121	1,489	1,165	894	8,669
Number of part-time employees (head count)	235			1	236

Calculation method

Active internal workforce (headcount), for December 2024 (at 31 Dec), split by regions (ASIA PACIFIC + ROW, EUROPE, LATIN AMERICA and NORTH AMERICA) and contract type (Permanent + Temporary) and by percentage of utilization (full-time + part-time).

The non-guaranteed hours employees are N/A because in Solvay HRIS system they cannot be identified and reportable.

Part-time Employees (per country) (Top 4)

Country of Company	December.2024
GERMANY	112
FRANCE	52
BELGIUM	40
SPAIN	11

Average number of employees (headcount).

Employees Average 2024	8,996

Employee turnover

Employee turnover	Jan - Dec 2024
number of employees	836
% of employee Turnover	9.3%
% of employee Voluntary Turnover	4.1%

Calculation method

Turnover rate calculations are based on the number of employees who have left, voluntarily or involuntarily, since the start of the year, divided by the average number of active employees during the same period. The voluntary turnover rate provides insight into employees who left voluntarily compared to the average number of employees, considering the split between Solvay and Syensqo and the exit from TSA.

The data is sourced from Solvay's Human Resources Information System (HRIS) and has a global scope, covering the time periods of December 2024 for end-of-year data and January to December 2024 for current year data. The active internal workforce data includes only company employees and excludes trainees, students, and external workers. Terminations refer to employees who no longer have an active employment contract with Solvay, including both voluntary and involuntary departures, and data is provided for January to December 2024. Employee numbers are presented as headcount data, representing the total number of individuals employed and are reported at the end of each month in 2024.

Contextual information

Solvay provides contextual information to supplement the previously presented data. We experienced a slight decrease in headcount in 2024 (-2.09%), attributed to strategic decisions aimed at streamlining operational areas to boost efficiency. Notably, there was a marginal increase in the gender ratio in 2024 (+0.37% female representation). These trends were consistent across the representative countries of Brazil, France, and Germany, with the USA excluded from monthly average calculations despite reaching a 10% threshold in December 2024.

Across the monthly view, the limited fluctuation in headcount aligns with Solvay's strategic direction. Our presence is predominantly in the EUROPE and LATIN AMERICA regions, accounting for 60% and 17% of the workforce, respectively. Temporary employees, primarily located in EUROPE and ASIA PACIFIC, make up less than 4% of Solvay's own workforce, serving short-term needs, seasonal demands, projects, and offering flexibility to employees while complying with local labor regulations. The notable prevalence of female part-time employees reflects Solvay's flexible working policies, accommodating maternity and family support needs within regulatory frameworks, although our HRIS currently lacks the capability to differentiate non-guaranteed hour employees.

Furthermore, Solvay reports a low total employee turnover rate, with the uptick in turnover in 2024 attributed to the split between Solvay and Syensqo, impacting the Global Business Services workforce due to the end of the TSA. Voluntary turnover at Solvay remains lower, constituting 4.1% of the overall turnover figures.

In the 2024 Annual Integrated Report, Solvay provides a clear cross-reference to the most representative figures concerning our workforce. The total headcount is prominently displayed in the key figures of the introduction section of the report, offering stakeholders a snapshot of the company's size and scale. Further insights into the workforce composition are revealed in "S1-6 Characteristics of Solvay employees" of the report, where a breakdown by region is presented.

S1-8 Collective bargaining coverage and social dialogue

The percentage of our employees covered by collective bargaining is 74.83% (6,664 out of 8,905 of total employees).

Coverage Rate	Collective Bargaining Coverage		Social Dialogue
	Employees - EEA (for countries with >50 empl. representing >10% total empl.)	Employees - non-EEA (estimate for regions with >50 empl. representing >10% total empl.)	Workplace representation (EEA only) (for countries with >50 empl. representing >10% total empl.)
0-19%		NORTH AMERICA	
20-39%			
40-59%			
60-79%	Germany		
80-100%	France	LATIN AMERICA	France, Germany

Complementary note: The countries included in the non-EEA scope are Brazil and USA.

As much as possible, we will regularly monitor and report on social dialogue KPIs, mainly related to Collective Bargaining Agreements (CBAs) as all Solvay employees are covered by an umbrella collective agreement.

The overarching principle is that CBAs exert a considerable influence on employment practices following local labor law legislation, although in varying degrees depending on the employee category and specific legal entity. These agreements apply across all entities and distinguish between non-cadre, cadre, and executive employees, ensuring tailored provisions for each group. For most of our workforce, excluding executive-level employees, the CBAs are the foundation of employment terms. The interplay of CBAs, Internal Labor Rules, and individual contracts ensures a balanced and equitable approach to employment, regardless of one's position or contractual arrangement.

S1-9 Diversity metrics

The table below shows the gender distribution at the top management level in the number and percentages of employees.

Headcount & percentage of gender distribution for top management roles (S23+) - Senior Management (≥S23) in Management Level (data: December 2024)

Gender	Number of top management employees (headcount)	% of top management employees (headcount)
Male	76	73.1%
Female	28	26.9%

The percentage of women in senior management level was 26.9%, and in mid & senior management 27.3% in 2024. Management levels at Solvay are defined by pay grades on the basis of the Hay Job Evaluation Methodology. For "Senior Management" level the pay grade is equal or higher than S23 (Hay points above 925) and for "Middle and Senior management" equal or higher than S19 (Hay points above 530).

As illustrated in the table below, the data includes the number of employees (headcount) under 30 years old, the corresponding percentage of employees under 30 years old, the number of employees (headcount) between 30 and 50 years old, the percentage of employees between 30 and 50 years old, the number of employees (headcount) over 50 years old, and the percentage of employees over 50 years old.

Headcount & percentage per age distribution for Solvay (data: December 2024)

Age Range	Number of employees (headcount)	% of employees (headcount)
Number of employees (headcount) under 30 years old	931	10.5%
Number of employees (headcount) between 30 and 50 years old	4,819	54.1%
Number of employees (headcount) over 50 years old	3,147	35.3%

Note: The total number of employees does not match the number of employees in section S1-6 because we have employees categorized in the age range "Not assigned". Top Management (S23+) classification is based on the pay grade of the employees. Having S23+ pay grade determines who is under this level.

S1-10 Adequate wages

In our analysis of 2024, all employee data including Annual Basic salary and guaranteed bonuses/allowances were scrutinized against city-regional benchmarks provided by our external provider, WageIndicator, to ensure alignment with adequate wage standards.

As of December 2024, it was established that 100% of Solvay's worldwide employees are receiving compensation at or above local adequate wage standards, demonstrating the company's commitment to ensuring that all staff members receive remuneration that aligns with established market benchmarks.

Moreover, we conducted a comprehensive living wage assessment across the company's operating countries and regions. In cases where discrepancies in meeting living wage benchmarks were identified, plans have been outlined to implement targeted strategies in 2025 to address gaps and ensure that all employees are fairly compensated in accordance with local living wage standards.

S1-14 Health and safety metrics (Own workforce & Communities)

Health and safety management system

The percentage of individuals within our own workforce who are working on sites with health & safety management systems is 73.88% (6,579 out of 8,905 of total employees). According to the Group HSE procedure, the HSE system is applicable to all Industrial and R&I Solvay sites with more than 10 employees.

Recordable work-related injuries

In 2024, there were no fatalities recorded within Solvay's own workforce. However, three fatalities involving contractors (value chain workers) occurred during the year: one at the Torrelavega site on August 27, one at the Devnya site on October 28, and one again at the Torrelavega site on December 4, all under the SA&D GBU.

Furthermore, a total of 41 Recordable Injuries (RIs) were documented in 2024, with 24 RIs concerning the own workforce and 17 RIs related to contractors. The Recordable Injury Rate (RIR) for Solvay's own workforce was calculated at 1.47 based on 24 RIs and a total work hours figure of 16,343,385 in 2024.

In 2024, there were 17 Lost Time Injuries (LTIs) from the own workforce, resulting in a total of 720 days lost to work-related injuries and fatalities. Losses included 235 days from previous year LTIs affecting 2024, with an additional 485 days lost due to the 17 LTIs in 2024. Notably, two cases from 2024 continued to incur lost days into 2025, with the total lost days to be consolidated in preparation for the next AIR period, including SA&D, Bernburg site (LTI date: November 8, 2024) and SA&D, Rosignano site (LTI date: September 27, 2024).

Recordable work-related ill health

In 2024, there were no fatalities within the company's own workforce caused by work-related ill health, nor were there any fatalities due to work-related ill health recorded for other workers on the undertaking's sites during the same year. The total number of days lost to work-related ill health and fatalities from ill health related to employees in 2024 amounted to 2008 days, with all 2008 lost days attributable to work-related ill health issues and none due to fatalities caused by such health concerns. The table presented below details the types of recordable occupational illnesses.

Employees

	Units	Diagnosed or declared in 2024	Other cases from previous years known in 2024
Hearing disorders	Number	0	0
Musculoskeletal diseases	Number	2	0
Other non-carcinogenic diseases	Number	6	0
Asbestos-related diseases and cancers	Number	0	0
Other cancers	Number	0	0
Not specified/Unknown	Number	0	0
Total	**Number**	**8**	**0**

The figures in the table above relate to recordable work-related illnesses contracted by Solvay employees who are active.

People who were formerly in Solvay's workforce

	Units	Diagnosed or declared in 2024	Other cases from previous years known in 2024
Hearing disorders	Number	1	0
Musculoskeletal diseases	Number	0	0
Other non-carcinogenic diseases	Number	0	1
Asbestos-related diseases and cancers	Number	12	11
Other cancers	Number	0	0
Not specified/Unknown	Number	0	0
Total	**Number**	**13**	**12**

The figures in the table above relate to recordable work-related illnesses contracted by Solvay former employees who are retired or have left the company.

S1-16: Remuneration metrics

Gender pay gap

The unadjusted gender pay gap of 6.21% reflects both the strides Solvay has taken in fostering gender equality and the remaining work to be done, influenced by various factors such as roles, seniority, representation imbalances, and geographical disparities within the organization. We remain dedicated to reducing this gap through initiatives like promoting diversity in recruitment, supporting career advancement for underrepresented groups, and continually evaluating pay practices for fairness. This metric is derived from the average hourly remuneration of all male and female employees across the organization in 2024, providing valuable insights into gender-based compensation differentials and undergoes thorough data quality validations to ensure accuracy and reliability aligning with actual pay practices.

The data, collected primarily from our global payroll systems covering over 90% of the workforce in the group, includes actual total remuneration figures for employees in 2024, encompassing various cash elements like Basic Salary, Seniority, Overtime, and Bonuses, as well as annual payments such as Christmas allowances and local Benefits. In cases where total remuneration details are not centrally available, the HR system is used to derive information from employees' target Annual Base Salary and actual bonus payments for comprehensive coverage. We are driving enhanced data accuracy and coverage through the initiation of a Payroll Transformation Project, aiming to transition to a truly global operational model starting in 2025 and nearing completion by 2027.

Total remuneration ratio

This year, we introduced an enhanced methodology for determining the ratio between the CEO's total remuneration and the unadjusted global median pay, resulting in a ratio of 50 for 2024. This updated approach focuses on total remuneration to ensure a comprehensive representation of the organization's compensation framework, covering elements such as annual base salary, guaranteed bonuses, allowances, short-term and long-term incentives, and employee benefits in kind. The application of this formula aligns with the gender pay gap methodology for the total remuneration ratio to support transparency within the leadership compensation structure, especially during transitions.

The annual hours definition stipulates that salary is based on a general figure, not necessarily actual worked hours, utilizing actual working hours data where available and estimated hours in its absence. The total remuneration definition varies for global and non-global payroll solution countries, encompassing all cash elements and benefits on top of the basic salary in European standard alignment. Data coverage involves primary sourcing from payroll systems for the majority of employees and secondary estimation based on historical trends for uncovered individuals, ensuring comprehensive depiction. Reporting as of December 31, 2024, consolidates data for all active employees on this date and annualizes information for 2024 hires to provide full-year equivalents, maintaining accuracy and inclusivity in remuneration analysis.

S1-17: Incidents, complaints, and severe human rights impacts within its own workforce

During the reporting period, we meticulously tracked social and human rights incidents concerning discrimination, harassment, and severe human rights violations within our workforce, with 30 cases of discrimination and harassment documented but none related to human rights. The total number of complaints filed through Solvay's Ethics Helpline is 109, 30 of which reported by third parties, with no cases escalated to the National Contact Points under the OECD Guidelines for Multinational Enterprises. Solvay did not incur material fines, penalties, or compensations for social and human rights violations, and there were zero instances of forced labor, human trafficking, child labor, or violations of UN Guiding Principles and OECD Guidelines. We also reported no material fines, penalties, or compensations for severe human rights issues, showcasing our commitment to ethical standards and human rights principles in our operations.

6.3.2. Process Safety and Transport Safety Management

Material impacts, risks and opportunities (IROs) related to Process Safety and Transport Safety

Please refer to ESRS 2 IRO-1 Description of the process to identify its impacts, risks, and opportunities and to assess which ones are material.

The topic Process Safety and Transport Safety Management is an entity-specific topic of Solvay, deemed material based on the following potential material impacts:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual/ Potential	IRO Description	Geography	Value Chain	Time Horizon
Own workforce	Working conditions	Health and safety	Negative impact	Potential	A potential major accident (occupational, process) in our operations, mines, quarries, and/or cavities causes fatalities, irreversible injuries, and/or environmental damage.	WW	Own operations	Short term
Workers in the value chain	Working conditions	Health and safety	Negative impact	Potential	An accident off site (e.g., transportation, warehousing, tolling) could potentially cause fatalities and/or environmental damage.	WW	Own operations + Downstream	Short term

Policies to manage IROs related to Process Safety and Transport Safety

Please refer to the ESRS 2 - MDR-P policy table (Health & Safety Policy).

Process Safety and Transport Safety is embedded in Solvay's globally applicable Health & Safety Policy:

- Process Safety Management is implemented to oversee industrial processes handling hazardous chemicals to prevent and address incidents. The topic applies to all production sites and research and innovation centers under Solvay's operational control where a process safety risk may be identified. For preventing and controlling incidents in industrial processes, Solvay applies the Process Safety Management PSM Principles on all industrial sites, regardless of whether the site is covered by regulatory requirements.
- Transport Safety entails the prevention and reaction to incidents that could occur during the movement of a chemical product in a Solvay site, and outside a Solvay site when circulating on public roads, rail, air, inland waterways or seas, or during loading or unloading at an off-site location, only if Solvay or a logistics provider contracted by Solvay is performing the loading or unloading.

Specific procedures complement the Health & Safety policy and guide the implementation of process safety management, including risk-based Process Hazard Analyses and Transport Emergency Response at GBUs/Sites.

Stakeholder considerations

Solvay site managers are responsible to apply this policy and implement the Group procedures in their sites. The HSER team enforces the policy implementation through its day-to-day operational oversight, supported by Correspondents at each operational site. HSER organization is responsible for communicating the policy to each GBU and industrial site for its implementation. Employees' representatives are also encouraged to provide feedback on the policy. Other key stakeholders, such as local authorities, local communities, and emergency external entities, are involved at the various steps of the process: risk analysis and control, risk management, and emergency plans.

Actions and resources to manage its material IROs related to Process Safety and Transport Safety

Please refer to the actions in S1 and S2 developed to remediate those harmed by material impact.

Process safety management

We have created and used a Process Safety Management System. Among other things, this system includes:

- A preventive risk-based approach founded on systematic Process Hazard Analyses (PHA), and the identification of critical scenarios for which mitigation actions must be implemented in a committed time frame.
- A team of process safety experts trained and qualified to apply the PHA methodologies. In some cases, external qualified consultants collaborate with Solvay.
- A process safety network covers all zones to manage and deploy process safety to all sites.

Key actions

Below is a description of the key elements of the Process Safety Management System and some actions, applicable to all sites, which are performed either routinely or on an ad hoc basis, depending on the nature of the event (e.g. Management of change or investment projects) and/or severity of an incident.

Actions performed routinely

- Completion of Process Hazard Analyses (PHA) to identify high-risk situations. These are performed on each unit with a unique risk matrix to quantify the risk level of every potential accidental scenario, combining severity and probability factors.
- Conclusion of PHA may result in taking preventive and protective measures to prevent and reduce the impact of more severe scenarios. These measures may require additional investments.
- Management Of Change is a management system for ensuring that changes to processes are properly analyzed, documented, and communicated to affected personnel.
- Central reporting of Process and Transport Safety Incidents. The incident severity – medium, high, or catastrophic – is assessed by applying internal criteria, including on-site or off-site consequences, damage to the immediate vicinity, and quantity of spilled material (if any) (see section below for process safety indicators).
- Publication of process safety bulletins for significant incidents, distributed to all sites. These bulletins are used by the sites as support materials for safety talks to increase the process safety knowledge of employees.
- Training of workforce and contractors. Training modules/videos on process safety knowledge are available to all Solvay employees and concerned contractors working on industrial sites.
- Process safety performance is regularly measured by conducting regulatory compliance and Solvay HSE Group Requirement audits according to Solvay's HSE Compliance and Group Requirements Audit procedure.

Actions performed on ad hoc basis (pending occurrence of an incident or specific event):

- Safety study during the design phase of new installations or changes to existing equipment.
- Activation of an Emergency Response Plan in case of severe incidents on site. Relevant internal and external parties are informed through the application of Solvay's crisis management procedure. If needed, the Corporate Crisis Cell (crisis alert duty 24/7) is also activated.
- In case of an accident (process- or transport-related), root cause analysis, including actions to prevent recurrence and lessons-learned bulletins are mandatory for all high and catastrophic severity incidents, and for medium severity incidents resulting in a fire or an explosion, as well as for High Severity Potential incidents (HSPos). The HSE Management System is a dynamic risk management system, continuously enhanced on past experiences.

Resource allocation

Transport safety management

The major goal of the Transport Safety Management is to prevent incidents that could lead to catastrophic consequences. We have put in place a number of tools and procedures that allow us to identify and take action to mitigate transport-related risks.

Below is a description of the key elements and some actions that are performed either routinely or in exceptional circumstances, depending on the nature of the incident:

- regulatory watch and compliance with applicable transport regulations
- qualification standards for carriers of dangerous goods
- selection process for Logistics Service Providers, based on hazard and risk assessment
- implementation of safety procedures and guidelines
- operational management of day-to-day transport operations, including loading and unloading
- emergency preparedness and response for levels 1, 2, and 3
- providing emergency response hotlines worldwide and in many languages
- incident reporting and investigation
- training of workforce and contractors
- auditing

Action monitoring

We monitor the effectiveness of measures taken as part of process and transport safety management by means of a series of indicators presented in the section below. Actions taken on the reporting year are also systematically reviewed according to the ISO45001 principles (cf. Dynamic risk management system).

Targets and metrics set to manage material IROs related to Process Safety and Transport Safety

Our ambitions

We aim at zero accidents within our premises and from our operations. We are dedicated to prevention and mitigation of incidents. This effort is guided by our global and local action plans.

To evaluate the effectiveness of our policies and actions, we monitor and measure process safety- and transport- related metrics and performance indicators periodically.

Our process safety and transport safety indicators are tracked using a centralized project tracking tool, with progress assessed on an annual basis against defined metrics and KPIs.

Process safety indicators

Our facilities are designed and operated to safeguard Health & Safety as a core element of our sustainability strategy. In particular, we aim to have no incidents of medium or higher severity (defined below) within the reporting year, and to reduce the number of low severity incidents and the Process Safety Incident rate compared to the previous year.

All incidents are recorded, managed, and followed up at site levels. The Group HSE reporting procedure is defining the process for each site to centralize the reporting of every incident equal or above the medium severity level and/or HSPo incidents.

The incidents are categorized as per the following scale of severity:

- High or catastrophic severity: reversible injuries off-site, or irreversible injuries on-site, or reversible environmental damage off-site, or damage to equipment with direct cost above EUR 2 million.
- Medium severity incident: first aid injuries off-site, reversible injuries on-site, or operating permit limits exceedance, fire, explosion, rupture of a piece of equipment with damage above EUR 2,500, or chemical release with amount above the ICCA thresholds.
- Low severity incident: none of the high or medium severity criteria is met.

Process safety indicators for 2024 are summarized in the table below:

PROCESS SAFETY	Units	2024
Process Safety Incidents with C (catastrophic severity)	Number	0
Process Safety Incidents with H (high severity)	Number	0
Process Safety Incidents with M (medium severity)	Number	59
Total process safety incidents (medium, high, catastrophic)	**Number**	**59**
Process safety incidents (medium, high, catastrophic) with environmental consequences (medium, high or catastrophic) with reportable operating permit limit exceedance	Number	5
Process safety incidents (medium, high, catastrophic) with environmental consequences (medium, high or catastrophic) without reportable operating permit exceedance	Number	7

Transport safety indicators

A HSPo incident is a low or medium severity incident, or near misses that might have been worse (high or catastrophic) if the circumstances had been slightly different.

Solvay had three transport safety incidents of medium severity in 2024.

TRANSPORT SAFETY	Units	2024
Catastrophic	Number	0
High Severity	Number	0
Medium Severity	Number	3

6.3.3. Workers in the value chain

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual/ Potential	IRO Description	Geography	Value Chain	Time Horizon
Workers in the value chain	Working conditions	Health and safety	**Negative impact**	Potential	Inadequate working conditions at our suppliers' mines could potentially lead to (injuries and/or?) fatalities amongst their workers.	Countries at risk	Upstream	Short term
Workers in the value chain	Working conditions	Health and safety	**Negative impact**	Potential	An accident off site (e.g., transportation, warehousing, tolling) could potentially cause fatalities and/or environmental damage.	WW	Own operations + Downstream	Short term
Workers in the value chain	Other work-related rights	Child labour	**Negative impact**	Potential	Raw material suppliers may breach human rights principles by using child labor in their activities.	Countries at risk	Upstream	Medium term
Workers in the value chain	Other work-related rights	Forced labour	**Negative impact**	Potential	Our suppliers for raw materials may breach human rights principles by using forced labor to supply Solvay.	Countries at risk	Upstream	Medium term

S2- SBM-3 Material IROs and their interaction with Strategy and business model

All value chain workers likely to be materially impacted are included in the scope of this disclosure. We have developed an understanding of workers at greater risk from market knowledge and experience. This understanding helped us to conclude that the most at-risk workers are in the raw materials value chain. Thanks to this understanding, we have started, for example, to apply a specific CSR questionnaire for workers in mines to be able to address all risks related to doing mining activities and working in this particular context with particular characteristics. However, no material risks or opportunities have been identified; Solvay only potentially has negative impacts.

Furthermore, no significant risk of child labor has been identified, nor of forced or compulsory labor, for our workers who are on-site but not part of our own workforce, workers in the upstream and downstream value chain, workers in joint ventures or special purpose vehicles, or vulnerable workers.

We have subscribed to a third-party risk management platform for adverse media screening to monitor and identify Solvay's supply chain's risks and impacts related to different matters such as modern slavery and human rights (including forced labor and child labor), anti-bribery and corruption, and environmental, social, and governance considerations. This provides transparency through our value chain, enabling us to develop risk mitigation action and remediation plans. In 2023, we requested that our service provider conduct a comprehensive screening of the suppliers in at-risk countries and value chains, and our core suppliers. The value chains include: Technical Goods and Technical Services, Raw Materials, Logistics, Packaging, General Expenses, Energy, IT, and Telecommunication.

In 2024, all suppliers doing business with Solvay in Germany were added to the screening. The batch screening results highlighted four suppliers with eight adverse media alerts regarding human rights during 2023 and 2024, but none of the alerts concerned direct and proven involvement in forced labor or child labor practices. None of the eight alerts condemn our suppliers. These are articles about widespread, systemic impacts, not individual ones.

S2-1 Policies to manage IROs related to value chain workers

We are committed to meeting our responsibility to respect human rights and act with due diligence to avoid any infringement of human rights or any adverse impact on or abuses of such rights, according to Solvay's **Human Rights in Business Policy** *(see MDR-P table for more information)*. Solvay's Human Rights in Businesss policy is publicly available to all stakeholders who may potentially be impacted by our operations. This Policy serves as a foundation for integrating the responsibility to respect human rights into Solvay's business activities. It outlines the human rights that are most relevant to our operations and value chain, including health and safety; the right to a clean, healthy, and sustainable environment; freedom of association and collective bargaining; non-discrimination; and the prohibition of child labor, forced labor, or human or sex trafficking.

In committing to fostering a sustainable and responsible value chain, we engage with our suppliers to promote responsible sourcing practices. We require suppliers to adhere to Solvay's **Supplier Code of Business Integrity**, which includes provisions related to labor rights, safety, and environmental standards. To reinforce this further, we have created and implemented Solvay's Sustainable Procurement Policy *(see MDR-P table for more information).*

To demonstrate this commitment, Solvay undertakes to uphold internationally recognized human rights as outlined in the following standards and conventions:

- Universal Declaration of Human Rights,
- International Covenant on Civil and Political Rights,
- International Covenant on Economic, Social and Cultural Rights,
- International Labor Organization's (ILO) eight core labor conventions,
- ILO Declaration on Fundamental Principles and Rights at Work, and
- Convention on the Rights of the Child.

Moreover, Solvay adheres to the following standards outlining expectations of companies:

- United Nations (UN) Global Compact,
- ILO Tripartite Declaration of Principles Concerning Multinational Enterprises and Social Policy,
- OECD Guidelines for Multinational Enterprises,
- UN Guiding Principles on Business and Human Rights, and
- Children's Rights and Business Principles.

We engage with various stakeholders to foster a collaborative approach to human rights. This engagement includes ongoing dialogue with suppliers to understand their perspectives and concerns regarding human rights practices. We adopt a proactive approach to engaging with value chain workers, ensuring their rights and welfare are prioritized throughout Solvay's operations.

Our engagement strategy includes several key components:

- Request for all suppliers to commit to Solvay's Supplier Code of Business Integrity,
- Corporate Social Responsibility (CSR) Questionnaire, to assess the suppliers' engagement and practices related to labor rights, safety, and environmental standards.
- Collaboration with third-party organizations such as EcoVadis and Together for Sustainability (TfS) to conduct assessments and audits of supplier performance. This helps us to identify risks and areas for enhancement in Solvay's supply chain engagement. In 2024, 1,345 of our suppliers were assessed by EcoVadis and 18 of our suppliers were audited. 96% of our core suppliers are assessed by EcoVadis.

We are committed to continuously improving our approach to human rights remediation. The company regularly reviews and updates the policy and practices based on emerging best practices, changes in the legal and regulatory landscape, and stakeholder feedback, if any. If updates are made to the policy, alterations are also reflected in the version available to our stakeholders via our website. Currently, there are no additional mechanisms in place except those already mentioned to make this policy available to potentially affected stakeholders or those involved in its implementation.

S2-2 Processes for engaging with value chain workers about impact

Under the Global Framework Agreement on social responsibility and sustainable development between Solvay Group and IndustriALL Global Union, Solvay demonstrates a strong commitment to human rights across all operations.

Key aspects include adherence to:

- → ILO conventions: Protecting freedom of association and the right to collective bargaining, while strictly prohibiting forced labor, child labor, and discrimination of any kind.
- → United Nations Global Compact: As a signatory, Solvay commits to its ten principles, specifically regarding human rights, labor rights, environmental responsibility, and anti-corruption. This includes supporting human rights within Solvay's influence and ensuring no complicity in human rights abuses.
- → Universal Declaration of Human Rights and UN Guiding Principles on Business and Human Rights.

We expect Solvay's suppliers, contractors, and subcontractors to comply with the law and with statutory regulations, as well as basic human rights stipulated by international agreements and standards, and therefore contribute to Solvay's compliance with the provisions of the Agreement.

We assess the effectiveness of our engagement with value chain workers through a comprehensive approach. The procurement team, led by the Chief Procurement Officer, is responsible for the engagement. This includes third-party screening via Dow Jones, which evaluates suppliers' adherence to social and environmental standards. We also use the TfS initiative to conduct audits focused on labor conditions and human rights in the supply chain. EcoVadis scorecards are also collected to monitor supplier performance on sustainability, including worker rights and welfare. If any issues are identified, Solvay works with suppliers to implement corrective actions, ensuring continuous improvement in worker engagement and compliance. Solvay does not directly engage with value chain workers or their legitimate representatives, or with credible proxies directly, but via independent third parties - EcoVadis or similar players - and via auditing, especially in cases of low ESG scores on human rights. According to Solvay's Sustainable Procurement Policy *(see MDR-P table for more information)*, the third-party assessments are performed every three years unless the supplier has an EcoVadis score below 45 or 30, in which case an assessment is performed in the second or first year, respectively. An audit is performed when a supplier has an EcoVadis score below 30 on human rights. We help our suppliers improve on a continuous basis.

The perspectives of value chain workers inform our decisions or activities. For example, we have developed a specific CSR questionnaire for workers in mines to be able to address all risks related to working in these specific areas and insert more rigor when working or selecting suppliers with such workers.

No additional steps are in place to gain insight into the perspectives of vulnerable and/or marginalized workers.

S2-3 Disclosure of approach to and processes for providing or contributing to remedy in case of material negative impact on value chain workers

Currently, there are no direct engagement initiatives for workers in the value chain. However, in alignment with the Corporate Sustainability Due Diligence Directive, a comprehensive project on Responsible Value Chain Due Diligence is currently underway, aiming to assess and mitigate risks related to workers' rights and environmental conditions. However, Solvay is committed to ensuring that effective communication channels are available for all stakeholders, including suppliers and value chain workers.

To support this commitment, the organization has implemented a grievance mechanism that allows stakeholders to report concerns or violations confidentially and without fear of retaliation. The organization promotes transparency by publicly disclosing information about the available channels through the website, internal communications, and training, ensuring that all stakeholders are aware of their rights and the processes available to them. Additionally, Solvay ensures that workers within the value chain are informed about - and have confidence in - Solvay's grievance system by mentioning, in the Supplier Code of Business Integrity, the possibility for the suppliers' workers to report through Solvay's channel.

Solvay adopted an external third-party helpline, available 24/7 throughout the year, ensuring that all complaints are taken seriously and addressed promptly. Employees and external parties can report concerns anonymously if they choose. This helpline operates in 19 languages, covering all of Solvay's locations, and is in the Ethics and Compliance section of Solvay's website.

We have established robust mechanisms for identifying, reporting, and investigating concerns regarding unlawful behavior or actions that breach Solvay's Code of Business Integrity, policies, and other internal rules. Solvay's Code of Business Integrity, the Suppliers Code of Business Integrity and the Speak Up Policy ensure that each incident is reviewed and, as appropriate, investigated promptly, independently, and objectively, providing a secure and confidential process for employees (including workforce) and stakeholders to report concerns, ensuring that investigations are handled with appropriate follow-up actions to address any misconduct. Currently, no mechanism is in place to assess whether the remedy provided is effective.

Solvay's Speak Up Policy upholds three key principles: confidentiality, anonymity, and non-retaliation. The company ensures that reports and information that could reveal an individual's identity remain confidential to the extent reasonably possible, disclosed only on a need-to-know basis or as required by local laws. Individuals can choose to remain anonymous, and such reports are treated with equal seriousness. All individuals are protected from retaliation when reporting breaches of law, policy, or the Code of Business Integrity in good faith.

The management of investigations into human rights issues falls under the direct responsibility of the Ethics & Compliance Department, which is an independent function within Solvay, as indicated in the Code of Business Integrity. This department oversees all aspects of the investigation process, from initial assessment to final resolution, ensuring strict confidentiality and compliance with Solvay's internal policies and legal standards. High-risk and impact cases are reported by the Chief Ethics & Compliance Officer to the Business Ethics & Compliance Board, the Sustainability Committee and to the Audit & Risk Committee of Solvay's Board of Directors.

S2-4 Action plans and resources to manage its material IROs related to value chain workers

We are committed to preventing, mitigating, and remediating material negative impacts on workers throughout our value chain. As part of this commitment, we are planning to organize targeted training sessions for contractors to be rolled out in March 2025. Additionally, a comprehensive project on Responsible Value Chain Due Diligence is currently underway. Its objective is to consolidate the Group's Responsible Value Chain Due Diligence Policy *(see MDR-P table for more information)*, with a particular focus on areas such as Human Rights, among other critical topics. The final objective is to take measures by the end of 2025 to strengthen prevention or mitigation of any potential and real impacts on the above topics, which could arise from Solvay's own operations and business relationships across the value chain.

We ensure that appropriate actions will be taken to provide or enable remedy in cases of actual material impacts by utilizing Solvay's grievance mechanism. This mechanism facilitates the reporting of any issues, ensures a thorough investigation, and drives timely resolution. Once an issue is reported, Solvay takes corrective actions tailored to the specific nature of the impact. These actions are continuously monitored to ensure they effectively address the underlying issues and mitigate any potential further harm. No significant positive impacts have been identified.

We ensure that Solvay's practices do not cause or contribute to negative impacts on value chain workers through a comprehensive approach. This includes mandating compliance with Solvay's Supplier Code of Business Integrity (SCOBI), which sets clear expectations for ethical conduct, labor rights, and workplace safety among our suppliers. We also include specific clauses in contractual agreements with suppliers that require adherence to human rights standards and prohibit practices that could harm workers in the value chain. Additionally, we conduct human rights assessments and can confirm there have been no significant human rights violations reported within Solvay's operations or those of their suppliers.

The responsibility for managing material impacts related to workers in the value chain falls under the leadership of two functions: Ethics & Compliance and Procurement.

The Ethics & Compliance Department operates under the leadership of the Group General Counsel and Corporate Secretary General. It is structured with Regional Compliance Officers based in each region where the Group operates, all of whom report directly to the Chief Compliance Officer. The Procurement Department operates under the leadership of the Chief Procurement Officer who reports to the Chief Operations Officer. The department is structured both globally and regionally for each region where the Group operates. All procurement staff in the Group report to the Chief Procurement Officer except the energy buyers who report to the Group Energy Officer.

In the past years, we implemented several actions to uphold the Human Rights of our value chain workers as stated in our Supplier Code of Business Integrity. The progress of those actions was not monitored as we expect all our suppliers to adhere to the Human Rights principles as set out for our value chain workers. The actions mentioned above are recent initiatives from Solvay and their progress has not yet been recorded. Although the rights of our value chain workers are a top priority for us, we have not yet assigned any financial resources to our action plan. We do have a dedicated Ethics & Compliance Team as part of our internal resources. Because of this, we can not connect our financial resources with the amounts shown in the financial statements.

S2-5 Targets set to manage material IROs related to value chain workers

Currently, we are still in the process of developing targets externally. We have internal metrics and KPIs to track the effectiveness of our actions and reduce risks. For example, 100% of our core suppliers shall be covered by a third-party ESG assessment and audited in case of a low score on human rights. In addition, all suppliers in a high-risk country and value chain, as well as those doing business with us in Germany, shall be screened. In 2024, 1,345 of our suppliers were assessed by EcoVadis, 18 - audited, and 3951 - screened. 96% of our core suppliers are assessed by EcoVadis. However, we plan to expand this list to incorporate more suppliers continuously.

For more details on all our actions, please refer to paragraph S2-4.

6.4. GOVERNANCE INFORMATION

6.4.1. Business conduct

Financial materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Business conduct	Corporate culture	N/A	**Risk**	Potential	Risk of Solvay being engaged in anti-competitive behavior (participation in a cartel, abuse of market power etc.).	WW	Own operations	Long term
Business conduct	Corporate culture	N/A	**Risk**	Potential	A non-compliance to Export Control rules, Trade Compliance rules or Sanctioned parties lists causes major financial and reputational damages.	WW	Own operations	Medium term

Impact materiality:

Topic	Sub-topic	Sub-sub-topic	IRO Type	Actual / Potential	IRO Description	Geography	Value Chain	Time Horizon
Business conduct	Protection of whistle- blowers	N/A	**Positive impact**	Potential	Ethics Helpline open to external business partners and treatment of submitted cases at Solvay, helps protecting whistleblowers.	WW	Own operations + Upstream + downstream	Short term
Business conduct	Corruption and bribery	Prevention and detection including training	**Positive impact**	Actual	Implementing training practices to ensure business integrity has a positive impact by helping to prevent bribery and corruption practices and contributing to reducing unfairness.	WW	Own operations	Short term
Business conduct	Corporate culture	N/A	**Positive impact**	Potential	Solvay Compliance and business integrity policies and practice with clear governance at Compliance office prevent from corruption and bribery cases.	WW	Own operations	Short term

G1- GOV-1 The role of the Board of Directors, management, and administrative bodies

As a global chemical group operating in many sectors with a large number of business partners, ethical and compliant behavior is essential to our people and how we do business at Solvay. We have established an organization to reinforce a Group-wide culture based on ethics and compliance. The Ethics & Compliance Department operates under the leadership of the Group General Counsel and Corporate Secretary General. It is composed of Ethics & Compliance Officers located in the regions in which the Group operates, reporting to the Chief Ethics & Compliance Officer. This department is responsible for fostering Solvay's culture of integrity, building a strong 'speak up' culture, addressing and mitigating compliance risks, overseeing the implementation of Solvay's Code of Business Integrity and Compliance policies, increasing third-party oversight, providing guidance and advice to the Group's leadership and operations, and managing and investigating all violations or concerns that are brought to its attention, either alone or with the assistance of other departments.

We have a dedicated legal expert for competition law within the General Counsel Function, who is responsible for implementing the Competition Law Policy and Competition Law Compliance Program, in charge of providing competition law advice and guidance, as well as deploying effective and regular communication and training on subjects related to competition law.

The Chief Ethics & Compliance Officer reports annually to the Audit & Risk Committee of Solvay's Board of Directors on key achievements, risk mitigation priorities, trends, and data related to the Speak Up Program, in accordance with confidentiality standards. As set out in the Governance Charter, the Audit & Risk Committee ensures the Group's financial statements and communications conform to accounting standards, monitors the effectiveness of internal controls and risk management (including those related to ESG considerations), oversees the systems generating financial data, and verifies key ESG indicators. It evaluates risks impacting the Group's financial position, reviews internal audit processes, and ensures management addresses audit findings. The Committee also handles concerns about financial reporting, recommends the statutory auditor to the Board, monitors external audit implementation, and ensures the auditor's independence. It meets at least four times per year, before each Board of Directors' meeting. The Audit & Risk Committee invites the Chief Financial Officer, the Head of Group Accounting & Reporting, officers of the Internal Audit & Risk Management function, the Group General Counsel, the statutory auditor for the Group, and the Chief Ethics & Compliance Officer to give their respective reports during each of its meetings or as relevant.

The Chief Ethics & Compliance Officer chairs the Business Ethics & Compliance Board, with members including the Group General Counsel, the Chief People Officer, the Chief Sustainability Officer (CSO), a GBU President, and the Head of Internal Audit & Risk. This Board has a semi-annual periodicity, and its agenda is organized by the Chief Ethics & Compliance Officer, who reports on ethics and compliance focus areas strategy, reviews policies and procedures, and ensures that Solvay complies with applicable rules, regulations, and requirements within the business. The Chief Ethics & Compliance Officer also ensures that Solvay's ethical standards are clear, documented, and followed where applicable.

The Ethics & Compliance Disciplinary Committee oversees the investigation and approves the outcome and potential sanctions of cases with a high risk and impact from a people or reputational perspective, such as all reports related to allegations of corruption, antitrust, human rights violations, or reports related to senior management. The Disciplinary Committee is composed of senior leaders with specific expertise in governance, legal affairs, human resources, and business operations, ensuring a comprehensive and informed approach to evaluating serious Ethics & Compliance cases. The Disciplinary Committee is constituted by the Group General Counsel, Chief People Officer, and Chief Ethics & Compliance Officer, who are the voting members. Invitees, such as the GBU President/Functional Head and the Investigating Ethics & Compliance Officer, provide business input and perspectives, with the latter offering insights but not participating in the decision-making process.

G1- IRO-1 Description of the processes to identify and assess material IROs

The process to identify and assess material IROs is described in the General Disclosure section 1.4 IROs management.

G1.1 7 Policies in place to manage its material impacts, risks, and opportunities related to business conduct and corporate culture

For a list of our policies, please refer to the MDR-P table in section ESRS 2.

G1-1 Corporate culture and Business conduct policies

Solvay's Code of Business Integrity serves as a foundational framework, guiding responsible decision-making, enhancing accountability, and showcasing the company's dedication to integrity, sustainability, and stakeholder engagement. The Code addresses topics such as bribery, corruption, facilitation payments, gifts, and entertainment (including in dealings with government officials), conflicts of interest, international trade, fair competition, and political contributions. Our Code of Business Integrity applies to all Solvay employees, across the globe, and to majority-owned joint ventures. We expect our business partners to operate in compliance with laws and regulations within their operations and adapt to the spirit of Solvay's Code of Business Integrity.

To further strengthen Solvay's high ethical legal standards, our commitments to integrating economic, societal, and environmental sustainability in our activities and our partnerships in the supply chain, Solvay also has a Supplier Code of Business Integrity. This Supplier Code applies to all Solvay suppliers of goods or services and all the suppliers' subcontractors under their control. It sets forth the minimum requirements of ethical behavior and legal compliance acceptable to be a supplier to Solvay, addressing legal compliance for business integrity (including corruption, bribery, conflict of interest, and competition law), confidentiality, respect for human rights, health and safety protection, environmental protection, sustainability, and communication to supplier employees and subcontractors.

The ELT holds the primary responsibility to validate and approve the Code of Business Integrity and the policies that are part of the Ethics & Compliance Program. The Chief Ethics & Compliance Officer is the most senior level in the organization accountable for the implementation of these policies. Solvay's policy-setting mechanisms do not directly incorporate the interests of key stakeholders. Instead, engagement is achieved through our comprehensive DMA process, which values stakeholder viewpoints, uses these insights to shape our Code of Business Integrity, and ensures their interests are considered in our strategic ambitions.

We make Solvay's Ethics & Compliance Program, Code of Business Integrity, and policies accessible to all stakeholders via the company's intranet and website. We also conduct orientation training for new employees and annual refreshers. There is provision for reporting any violations through the Speak Up Program, an internal grievance system available to both internal and external stakeholders. For further inclusivity, we have set up a 24/7 external helpline for anonymous reporting of concerns in multiple languages, thereby ensuring that the policy is implemented and upheld globally.

Anti-bribery and anti-corruption

Solvay demonstrates robust commitment to the prevention and elimination of bribery and corruption. Our Code of Business Integrity expressly states that the Group prohibits bribery in any form. Facilitation payments are not permitted by Solvay and disguising gifts or entertainment as charitable donations is also a violation of the Code of Business Integrity. Our approach to preventing corruption and bribery is supported by more detailed policies and elements, including the Anti-Bribery and Anti-Corruption Policy; Gifts, Entertainment, Charitable Donations, and Sponsorship Policy; Conflict of Interest Policy; Training and Communication; and Risk Management and Internal Controls. More specifically, the Anti-Bribery and Anti-Corruption Policy reflects best practices consistent with global standards, such as the United Nations Convention against Corruption.

For more information on our policies, please refer to the MDR-P table.

Competition Law and Antitrust

Complying with competition and antitrust law requirements is a priority for Solvay. For that reason, in 2024 we renewed our Competition Law Policy *(please refer to the MDR-P table for more information)*, which propagates a zero-tolerance approach toward competition law infringements. This formal policy was approved by the ELT and is published on our intranet, to which all Solvay employees have access. Any violation of this policy may result in disciplinary action, subject to and in conformity with applicable laws, as per the procedures set out in this section.

To implement Solvay's Competition Law Policy, we have a concrete Competition Law Compliance Program in place, designed to mitigate the specific risks the Group has identified in this field of law. It has been in force since 2003 and is updated annually. It includes a competition law toolkit on our intranet with up-to-date guidelines on specific areas of competition law, including distribution agreements, information exchange in joint ventures and swaps, among other topics. To minimize cartel risks, we have put in place a computer-based system that tracks all contacts that relevant employees have with competitors through a managerial approval procedure. Solvay provides e-learning courses on (i) competition law in general and (ii) on the use of the computerized tracking system of meetings with competitors, which we deem especially important for employees with roles that involve greater likelihood of meeting competitors and exposure to antitrust risks.

Antitrust litigation serves as an example of why competition law compliance remains a priority for the Group. In Brazil, CADE (the Brazilian antitrust authority) levied fines against subsidiaries of Solvay and other third parties in May 2012, relating to hydrogen peroxide activities, and in May 2016, relating to sodium perborate activities. Solvay's aggregate share of these fines amounts to EUR 29.6 million and EUR 3.99 million, respectively. We have since brought a lawsuit before the Brazilian Federal Court to contest these administrative fines.

In an environment of increasing trade complexity, we have implemented a Group Trade Compliance Policy *(please refer to the MDR-P table for more information)* to ensure compliance with all applicable laws and regulations related to international trade, export control, economics sanctions, customs operations, and anti-boycott, thereby avoiding major financial and reputational risks to Solvay. This policy is supplemented, for its practical and effective implementation, by the Group Trade Compliance Program, which is a set of more detailed requirements, guidelines, missions, and templates consolidated into one document.

Human Rights

The Human Rights in Business Policy states Solvay's strong commitment to Corporate Social Responsibility, including the protection and advancement of Human Rights, establishing the principles to ensure respect for human rights.

This policy is further detailed in section S1-1: Policies related to own workforce, as well as in the MDR-P table.

Solvay's Code of Business Integrity and the policies and procedures adopted to enhance good governance apply to all employees wherever they are located. Majority-owned joint ventures are held to the Solvay Code of Business Integrity, or to a separate code adopted based on similar principles. We expect Solvay's business partners to comply with all laws and regulations governing their activities, both within their own worksites and at the Group, and to encourage adherence to the spirit of this Code of Business Integrity throughout their operations.

To ensure employee awareness and the effective communication of Solvay's Ethics & Compliance Program, Code of Business Integrity, and policies, periodic global awareness campaigns are implemented, and documents are accessible both on Solvay's intranet for employees and website for all stakeholders. All employees are also required to complete the Code of Business Integrity training as part of their onboarding, which must be repeated on an annual basis.

Speak Up

Solvay's commitment to ethical and compliant behavior is materialized through our Speak Up Program, which is overseen by the Audit Committee of the Board of Directors and promotes a culture in which stakeholders are encouraged to report any concerns or potential violations via internal channels or Solvay's grievance system, which is available to both internal and external stakeholders. The company has established robust mechanisms for identifying, reporting, and investigating concerns regarding unlawful behavior or actions that breach Solvay's Code of Business Integrity, policies, and other internal rules. The Code and the Speak Up Policy ensure that each incident is reviewed and, as appropriate, investigated promptly, independently, and objectively, providing a secure and confidential process for employees and stakeholders to report concerns, while ensuring that investigations are handled with appropriate follow-up actions to address any misconduct.

Solvay offers various internal channels through which employees can raise concerns. These include line management, Ethics & Compliance, the General Counsel Function, Internal Audit, Human Resources, and employee representatives. In addition, Solvay set up an external third-party helpline, available 24/7 throughout the year, available for employees and external parties to report concerns anonymously if they choose. This helpline operates in 19 languages, covering all of Solvay's locations, and can be found in the Ethics & Compliance section of Solvay's website.

Solvay's Speak Up Policy upholds three key principles: confidentiality, anonymity, and non-retaliation. The company ensures that reports and information that could reveal an individual's identity remain confidential to the extent possible, disclosed only on a need-to-know basis or as required by local laws. Individuals can choose to remain anonymous and such reports are treated with equal seriousness. Solvay's external third-party helpline is set up and has technical features to ensure confidentiality and anonymity. Solvay has established clear procedures to protect the identity of individuals who report concerns to the company, including restricted access to information relating to reports and minimizing personal data throughout the investigation process. All individuals are protected from retaliation when reporting breaches of law, policy, or the Code of Business Integrity in good faith, in accordance with the applicable law transposing Directive (EU) 2019/1937 of the European Parliament and of the Council. Solvay's strict non-retaliation policy is detailed in the Code of Business Integrity and Speak Up Policy.

Employees and leadership are trained on how to identify and act against retaliation through a specific module on the yearly Code of Business Integrity training. We encourage our employees to report any retaliation matters through Solvay's grievance system, which has a specific issue type for "harassment including retaliation". Retaliation acts toward individuals that raised concerns in good faith result in disciplinary action, up to and including termination of employment.

Upon receiving a report of unlawful behavior or breach to the Code of Business Integrity and policies, Solvay promptly reviews the information and, as appropriate, initiates an investigation process led by independent, dedicated, and trained compliance professionals, who are part of the Ethics & Compliance department and report to the Chief Ethics & Compliance Officer. These are professionals experienced in conducting investigations, who continuously and actively update and expand knowledge on relevant laws, regulations and practices, which includes reviewing industry publications, attending webinars and conferences and participating in compliance professionals groups to discuss market trends and exchange on best practices.

We demonstrate Solvay's commitment to accountability through our approach to resolving identified issues. Based on the investigation's findings, appropriate actions are taken, which may include disciplinary measures, policy updates, or other corrective steps, focusing continuous improvement to mitigate risks and ensuring the highest standards of ethical behavior.

Employees receive training and information on the speak-up culture, internal reporting channels, and grievance system through specific modules included in the Code of Business Integrity training, ad-hoc classroom and remote training, regular internal communications, and information available and accessible on the company intranet (Solvay ONE).

G1-3 Prevention and detection of corruption and bribery

Solvay's framework for preventing and detecting corruption and bribery is built on several key policies, which ensure ethical behavior across the organization. Our action plan involves implementing and maintaining a robust framework to prevent, detect, and address potential violations of anti-corruption and commercial bribery laws. At the core of this framework is the Code of Business Integrity, which defines the company's ethical principles and is complemented by more specific policies, such as the Anti-Bribery and Anti-Corruption Policy, the Policy on Gifts, Entertainment, Charitable Donations, and Sponsorship, the Conflict-of-Interest Policy, and the Speak Up Policy. Together, these policies create a comprehensive approach to mitigating risks related to unethical behavior.

For more information on these policies, please refer to the MDR-P table.

Anti-Bribery and Anti-Corruption Policy

In line with global standards and regulations, Solvay's Anti-Bribery and Anti-Corruption Policy provides a framework of rules and procedures to detect, prevent, and address potential violations foreseen in anti-corruption and commercial bribery laws. Our action plan applies to all Solvay employees, including executives, and third parties acting on Solvay's behalf. The policy contains the definition and strict prohibition of bribery and facilitation payments, as well as the procedures for high-risk transactions such as retention of intermediaries, mergers and acquisitions, and the obligation to report.

Policy on Gifts, Entertainment, Charitable Donations, and Sponsorship

The Policy on Gifts, Entertainment, Charitable Donations, and Sponsorship sets strict rules for employees regarding the acceptance or offering of gifts and hospitality. This policy ensures that gifts or entertainment, whether received or offered, do not influence business decisions, or create conflicts of interest. The Policy also prohibits the exchanges of gifts and entertainment with government officials, politically exposed persons, or their immediate family members, except for limited circumstances described in the document and after the approval of Ethics & Compliance. Ethics & Compliance's analysis and prior approval is also required when charitable donations exceed a defined threshold, ensuring adherence to the policy and compliance with the law. Solvay also uses an online tracking system (Gifts and Entertainment Tracking System - GETS), accessible to all employees in Solvay's intranet, to monitor these transactions, ensuring traceability, transparency, analysis, and approval from management and Ethics & Compliance. The use of the tracking system is part of Solvay's Internal Audit review process and complies with ethical standards.

The Code of Business Integrity sets the scenarios that are deemed to be a conflict of interest, such as intimate or familial relationships with business partners. The Code is complemented by the Conflict of Interest Policy, which further details the risk scenarios and expected conduct. Employees are required to report potential conflicts of interest immediately to management, Human Resources, or Ethics & Compliance, ensuring that any risk of undue influence or bias in decision-making is addressed promptly. Employees and third parties acting on our behalf exercise fair, objective, and impartial judgment in all business dealings and place the interests of Solvay over any personal interests in matters relating to Solvay's business.

Solvay's approach to preventing bribery and corruption is supported by more detailed policies and elements, including the Anti-Bribery and Anti-Corruption Policy; Gifts, Entertainment, Charitable Donations, and Sponsorship Policy; Conflict of Interest Policy; Training and Communication; and Risk Management and Internal Controls. More specifically, the Anti-Bribery and Anti-Corruption Policy reflects best practices consistent with global standards, such as the United Nations Convention against Corruption.

In terms of detection, Solvay's Speak Up Policy provides employees, business partners, and all stakeholders with confidential channels through which they can report concerns about unethical conduct (Ethics Helpline). The management of investigations into potential corruption and bribery falls under the direct responsibility of the Ethics & Compliance Department, which is an independent function within Solvay, as indicated in the Code of Business Integrity. This department oversees all aspects of the investigation process, from initial assessment to final resolution, ensuring strict confidentiality and compliance with Solvay's internal policies and legal standards. Investigation of reports related to allegations or incidents of corruption and bribery received by Ethics & Compliance directly or through the grievance system is overseen and approved by the Ethics & Compliance Disciplinary Committee, which ensures involvement of senior leadership, and effective risk management. Appropriate actions approved by the Committee may include disciplinary measures, enhanced controls, or additional training. We ensure that individuals conducting, overseeing, and approving investigations are independent from the matter at hand.

High-risk and impact cases involving allegations or incidents of corruption or bribery, particularly those with potential legal or reputational risks, are reported by the Chief Ethics & Compliance Officer to the Business Ethics & Compliance Board and to the Audit Committee of Solvay's Board of Directors.

One of the key pillars in Solvay's anti-corruption framework is the continued training of employees, to maintain our culture of integrity. Mandatory training on the Code of Business Integrity and the policies is rolled out regularly, ensuring that all staff, from entry-level to executives, are well-versed in the potential risks, scenarios, expected conduct, obligation to report, and reporting channels. To obtain the completion certificate, participants need to achieve a pass mark between 80% and 100%, which varies by chapter.

Anti-bribery and anti-corruption web-based training is carried out on a two-year cycle for a pre-identified target population, which includes all employees grade S15 and above, irrespective of their function and including all the company's executives, to ensure that all employees exposed to risk are periodically trained. Targeted employees on leave (e.g., sick leave, parental leave) must provide justification for their absence and complete the training upon their return. The most recent online training course, available in 16 languages, took place in 2023; 98.80% of the target population was trained.

The anti-bribery and anti-corruption web-based training content covers the definition of bribery, high-risk transactions, working with third parties, working with distributors and sales agents, and how to report a potential violation. For employees to obtain the completion certificate, they have to check their knowledge and answer at least 80% of the questions in the test correctly.

In addition, an export control and sanctions compliance web-based training, mandatory for all S15 and above employees, including executives. No specific participation rates were given for this training, but employees must answer end-of-module test questions to receive a completion certificate, with a minimum of 80% of correct answers.

When a Solvay policy is implemented or reviewed, a communication campaign ensures that all employees are updated. In addition to the information available on Solvay's website, business partners are informed of the company's integrity and compliance standards through the Code of Business Integrity, Supplier Code of Business Integrity, and compliance clauses inserted into partnership agreements.

Solvay provides e-learning courses on (i) competition law in general and (ii) on the use of the computerized tracking system of meetings with competitors, which we deem especially important for employees with roles that involve greater likelihood of meeting competitors and exposure to antitrust risks. The participation rate of the relevant training campaign for onboarders for both e-learning courses in 2024 was 100%. We also organized additional, tailored, face-to-face training for 57 high-risk individuals.

The Code of Business Integrity training is web based, offered in 16 languages, and covers a wide range of topics, including behavioral risks such as bribery, corruption, harassment, Speak Up culture and retaliation, and the grievance system, with specific modules for leadership roles, including Listening Up. This training is rolled out every year to all Solvay employees who must answer test questions at the end of every module and confirm their adherence to the Code of Business Integrity and their commitment to report violations through the available channels to obtain the completion certificate. To obtain the completion certificate, employees answer test questions at the end of every module and confirm their adherence to the Code of Business Integrity and their commitment to report violations through the available channels. In 2024, 95.40% of the target population was trained on the Code of Business Integrity. Internal Audit routinely reviews the implementation and completion rates of training modules as part of their audit engagements.

Although business conduct and detection and prevention of corruption and bribery are a top priority for us – and we already have a dedicated Ethics & Compliance team in place as part of our internal resources- we have not yet assigned any financial resources, such as Capex and Opex, to our action plan. Because of this, we cannot connect our financial resources with the amounts shown in the financial statements.

G1-4 Confirmed incidents of corruption or bribery

Solvay employees or stakeholders have various channels through which they can report their concerns to the company about unlawful behavior or behavior breaching the company's Code of Business Integrity and additional business conduct policies. Through the Speak Up Program, any concerns are reviewed, followed-up on, and investigated by Ethics & Compliance, as appropriate. In keeping with our commitment to transparency, Solvay's grievance system - available and easily accessible to employees and third parties through our website or a toll-free number - is used to report progress on investigations and give feedback to those concerned, where appropriate.

We continued to increase awareness about speaking up and raising concerns without fear of retaliation. Speak Up was also part of the annual mandatory training for all our employees, to raise awareness that speaking up applies to the full spectrum of topics referenced in the Code of Business Integrity, which includes bribery and corruption. Speaking up enables Ethics & Compliance to investigate and address concerns or potential breaches. Of the reports received and investigated in 2024, there was no increase in severity in comparison to the previous year and none of the reported cases were critical to our business or caused adjustments to our financial results.

For the 2024 period, Solvay had no convictions for violations of anti-corruption and anti-bribery laws. Additionally, the company incurred no fines related to any such violations. These results reflect the effectiveness of our strong governance framework, including the Anti-Bribery and Anti-Corruption Policy *(please refer to the MDR-P table for more information)*, robust training programs, and the diligent efforts of Ethics & Compliance to uphold the highest ethical standards across our global operations.

At Solvay, we have not established specific targets relating to business conduct, anti-corruption, anti-bribery, or other ethics and compliance aspects, although we continuously monitor these areas. We remain committed to upholding best practices and adhering to our stringent business conduct framework to safeguard our integrity and ethical standards.

6.5. APPENDIX 1: DATA POINTS DERIVING FROM OTHER EU LEGISLATION

Disclosure Requirement and related datapoint(*)	SFDR	Pillar 3	Benchmark Regulation	EU Climate Law	Section in Sustainability statements
ESRS 2 GOV-1 Board's gender diversity paragraph 21 (d)	X		X		Governance -The role of the Administrative, Mangement and supervisory Board
ESRS 2 GOV-1 Percentage of board members who are independent paragraph 21 (e)			X		Governance -The role of the Administrative, Mangement and supervisory Board
ESRS 2 GOV-4 Statement on due diligence paragraph 30	X				Governance - Disclosure of mapping of information provided in sustainability statements about due diligence process
ESRS 2 SBM-1 Involvement in activities related to fossil fuel activities paragraph 40 (d) i	X	X	X		Not material
ESRS 2 SBM-1 Involvement in activities related to chemical production paragraph 40 (d) ii	X		X		Basis of preparation - United Nations Sustainable Developpment Goal
ESRS 2 SBM-1 Involvement in activities related to controversial weapons paragraph 40 (d) iii	X		X		Not material
ESRS 2 SBM-1 Involvement in activities related to cultivation and production of tobacco paragraph 40 (d) iv			X		Not material
ESRS E1-1 Transition plan to reach climate neutrality by 2050 paragraph 14				X	ESRS E1 : Climate Change -Our Transition Plan for Climate change Mitigation
ESRS E1-1 Undertakings excluded from Paris-aligned Benchmarks paragraph 16 (g)		X	X		ESRS E1 : Climate Change -Our Transition Plan for Climate change Mitigation
ESRS E1-4 GHG emission reduction targets paragraph 34	X	X	X		ESRS E1 : Climate Change - Targets
ESRS E1-5 Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors) paragraph 38	X				ESRS E1 : Climate change - Energy Consumption and mix
ESRS E1-5 Energy consumption and mix paragraph 37	X				ESRS E1 : Climate change - Energy Consumption and mix
ESRS E1-5 Energy intensity associated with activities in high climate impact sectors paragraphs 40 to 43	X				ESRS E1 : Climate chang- Energy Consumption and mix
ESRS E1-6 Gross Scope 1, 2, 3 and Total GHG emissions paragraph 44	X	X	X		ESRS E1 : Climate Consumption - GHG Emissions
ESRS E1-6 Gross GHG emissions intensity paragraphs 53 to 55	X	X	X		ESRS E1 : Climate Consumption - GHG Emissions intensity
ESRS E1-7 GHG removals and carbon credits paragraph 56				X	ESRS E1 : Climate Consumption - GHG removals and carbon credits
ESRS E1-9 Exposure of the benchmark portfolio to climate-related physical risks paragraph 66			X		2025 Phase-in
ESRS E1-9 Disaggregation of monetary amounts by acute and chronic physical risk paragraph 66 (a)		X			2025 Phase-in
ESRS E1-9 Location of significant assets at material physical risk paragraph 66 (c)		X			2025 Phase-in
ESRS E1-9 Breakdown of the carrying value of its real estate assets by energy-efficiency classes paragraph 67 (c)		X			2025 Phase-in
ESRS E1-9 Degree of exposure of the portfolio to climate- related opportunities paragraph 69			X		2025 Phase-in
ESRS E2-4 Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil, paragraph 28	X				ESRS E2 : Pollutions- Metrics

Disclosure Requirement and related datapoint(*)	SFDR	Pillar 3	Benchmark Regulation	EU Climate Law	Section in Sustainability statements
ESRS E3-1 **Water and marine resources paragraph 9**	X				ESRS E3 : Water consumption actions and resources
ESRS E3-1 **Dedicated policy paragraph 13**	X				ESRS E3 : Water consumption policies
ESRS E3-1 **Sustainable oceans and seas paragraph 14**	X				Not Material
ESRS E3-4 **Total water recycled and reused paragraph 28 (c)**	X				Not Material
ESRS E3-4 **Total water consumption in m^3 per sales on own operations paragraph 29**	X				ESRS E3 : Water consumption Metrics
ESRS 2- SBM 3 - E4 paragraph 16 (a) i	X				ESRS E3 : Biodiversity and Ecosystems-Policies and actions
ESRS 2- SBM 3 - E4 paragraph 16 (b)	X				ESRS E3 : Biodiversity and Ecosystems-Metrics
ESRS 2- SBM 3 - E4 paragraph 16 (c)	X				ESRS E3 : Biodiversity and Ecosystems-Metrics
ESRS E4-2 **Sustainable land / agriculture practices or policies paragraph 24 (b)**	X				Not Material
ESRS E4-2 **Sustainable oceans / seas practices or policies paragraph 24 (c)**	X				Not Material
ESRS E4-2 **Policies to address deforestation paragraph 24 (d)**	X				Not Material
ESRS E5-5 **Non-recycled waste paragraph 37 (d)**	X				ESRS E5 : Waste management metrics
ESRS E5-5 **Hazardous waste and radioactive waste paragraph 39**	X				ESRS E5 : Waste management metrics
ESRS 2- SBM3 - S1 **Risk of incidents of forced labour paragraph 14 (f)**	X				ESRS S1 : Own workforce - Strategy
ESRS 2- SBM3 - S1 **Risk of incidents of child labour paragraph 14 (g)**	X				ESRS S1 : Own workforce - Strategy
ESRS S1-1 **Human rights policy commitments paragraph 20**	X				ESRS S1 : Own workforce - Policies
ESRS S1-1 **Due diligence policies on issues addressed by the fundamental International Labor Organization Conventions 1 to 8, paragraph 21**			X		ESRS S1 : Own workforce - Policies
ESRS S1-1 **processes and measures for preventing trafficking in human beings paragraph 22**	X				ESRS S1 : Own workforce - Policies
ESRS S1-1 **workplace accident prevention policy or management system paragraph 23**	X				ESRS S1 : Own workforce - IROs actions
ESRS S1-3 **grievance/complaints handling mechanisms paragraph 32 (c)**	X				ESRS S1 : Own workforce - IROs actions
ESRS S1-14 **Number of fatalities and number and rate of work-related accidents paragraph 88 (b) and (c)**	X		X		ESRS S1 : Own workforce - Health & Safety metrics
ESRS S1-14 **Number of days lost to injuries, accidents, fatalities or illness paragraph 88 (e)**	X				ESRS S1 : Own workforce - Health & Safety metrics
ESRS S1-16 **Unadjusted gender pay gap paragraph 97 (a)**	X		X		ESRS S1 : Own workforce - Remuneration metrics
ESRS S1-16 **Excessive CEO pay ratio paragraph 97 (b)**	X				ESRS S1 : Own workforce - Remuneration metrics
ESRS S1-17 **Incidents of discrimination paragraph 103 (a)**	X				ESRS S1 : Own workforce - Incidents, complaints, and severe human rights impacts metrics
ESRS S1-17 **Non-respect of UNGPs on Business and Human Rights and OECD Guidelines paragraph 104 (a)**	X		X		ESRS S1 : Own workforce - Incidents, complaints, and severe human rights impacts metrics

Disclosure Requirement and related datapoint(*)	SFDR	Pillar 3	Benchmark Regulation	EU Climate Law	Section in Sustainability statements
ESRS 2- SBM3 – S2 **Significant risk of child labour or forced labour in the value chain paragraph 11 (b)**	X				ESRS S2 : Workers in the value chain - Strategy
ESRS S2-1 **Human rights policy commitments paragraph 17**	X				ESRS S2 : Workers in the value chain - Policies
ESRS S2-1 **Policies related to value chain workers paragraph 18**					ESRS S2 : Workers in the value chain - Policies
ESRS S2-1 **Non-respect of UNGPs on Business and Human Rights principles and OECD guidelines paragraph 19**	X		X		ESRS S2 : Workers in the value chain - Policies
ESRS S2-1 **Due diligence policies on issues addressed by the fundamental International Labor Organization Conventions 1 to 8, paragraph 19**			X		ESRS S2 : Workers in the value chain - Policies
ESRS S2-4 **Human rights issues and incidents connected to its upstream and downstream value chain paragraph 36**	X				ESRS S2 : Workers in the value chain - Actions plan and resources
ESRS S3-1 **Human rights policy commitments paragraph 16**	X				Not material
ESRS S3-1 **Non-respect of UNGPs on Business and Human Rights, ILO principles or OECD guidelines paragraph 17**	X		X		Not material
ESRS S3-4 **Human rights issues and incidents paragraph 36**	X				Not material
ESRS S4-1 **Policies related to consumers and end-users paragraph 16**	X				Not material
ESRS S4-1 **Non-respect of UNGPs on Business and Human Rights and OECD guidelines paragraph 17**	X		X		Not material
ESRS S4-4 **Human rights issues and incidents paragraph 35**	X				Not material
ESRS G1-1 **United Nations Convention against Corruption paragraph 10 (b)**	X				ESRS G1 : Business conduct - Policies
ESRS G1-1 **Protection of whistle- blowers paragraph 10 (d)**	X				ESRS G1 : Business conduct - Policies
ESRS G1-4 **Fines for violation of anti-corruption and anti-bribery laws paragraph 24 (a)**	X		X		ESRS G1 : Business conduct - Confirmed incidents of corruption or bribery
ESRS G1-4 **Standards of anti- corruption and anti- bribery paragraph 24 (b)**	X				ESRS G1 : Business conduct - Confirmed incidents of corruption or bribery

(*) This table is listing all the data points that derive from other EU Legistalion as listed in ESRS 2 appendix, indicating where they can be found in our 2024 Annual Intergated Report and which data points are 'Not material' or subject to 'Phase In'